Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation

Formulated on February 10, 2014

Amended on:
June13, 2014; November13, 2014
February24, 2015; October 23, 2015
July 14, 2016; August 9, 2016; December 16, 2016
March 17, 2017; December 18, 2017
July 16, 2018; December 5, 2018
September 20, 2019
May 6, 2020
January 22, 2021; April 16, 2021; June 3, 2021; September 30, 2021
June 7, 2022; December 5, 2022
June 26, 2023; July 14, 2023; September 26, 2023
September 26, 2024
March 26, 2025; October 23, 2025
May 28, 2026

TABLE OF CONTENTS

CHAPTER I. GENERAL PROVISIONS ... 1
§1. Purpose ... 1
§2. Definitions ... 1
§2-2. Currency Denomination of Foreign Currency Interest Rate Swaps ... 3
CHAPTER II. CLEARING ELIGIBLE TRANSACTIONS ... 3
§3. Requirements of Clearing Eligible Transactions, etc. ... 3
§3-2. Fallback Rate for Floating Interest Rate ... 6
§3-3. Clearing Participation Letter ... 6
§3-4. Methods, etc. of Clearing Participation by Head Office, etc. of Clearing Members ... 7
CHAPTER III. CLEARING MEMBER ... 7
Section 1. Admission of Clearing Member ... 7
§4. Application Form for Clearing Membership ... 7
§5. Physical Facility Requirements ... 7
§6. Human Resources Requirements ... 8
§7. Criteria on Social Confidence ... 8
§8. Guarantee Letter and Commitment Letter ... 8
Section 2. Withdrawal of Clearing Membership ... 9
§9. Application Form for Withdrawal of Clearing Membership ... 9
§10. Withdrawal Date of a Clearing Member That Requested the Voluntary Withdrawal ... 9
§11. Extent of Liability of the Clearing Member Withdrawing Membership ... 9
Section 3. Conversion of Clearing Membership ... 10
§12. Application Form for Request for Conversion of Clearing Membership ... 10
Section 4. Obligations of Clearing Members ... 10
§13. Calculation and Adjustment of Total Contribution Amount of OTC Derivatives Joint Compensation Fund ... 10
§13-2. Currency of Contributions to OTC Derivatives Joint Compensation Fund ... 11
§14. Management of OTC Derivatives Joint Compensation Fund ... 11
§15. Investment of the OTC Derivatives Joint Compensation Fund ... 11
§16. Amount of Re-contribution to OTC Derivatives Joint Compensation Fund, etc. ... 12
§16-2. Calculation Methods of Member Net Exposure Margins for Calculation of Additional Contributions ... 13
§17. Actions Taken Against Clearing Member That Fails to Preserve the Minimum Risk-Based Equity Capital ... 13
§18. Reporting Financial Conditions ... 13

Section 5. Actions Taken Against Clearing Member **14**
§19. Plan for Improvement of Financial Condition 14
§20. Required Document for Official Objection 14
§21. Imposition of Summary Fines and the Payment Due Date 14
CHAPTER IV. ASSUMPTION OF OBLIGATIONS, ETC. **15**
Section 1. Opening of Clearing Account, etc. **15**
§22. Method of Opening a Clearing Account, etc. 15
§23. Method of Opening a Member's Account for Client 15
Section 2. Assumption of Obligation **16**
§24.Trade Confirmation System 16
§25. Method of Requesting the Assumption of Obligation, etc. 16
§25-2. Refusal of Registering Assumption of Obligation 16
§26. Matters to Be Notified Concerning Registration of Assumption of Obligations, etc. 16
§26-2. Offsetting Requirements for Cleared Transactions, etc. 17
§27. Registration Period for the Assumption of Obligation 18
§27-2. Application of ISDA Definition to Cleared Transactions, etc. 18
CHAPTER V. CLIENT CLEARING **19**
§28. Written Pledge 19
§29. Matters Related to a Client of a Clearing Member, etc. 19
§30. Submission via Electronic Communication Method 20
§31. Details of Request for Assumption of Obligation 20
§32. Task Delegation Agreement 21
CHAPTER VI. SETTLEMENT OF CLEARED TRANSACTIONS **21**
Section 1. Settlement between a Clearing Member and the Exchange **21**
§33. Rate based Maturity 21
§34. Determination and Publication of Settlement Rate 22
§35. Calculation of Net Present Value 22
§36. Calculation of Daily Net Settlement Amounts, etc. 22
§37. Exception in Calculation of Net Settlement Amount of Previous Day 23
§38. Calculation of Price Alignment Interests 23
§39. Calculation and Delivery and Receipt of Coupons 23
§39-2. Calculation of Unrealized Interest 24
Section 2.Net Settlement and Settlement Deadline **24**
§40. Calculation Method of the Net Cash Settlement Amount 24
§41. Limit in Payment Request for Net Cash Settlement Amount 24

§42. Payment Request Method for Net Cash Settlement Amount 24
§43. Designation and Termination of Settlement Bank, etc. 24
Section 3. Analysis and Management of Settlement Risk and Provision of Liquidity 25
§44. Clearing Member's Notification on Fulfillment of the Settlement Obligation, etc. 26
§45. Analysis and Management of Clearing Member's Settlement Risk 26
§46. Type of Financial Resources for Liquidity Provision, etc. 26
§47. Calculation of Loss caused by Settlement Delay, etc. 27
Section 4. Settlement between Clearing Member and Client 28
§48. Limit in Payment Request for Client's Net Cash Settlement Amount 28
CHAPTER VII. MARGINS 28
Section 1. Deposit of Member Margin 28
§49. Reference Time for Calculation of Member Net Exposure Margins 28
§50. Member Net Exposure Margin Amount 28
§50-2. Review of Margin Calculation Methodologies, etc. 29
§51. Deposit of Member Risk Margin Amount 29
§52. [Deleted on October 23, 2015] 30
§53. Advanced Deposit of Margin for Registration of Assumption of Obligation 30
§54. Deposit of Intraday Member Margin 31
Section 2. Deposit, Withdrawal and Method of Management and Investment of Member Margin 32
§55. Deposit Limit of Substitute Securities, etc 33
§56. Return and Appropriation of Member Margins 33
§57. Method of Deposit and Withdrawal of Member Margins 34
§58. Management and Investment of Member Margins 34
Section 3. Deposit of Client Margins 34
§59. Client Net Exposure Margin Amount 34
§60. Deposit of Client Risk Margins 35
§61. [Deleted on October 23, 2015] 35
§62. Advanced Deposit of Client Margin for Registration of Assumption of Obligations 35
§62-2. Deposit Limit of Substitute Securities, etc. 36
Section 4. Payment and Appropriation of Client Margins 36
§63. Return and Appropriation of Client Margins 36
§64. Return and Appropriation of Client Margin by the Exchange 37
Section 5. Types and Valuation of Substitute Securities, Foreign Currencies and Foreign Securities.... 37
§65. Substitute Securities 37
§66. Types and Valuation of Foreign Currencies, etc. 39

§67. Types and Valuation of Foreign Securities, etc. ... 40
§67-2. Compression Request, etc. ... 42
§67-3. Withdrawal of Compression Request and Suspension of Compression, etc. ... 44
CHAPTER VIII. EARLY TERMINATION, CHANGE OF PARTY AND TRANSFER OF CLEARED TRANSACTION ... 45
Section 1. Early Termination and Change of Party of Cleared Transaction ... 45
§68. Request for Early Termination and Change of Party, etc. ... 45
§69. Receipt and Delivery of Negotiated Settlement Amount for Contract Change ... 48
Section 2. Transfer of Cleared Transactions ... 48
§70. Request for Transfer of Client Clearing Transactions between Clearing Members, etc. ... 48
§71.Transfer Price of Cleared Transaction ... 49
§72. Exceptions in Transfer of Client Clearing Transaction between Clearing Members ... 49
§73.Transfer Request of Cleared Transaction between Clearing Accounts ... 50
CHAPTER IX. DEFAULT MANAGEMENT PROCESS ... 50
Section 1. Measures for the Default Clearing Member ... 51
§74. Settlement Support by Dispatched Employee from the Exchange ... 51
§75. Notification of Measures Pursuant to the Settlement Default, etc. ... 51
§76. Protection of Client, etc. ... 51
§77. Client Margin ... 52
Section 2. Risk Management in Case of Settlement Default ... 52
§78. Composition and Operation of Default Management Committee ... 52
§79. [Deleted on June 26, 2023] ... 52
§80. Conduct of Crisis Response Training ... 52
§81. Method of Hedging Transaction ... 53
§81-2. ... 53
[Deleted on October 23, 2025] ... 53
§82. Composition of Auction Unit ... 53
§82-2. Setting and Managing of Minimum Price ... 53
§83. Methods of Auction Participation ... 54
§84. Successful Bidding of Auction Unit ... 54
§85. Settlement Method of a Successful Bid, etc. ... 55
§86. Reason to Call a General Meeting of Clearing Members ... 55
§87. Measures in case of Rejection at the General Meeting of Clearing Members ... 56
§88. Close-out Netting Process ... 56
§88-2. Close-out Netting Commencement Method of Clearing Member, etc. ... 57

Section 3. Default Waterfall ... 57
§89. Compensation of Losses using OTC Derivatives JCF, etc. ... 57
§90. Member Assessment Reserve ... 58
§90-2. Currency for Payment of Member Assessment ... 58
§91. Conversion of Member Assessment into the OTC Derivatives Joint Compensation Fund ... 59
§92. Calculation of Collection of Variation Margin Gains Haircut ... 59
§93. Cap Period of the OTC Derivatives Joint Compensation Fund, etc. ... 59
§94. Recovery among Clearing Members in Same Sequence ... 60
CHAPTER X. MANAGEMENT OF CLEARING OPERATION ... 60
§95. Criteria for Cleared Transaction Position Limits ... 60
§96. Measures against Violation of Cleared Transaction Position Limits ... 60
§97. [Deleted on June13, 2014] ... 61
§98. [Deleted on June13, 2014] ... 61
§99. [Deleted on June13, 2014] ... 61
§100. Matters to be notified, etc. ... 61
§101. Calculation of Late Payment Penalty ... 61
§102. Public Announcement of Business Day ... 62
§103. ... 62
[Deleted on October 23, 2025] ... 62
§104. Special Cases concerning Registration, etc. of Foreign Supervisory Agencies ... 62
§105.Public Opinion Gathering ... 63
ADDENDA ... 64
ANNEXES& FORMS ... 69
[Annex 1] Total Contribution Amount of OTC Derivatives Joint Compensation Fund ... 70
[Annex 1-2] Calculation of Settlement Rates ... 73
[Annex 2] Calculation of Net Present Value ... 76
[Annex 3] [Deleted on December 16, 2016] ... 82
[Annex 4] Liquidity Risk Margin Rates and Total Value Variation Margin Rates ... 83
[Annex 5] Calculation of Member Net Exposure Margins ... 86
[Annex 6] Calculation of Liquidity Risk Margin Amounts ... 88
[Annex 7] Calculation of Total Value Variation Margin Amounts ... 89
[Annex 8] Emergency Plan in Case of Suspension of Base CD Rate Calculation ... 90
[Annex: Form No. 1] Application for Clearing Membership ... 92
[Annex: Form No. 2] Guarantee Letter ... 96
[Annex: Form No. 3] Commitment Letter ... 97

[Annex: Form No. 4] Application for Clearing Membership Withdrawal 98
[Annex: Form No. 5] Application for Conversion of Clearing Membership.. 99
[Annex: Form No. 6] Application for Opening of Clearing Account... 100
[Annex: Form No. 7] Letter of Pledge.. 101
[Annex: Form No. 8] Request for Payment of Net Cash Settlement Amount... 102
[Annex: Form No. 9] Cash Member Margin Deposit Report (Withdrawal Request)................................... 103
[Annex: Form No. 10] [Deleted on December 16, 2016] 104
[Annex: Form No. 11] Substitute Securities Member Margin Deposit Report (Withdrawal Request)........ 105
[Annex: Form No. 12] Foreign Securities Member Margin Deposit Report (Withdrawal Request)............ 107

CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of this Enforcement Rules shall be to stipulate the matters necessary for the enforcement of the OTC Derivatives Clearing and Settlement Business Regulation (hereinafter referred to as "the Regulation").

§2. Definitions

The terms used in this Enforcement Rules shall have the meaning given in each of the following subparagraphs: (Amended on October 23, 2015; December 16, 2016; September 30, 2021)

1. [Deleted on October 23, 2025]

2. The term "OTC derivatives risk management system" refers to a management and operation system of the Exchange that monitors the credit risk of clearing members and settlement banks on a real time basis in order to take timely measures for the risks.

3. The term "yield curve" refers to the settlement rate by maturity for each interest rate benchmark calculated according to [Annex 1-2]. (Amended on October 23, 2025)

4. The term "floating rate fixing date" means the day on which the floating interest rate that applies to the interest calculation period is fixed in order to calculate floating-rate interest amount. (Amended on October 23, 2025)

5. "The documents specified in the Enforcement Rules" in [§2(1)15] of the Regulation refers to the following documents (including the Amendments and Supplements published by the ISDA, but excluding those that the Exchange defined through its notices): (Amended on October 23, 2025)

    a. 2000 ISDA Definitions;

    b. 2006 ISDA Definitions; and

    c. 2021 ISDA Interest Rate Derivatives Definitions.

6. "The documents specified in the Enforcement Rules" in [§2(1)16] of the Regulation refers to the following documents (including Schedules): (Amended on October 23, 2025)

    a. 1987 ISDA Interest Rate and Currency Exchange Agreement;

    b. 1987 ISDA Interest Rate Swap Agreement;

    c. 1992 ISDA Master Agreement; and

    d. 2002 ISDA Master Agreement

7. The term "day count convention" means the method of calculating the interest calculation period as defined in the ISDA definitions, and it shall be classified as follows: (Amended on October 23, 2025)

(a) Actual/365 (Fixed): Actual number of days in the interest calculation period (counting the first day of the period and not counting last day of the period; the same hereinafter in this Subparagraph) divided by 365; (Amended on October 23, 2025)

(b) Actual/360: Actual number of days in the interest calculation period divided by 360; (Amended on October 23, 2025)

(c) Actual/Actual: Actual number of days in the interest calculation period divided by 365 or 366 (limited to a leap year); and (Amended on October 23, 2025)

(d) 30/360: Number of days calculated based on the following calculation formula divided by 360 (Amended on October 23, 2025)

•Number of days = $\{360 \times (Y_2 - Y_1)\} + \{30 \times (M_2 - M_1)\} + (D_2 - D_1)$

Where:

"Y_1" is the year, expressed as a number, in which the first day of the interest calculation period falls;
"Y_2" is the year, expressed as a number, in which the day immediately following the last day of the interest calculation period falls;
"M_1" is the calendar month, expressed as a number, in which the first day of the interest calculation period falls;
"M_2" is the calendar month, expressed as a number, in which the day immediately following the last day of the interest calculation period falls;
"D_1" is the first calendar day, expressed as a number, of the interest calculation period. Provided that, if this number is 31, D_1 will be 30; and
"D_2" is the calendar day, expressed as a number, immediately following the last day of the interest calculation period. Provided that, if the number on the day is 31 and the number of the first day of the interest calculation period is greater than 29, it shall be 30.
(Amended on October 23, 2025)

8. The term "business day convention" shall mean the rule that, in cases when the last date of the interest calculation period or the contract maturity date falls on a holiday, specifies such the last date of the interest calculation period or contract maturity date again in accordance with the ISDA Definitions, and it shall be classified as follows: (Amended on October 23, 2025)

(a) Preceding: In cases when the last date of the interest calculation period or contract maturity date does not fall on a business day, the immediately preceding business day becomes the last date of the interest calculation period or contract maturity date; (Amended on October 23, 2025)

(b) Following: In cases when the last date of the interest calculation period or contract maturity date does not fall on a business day, the immediately following business day becomes the last date of the interest calculation period or contract maturity date; and (Amended on October 23, 2025)

(c) Modified Following: In cases when the last date of the interest calculation period or contract maturity date does not fall on a business day, the immediately following business day becomes the last date of interest calculation period or contract maturity date, however, in the case where the immediately following business day extends into a new month, the immediately preceding date becomes the last date of the interest calculation period or the contract maturity date. (Amended on October 23, 2025)

§2-2. Currency Denomination of Foreign Currency Interest Rate Swaps

"Foreign currencies specified in the Enforcement Rules" in [§5(1)2] of the Regulation shall refer to US dollar (hereinafter referred to "USD"). [December 16, 2016]

CHAPTER II. CLEARING ELIGIBLE TRANSACTIONS

§3. Requirements of Clearing Eligible Transactions, etc.

(1) "Time specified in the Enforcement Rules" in [§6(1)3(a)] of the Regulation shall refer to 16:00. (Amended on March 17, 2017; October 23, 2025)

(2) "Time specified in the Enforcement Rules" in [§6(1)3(b)] of the Regulation shall refer to 11:00. Provided that, in the case where the KOFR is revised and announced, it shall be 14:00. [October 23, 2025]

(3) "Method specified in the Enforcement Rules" in [§6(1)3(b)] of the Regulation shall mean calculating the daily KOFR (KOFR based on each business day is calculated and announced on the next business day) for the interest calculation period to which the last date belongs based on the last date of each interest calculation period until the contract maturity date using the compounding method ("OIS Compounding" as defined by ISDA).

(4) "Currencies specified in the Enforcement Rules" in [§6(1)4] of the Regulation shall refer to Korean won.

(5) "Other requirements specified in the Enforcement Rules" in [§6(1)5] of the Regulation shall refer to the requirements for each category in the following subparagraphs: (Amended on December 18, 2017; October 23, 2025)

1. For KRW IRS transaction: All requirements in the following items: [October 23, 2025]

   (a) The city of Seoul, Korea, shall be the reference region for determining a business day; [October 23, 2025]

   (b) Effective date (referring to "Effective Date" as defined in the ISDA Definitions; the same hereinafter) shall be the next business day of the trade execution day; [October 23, 2025]

(c) The contract maturity shall be in units of three (3) months within the maximum of twenty (20) years; [October 23, 2025]

(d) The contract amount shall be between KRW 1 billion and KRW 1 trillion; [October 23, 2025]

(e) The interest calculation cycle and payment cycle shall be three (3) months; [October 23, 2025]

(f) The day count convention shall be one of Actual/365(Fixed), Actual/360 or Actual/Actual; [October 23, 2025]

(g) The business day convention shall be one of Preceding, Following, or Modified Following; [October 23, 2025]

(h) Compound interest shall not apply when calculating interests and the fixed rate shall not exceed ten decimal places; [October 23, 2025]

(i) The same business day convention shall apply to the fixed interest rate and the floating interest rate; [October 23, 2025]

(j) In cases where the interest rate spread is applied to the floating interest rate, the same interest rate spread shall apply until the date of contract maturity, and the interest rate spread shall be within ten (10) decimal places; [October 23, 2025]

(k) The method of correcting the interest calculation period shall be “Adjusted” (referring to the convention in which the number of days from the last interest payment date to the next interest payment date adjusted according to item (g) becomes the interest calculation period); [October 23, 2025]

(l) In cases where an upfront fee is to be paid, it shall be paid on the effective date; and [October 23, 2025]

(m) The floating interest rate fixing date shall be the business day immediately preceding the first day of the interest calculation period. [October 23, 2025]

2. For KRW OIS transaction: All requirements in the following items: [October 23, 2025]

(a) Requirements under items (a), (b), (d), (h), (i), (k), (l), and (m) of paragraph (5)1; [October 23, 2025]

(b) The contract maturity shall be in units of three (3) months within the maximum of twenty (20) year. Provided that, in the case where the contract maturity is less than three (3) months, it shall be one (1) week, two (2) weeks, three (3) weeks, one (1) month, and two (2) months; [October 23, 2025]

(c) The interest calculation cycle and payment cycle shall be three (3) months. Provided that, in the case where the contract maturity is (3) months or less, the relevant contract maturity shall be used as the interest calculation cycle and payment cycle; [October 23, 2025]

(d) The day count convention shall be Actual/365(Fixed); [October 23, 2025]

(e) The business day convention shall be Modified Following; [October 23, 2025]

(f) The interest rate spread shall not be applied to the floating interest rate; and [October 23, 2025]

(g) The interest payment date shall be the second business day calculated from the last date of the interest calculation period. [October 23, 2025]

(6) “Interest rates specified in the Enforcement Rules” in [§6(2)3] of the Regulation shall refer to the 3-month or 6-month maturity London Interbank Offered Rate (hereinafter referred to as “LIBOR”) at 11:00 GMT published by ICE (Intercontinental Exchange) on the floating interest rate fixing date. [December 16, 2016] (Amended on December 18, 2017; October 23, 2025)

(7) “Currencies specified in the Enforcement Rules” in [§6(1)4] of the Regulation shall mean USD.

(8) “Requirements specified in the Enforcement Rules” in [§6(2)5] of the Regulation shall refer to each of the following subparagraphs: (Amended on September 30, 2021)

1. The reference region for determining a business day shall be any of the following items:

   (a) New York, USA
   (b) New York, USA and London, UK
   (c) New York, USA and Seoul, Korea
   (d) New York, USA; London, UK and Seoul, Korea

2. The effective date shall be the third business day counting from the trade execution date;

3. The contract maturity shall be classified as one of the following items and shall not exceed 30 years:

   (a) In cases where the fixed-rate interest amount is paid every six (6) months: Six (6) months;
   (b) In cases where the fixed-rate interest amount is paid every one (1) year: One (1) year

4. The contract amount shall range from USD one million (1,000,000) or more up to USD one billion (1,000,000,000) or less;

5. The cycles for calculation and payment of the interest amount shall be as specified in each of the following items: (Amended on October 23, 2025)

   (a) Calculation cycle and payment cycle of the fixed-rate interest amount: Six (6) months or one (1) year; and (Amended on October 23, 2025)

   (b) Calculation cycle and payment cycle of the floating-rate interest amount: Three (3) months or six (6) months. (Amended on October 23, 2025)

6. The day count convention shall be one of Actual/365(Fixed), Actual/360, Actual/Actual or 30/360;

7. Requirements specified in items (g) through (l) of paragraph (5)1; (Amended on October 23, 2025)

8. The floating rate fixing date shall be the business day that is two (2) days immediately before the first day of the interest calculation period (based on London, England; the same hereinafter in this Subparagraph). Provided that the first floating interest rate shall be fixed on the trade execution date (the business day immediately before the trade execution date if the trade execution date does not fall on a business day in London). (Amended on October 23, 2025)

(9) Pursuant to [§6(3)] of the Regulation, among the trades executed in accordance with [§2/5(a) and (b)], in the case of the trades that are not concluded in accordance with the amended provisions in "Supplement number 70 to the 2006 ISDA Definitions" published by ISDA (including the revised trades with the application of "ISDA 2020 LIBOR Fallback Protocol" published by ISDA), it is deemed that the trades did not meet the requirements of the ISDA Definition in [§6(2)1] of the Regulation. [January 22, 2021] (Amended on September 30, 2021) (Moved from previous paragraph (10) and previous paragraph (9) deleted on September 30, 2021)

(10) "KRW-CD-KSDA-Bloomberg", "KRW-CD-3220" and "KRW-CD 91 D" as defined in the ISDA Definitions shall be deemed the CD rate noted in [§6(1)3(a)] of the Regulation, "KRW-KOFR-OIS Compound" shall be deemed the floating rate noted in [§6(1)3(b)] of the Regulation,, and "USD-LIBOR-BBA" and "USD-LIBOR" shall be deemed the LIBOR noted in [§3(6)]. (Amended on September 30, 2021; October 23, 2025)

(11) The contract amount of the clearing eligible transactions shall not be changed until the expiry of the contract, except for reasons of the change of contract stipulated in [§98(1)] of the Regulation (hereinafter referred to as "change of contract"). (Moved from previous paragraph (112) and previous paragraph (11) moved to paragraph (10) on September 30, 2021)

(12) End-of-month convention (End of Month) may apply to the interest payment of the clearing eligible transactions. Provided that this shall not apply to the case of KRW OIS transaction of which the contract maturity is three (3) months or less. (Amended on September 30, 2021; October 23, 2025)

(Wholly amended on December 16, 2016)

§3-2. Fallback Rate for Floating Interest Rate

Pursuant to [§6(3)] of the Regulation, the Exchange shall, in cases where there is no floating interest rate announced on the floating interest rate fixing date (if the floating interest rate fixing date is not specified, the floating interest rate announcement date is used), or if it is deemed difficult to utilize the floating interest rate for market management, use the fallback rate selected in accordance with Annex 8 as the floating interest rate.

[October 23, 2025]

§3-3. Clearing Participation Letter

The clearing participation stipulation in [§7-2(4)] of the Regulation shall be prepared in accordance with [Annex: Form No. 1-2] [December 16, 2016]

§3-4. Methods, etc. of Clearing Participation by Head Office, etc. of Clearing Members

Pursuant to [§7-2(6)] of the Regulation, in cases where the head office, etc. of a clearing member that is the domestic branch of a foreign financial investment business entity, etc., or other business offices (hereinafter referred to as the "foreign financial investment business entity clearing member") conducts the clearing participation tasks through the relevant clearing member, the provisions of [§60] through [§62], [§76] through [§78], [§87], [§88], [§89(1)&(2)], [§90] and [§92] shall apply *mutatis mutandis* to the methods of clearing participation by the head office, etc., of the foreign financial investment business entity clearing member, the deposit of margins and the settlement. In such cases, the "general clearing member" shall be construed as the "foreign financial investment business entity clearing member" and the "client" shall be construed as the "head office, etc., of a foreign financial investment business entity clearing member." [December 16, 2016]

CHAPTER III. CLEARING MEMBER

Section 1. Admission of Clearing Member

§4. Application Form for Clearing Membership

(1) "Application form specified in the Enforcement Rules" in [§9(1)] of the Regulation shall refer to [Annex: Form No. 1].

(2) "Period specified in the Enforcement Rules" in [§9(2)] of the Regulation shall refer to three (3) years. (Amended on June 13, 2014; October 23, 2025)

§5. Physical Facility Requirements

Pursuant to [§10(6)] of the Regulation, the entity intending to become a clearing member shall satisfy the requirements noted in each of the following subparagraphs in regard to physical facilities such as the electronic facilities:

1. To be using or be equipped with the electronic facilities that are necessary for the reliable and efficient accomplishment of clearing participation tasks for clearing eligible transactions through the systems of the Exchange including the Member OTC derivatives settlement system. Provided that, if the Exchange accepts, a written plan may be submitted instead, and in this case, the full implementation of the plan shall be reported to and validated by the Exchange before the clearing participation tasks begin;

2. To be equipped with the management organization that are necessary for the accomplishment of request for assumption of obligation, settlement processing, electronic system management, risk management, internal control, compliance, audit, etc. in order to engage in the conduct of clearing participation tasks for clearing eligible transactions through the Exchange;

3. To have secured the physical space such as the offices that are required to perform clearing participation tasks for clearing eligible transactions through the Exchange; and

4. The entity intending to become a general clearing member shall be equipped with the electronic facilities that are necessary for the reliable and efficient accomplishment of client clearing tasks. Provided that, if the Exchange accepts, a written plan may be submitted instead, and in this case, the full implementation of the plan shall be reported to and validated by the Exchange before the clearing participation tasks begin.

§6. Human Resources Requirements

In relation to the expertise and fidelity of human resources necessary to accomplish various tasks as a member, an entity intending to become a clearing member pursuant to [§10(6)] of the Regulation shall satisfy the requirements noted in each of the following subparagraphs:

1. To conduct the clearing participation tasks for clearing eligible transactions and to efficiently perform the pertinent functions as a clearing member through the Exchange, to be adequately staffed with the employees falling under any of the following items:

   (a) A person who has received training/education on derivatives trading at a domestic or overseas training/education institution or the Exchange;

   (b) A person who has more than one year of experience in derivatives trading; or

   (c) A person proven to have the qualifications and experiences equivalent to the persons noted in subparagraphs 1 and 2.

2. Taking into consideration the details, coverage and volume, to assign the specialists appropriate for the accomplishment of such tasks as the request for assumption of obligation, settlement processing, electronic system management, risk management, internal control, compliance, audit, etc.; and

3. The entity intending to become a general clearing member shall assign the specialists appropriate for the accomplishment of client clearing tasks.

§7. Criteria on Social Confidence

(1) The companies (including the branches of foreign financial investment companies: the same hereinafter) that have submitted the application for clearing member admission shall not have been imposed by the Financial Services Commission any measure heavier than the suspension of investment trading business of OTC derivative of which the underlying asset is an interest rate.

(2) The Exchange may postpone the review of admission in case where a merger, dissolution, closedown of business, transfer of business or change of major shareholders that may have material influence on the nature of the companies referred to in paragraph (1) is in progress. (Amended on June 13, 2014)

§8. Guarantee Letter and Commitment Letter

(1) Pursuant to [§11(2)] of the Regulation, the guarantee letter shall be by the form of [Annex: Form No. 2] and the commitment letter shall be by the form of [Annex: Form No. 3].

(2) In cases where an applicant submits a guarantee letter or a commitment letter, the applicant shall submit each of the following documents together with the guarantee letter and the commitment letter:

1. A notarized document that certifies the settlement authority of the person who signed the guarantee letter or the commitment letter.

2. A document that certifies the fact that the submitter of the guarantee letter or the commitment letter is the parent company, largest shareholder or headquarter of the applicant of the proprietary clearing member.

Section 2. Withdrawal of Clearing Membership

§9. Application Form for Withdrawal of Clearing Membership

"Application form specified in the Enforcement Rules" in [§14(1)] of the Regulation refers to [Annex: Form No. 4].

§10. Withdrawal Date of a Clearing Member That Requested the Voluntary Withdrawal

"Number of days specified in the Enforcement Rules" in [§14(2)1] of the Regulation shall be 30 days (including the day of the membership withdrawal request).

§11. Extent of Liability of the Clearing Member Withdrawing Membership

(1) "The extent specified in the Enforcement Rules" in [§20(1)] of the Regulation refers to the use of funds noted in each of the following subparagraphs needed to compensate the loss resulting from the settlement default of a clearing member:

1. Balance of the OTC derivatives JCF ("OTC derivatives JCF") contributed by the clearing member withdrawing its membership as of the membership withdrawal day; and

2. Balance of the assessment reserve specified in [§90(1)] retained by the clearing member that requested the voluntary withdrawal as of the membership withdrawal day.

(2) "The extent specified in the Enforcement Rules" in [§20(2)] of the Regulation refers to the use of funds noted in each of the following subparagraphs needed to compensate the loss resulting from the settlement default of a clearing member:

1. Balance of the OTC derivatives JCF contributed by the clearing member deemed withdrawn from its membership as of the day when the close-out of the entire quantity of cleared transaction of the clearing member deemed withdrawn from its membership is complete; and

2. Balance of the assessment reserve specified in [§90(1)] contributed by the clearing member deemed withdrawn from its membership as of the day when the close-out of the entire quantity

of cleared transaction of the clearing member deemed withdrawn from its membership is completed.

Section 3. Conversion of Clearing Membership

§12. Application Form for Request for Conversion of Clearing Membership

"Application form specified in the Enforcement Rules" in [§22(1)] of the Regulation refers to [Annex: Form No. 5].

Section 4. Obligations of Clearing Members

§13. Calculation and Adjustment of Total Contribution Amount of OTC Derivatives Joint Compensation Fund

(1) "A party specified in the Enforcement Rules" in [§26(2)] of the Regulation shall refer to the client of a clearing member, and the related companies prescribed in Article 21(1) of the Act on External Audit of Stock Companies, Etc., which are a clearing member and its client. (Amended on September 20, 2019)

(2) "Methods set forth in the Enforcement Rules" in [§26(2)] of the Regulation shall mean the methods set forth in [Annex 1]. (Amended on December 5, 2018)

(3)"Date set forth in the Enforcement Rules" in [§26(2)] of the Regulation shall mean the day when the amount calculated every day according to the following formula to check whether the current total contribution amount of the OTC derivatives JCF is appropriate (hereinafter referred to as "estimated total contribution amount of OTC derivatives JCF) is greater than the amount calculated by multiplying the current total contribution amount of the OTC derivatives JCF by the threshold: (Amended on December 5, 2018)

$$\text{Estimated total contribution amount of OTC derivatives JCF} = \mathrm{X} - \bar{\mathrm{Y}}$$

X: The amount calculated by applying *mutatis mutandis* the provisions on definition in [Annex 1] to fulfill the settlement obligation in a timely matter on the day when a settlement default of two (2) clearing members with the biggest settlement risk (including a client of the clearing member, and affiliated companies which are a clearing member and its clients) occurs under an extreme but plausible circumstance.

$\bar{\mathrm{Y}}$: Settlement reserve of the Exchange

(4) "In the case stipulated in the Enforcement Rules" in the proviso to [§26(2)] of the Regulation shall refer to the admission and withdrawal of a clearing member.

(5) "Period specified in the Enforcement Rules" in [§26(4)] of the Regulation shall be from the base date for calculation to 17:00 of the following business day. (Amended on January 22, 2021)

(6) The threshold under paragraph (3) shall be the value obtained by subtracting the rates separately set by the Exchange from one hundred percent (100%). [July 16, 2018]

§13-2. Currency of Contributions to OTC Derivatives Joint Compensation Fund

Pursuant to [§27(5)] of the Regulation, contributions to the OTC Derivatives Joint Compensation Fund shall be made in KRW. [December 16, 2016]

§14. Management of OTC Derivatives Joint Compensation Fund

(1) Pursuant to [§27(5)] of the Regulation, the Exchange shall manage the OTC derivatives JCF separately for each clearing member that has made contributions to the OTC derivatives JCF.

(2) Pursuant to [§27(5)] of the Regulation, in cases where a clearing member sets aside the OTC derivatives JCF with government bonds or monetary stabilization bonds, the contribution amount shall be valued on the basis of the substitute price in accordance with [§95] of the Regulation.

(3) The profits and losses resulting from managing the cash contribution to the OTC derivatives JCF in a quarter shall be credited to the principal within 20 days from the first day of the next quarter.

(4) In cases where the OTC derivatives JCF contribution amount varies due to the changes in substitute prices, etc., the deposit or withdrawal of the OTC derivatives JCF shall be made according to each of the following subparagraphs: (Amended on December 5, 2018)

1. In cases where the OTC derivatives JCF contribution amount of a clearing member falls short of the most recently calculated amount of required contribution to the OTC derivatives JCF, the relevant clearing member shall deposit the amount equivalent to the shortage by 12:00 of the next business day; and

2. In cases where the OTC derivatives JCF contribution amount of a clearing member exceeds the most recently calculated amount of required contribution to the OTC derivatives JCF, the relevant clearing member may withdraw the amount equivalent to the excess amount. Provided that this provision shall not apply to the case of a clearing member that has been subject to the measures falling under any of the subparagraphs of [§101(1)] of the Regulation.

(5) Pursuant to [§27(5)] of the Regulation, the minimum percentage of the OTC derivatives JCF that clearing members must contribute in cash shall be 15% of the required amount of OTC derivatives JCF for each member. (Amended on October 23, 2015; October 23, 2025)

(6) Other matters necessary for the management of the OTC derivatives JCF shall be separately determined by the Exchange.

§15. Investment of the OTC Derivatives Joint Compensation Fund

(1) Pursuant to [§27(5)] of the Regulation, the Exchange shall invest the cash contribution to the OTC derivatives JCF in any of the following ways by segregating the fund from the exchange joint compensation fund:

1. Purchasing the government bonds, local government bonds, or the Bank of Korea monetary stabilization bonds under Article 69 of the Bank of Korea Act;

2. Purchasing guaranteed corporate bonds;

3. Lending to or depositing in securities finance companies or purchasing bonds issued by securities finance companies; and

4. Depositing in banks

(2) In cases where the Exchange invests the cash contribution to the OTC derivatives JCF by depositing in a bank pursuant to paragraph (1)4, the Exchange must deposit the fund in a bank that satisfies each requirement specified in [§43(1)]. (Amended on June 13, 2014)

(3) When the Exchange manages the cash contributions to the joint compensation fund by depositing in a securities finance company or a bank pursuant to paragraph (1), it shall limit its concentration per securities finance company or bank according to the standards separately determined by the Exchange. [November 13, 2014]

(4) In cases where the Exchange allots the gain and loss resulting from managing the cash contribution to the OTC derivatives JCF, proportion of the cash contribution of each clearing member referred to [§27(3)] of the Regulation shall be calculated based on the cash contributed amount and the cash contribution period of each clearing member in the relevant period during which the profit and loss occurred. In such cases, an amount below 15 decimal places shall be rounded down.

(5) Other matters that are necessary for the management of the OTC derivatives JCF shall be separately determined by the Exchange.

§16. Amount of Re-contribution to OTC Derivatives Joint Compensation Fund, etc.

(1) Pursuant to [§28(3)] of the Regulation, the Exchange shall calculate the total re-contribution to the OTC derivatives JCF on the expiry date of the cap period by applying [§26] of the Regulation *mutatis mutandis*, and the required re-contribution to the OTC derivatives JCF by applying [§29)] of the Regulation *mutatis mutandis*. In such cases, “the base date for calculation of OTC derivatives JCF” in [§26] of the Regulation and [§29] of the Regulation shall be construed as “the expiry date of the cap period”. (Amended on December 5, 2018)

(2) When the required re-contribution to the OTC derivatives JCF is made pursuant to paragraph (1), the Exchange shall manage the relevant contribution by segregating it from the OTC derivatives JCF contribution amount as of the expiry date of the cap period. (Amended on December 5, 2018)

(3) Notwithstanding paragraph (2), in cases where all of the cleared transactions attributable to one of the past cap periods are closed out, the balance of the OTC derivatives JCF remaining after having been used to compensate the default losses attributable to the relevant cap period shall be managed together with the OTC derivatives JCF re-contributed pursuant to [§28] of the Regulation. (Amended on December 5, 2018)

(4) In cases where a clearing member fails to make the required re-contribution to the OTC derivatives JCF by the deadline specified in [§28(2)] of the Regulation, the Exchange may extend the deadline or allow payment in installments over a certain period, or halt or suspend the clearing operation until the clearing member makes the payment. (Amended on December 5, 2018)

§16-2. Calculation Methods of Member Net Exposure Margins for Calculation of Additional Contributions

Pursuant to subparagraph 2 of [§29] of the Regulation, the Exchange shall convert a member net exposure margin amount calculated in a foreign currency into Korean currency by multiplying the amount by base market prices under [§66(3)] and 100/95. [December 16, 2016]

§17. Actions Taken Against Clearing Member That Fails to Preserve the Minimum Risk-Based Equity Capital

(1) "Ratio specified in the Enforcement Rules" in [§31(1)] of the Regulation shall be 40%.

(2) Pursuant to [§31(3)] of the Regulation, in case where the equity capital is less than 40% of member net exposure margin, the Exchange may impose an extra margin by 10% for each 1% in breach.

(3) The Exchange may refuse the registration for the assumption of obligation by a clearing member that was imposed of the measure noted in paragraph (2) from the next business day. (Amended on October 23, 2015)

§18. Reporting Financial Conditions

(1) Pursuant to [§35(1)] of the Regulation, clearing members shall submit documents related to their financial conditions to the Exchange as stipulated in each of the following subparagraphs: (Amended on October 23, 2015)

1. In cases where a clearing member is a non-bank financial company, the documents specified in each of the following items;

   (a) Documents pertaining to the settlement of accounts under Article 3-67(1) of the Regulations on Financial Investment Business: Within three (3) months from the end of the relevant fiscal year;

   (b) Quarterly business reports pursuant to Article 33(1) of the Act: Within forty-five (45) days from the end of each quarter; and

   (c) Monthly business reports pursuant to Article 33(4) of the Act: By the end of the next month.

2. In cases where a clearing member is a bank concurrently conducting financial investment businesses: Documents specified in each of the following items;

(a) Business reports pursuant to Article 23(1) of the Detailed Regulations on Supervision of Banking Business: Within one (1) month from the end of the fiscal year;

   (b) Quarterly business reports pursuant to Article 23(2) of the Detailed Regulations on Supervision of Banking Business: Within one (1) month from the date of assumed settlement of account of each quarter; and

(c) Monthly business reports pursuant to Article 43-2(1) of the Banking Act and Article 98(1) of the Regulations on Supervision of Banking Business: By the end of the next month

(2) In cases where a clearing member discloses the management information or other equivalent information according to related laws or regulations of the Financial Services Commission, the clearing member shall report the disclosed information to the Exchange without delay.

(3) In cases where a clearing member has submitted the reports pursuant to paragraphs (1) and (2) using the Financial Information Exchange System ("FINES") operated by the Financial Services Commission and the Exchange can access the report submitted through FINES, it shall be deemed that the relevant member has submitted the relevant report to the Exchange.

Section 5. Actions Taken Against Clearing Member

§19. Plan for Improvement of Financial Condition

The improvement plan for financial condition submitted by a clearing member who received the occurrence notification of cause for member disciplinary measure pursuant to [§42(6)] of the Regulation shall include the information noted in each of the following subparagraphs:

1. The reasons for failing to meet the financial criteria and its progression;

2. Detailed action plan to resolve the reasons for failing to meet the financial criteria; and

3. In addition, the documents that the Exchange deems necessary in relation to the relevant improvement plan.

§20. Required Document for Official Objection

Pursuant to [§42(6)] of the Regulation, in case where a clearing member who received the notification of disciplinary measure specified in [§40] of the Regulation files an official objection pursuant to [§42(4)] of the Regulation, a document containing the information noted in each of the following subparagraphs shall be submitted:

1. Person filing the objection;

2. Main points of the measures against the clearing member;

3. Factual relationship about the pertinent causes for measures against clearing member;

4. Reasons for filing an official objection; and

5. Other documents that the Exchange deems necessary in relation to the relevant official objection.

§21. Imposition of Summary Fines and the Payment Due Date

(1) In cases where the Market Oversight Commission imposes a summary fine pursuant to [§43(4)] of the Regulation, the amount of the summary fine shall be determined based on the nature, frequency and scale of the offense and the voluntary remedy efforts made by the relevant clearing member.

(2) A clearing member who received the notification of imposition of a summary fine shall pay the penalty within one (1) month from the day on which the member received the notification.

(3) [§40(4)] of the Regulation shall apply to the clearing member who is imposed of the summary fine and did not pay the penalty within the payment due date.

CHAPTER IV. ASSUMPTION OF OBLIGATIONS, ETC.

Section 1. Opening of Clearing Account, etc.

§22. Method of Opening a Clearing Account, etc.

(1) Pursuant to [§45(5)] of the Regulation, clearing members shall enter the information required by the Exchange into the member OTC derivatives settlement terminal or submit the application form for opening a clearing account prepared in accordance with [Annex: Form No. 6] to the Exchange. The Exchange shall register the clearing account with the Exchange OTC derivatives settlement system in accordance with the details stated in the application. (Amended on December 16, 2016)

(2) The clearing account number that is opened pursuant to paragraph (1) shall be a twelve-digit number in the order of each of the followings: (Amended on December 16, 2016)

1. The clearing member's ID number (three-digit number);

2. The identifier (two-digit number) of proprietary clearing account, client clearing account of client and client clearing account of head office, etc. of a foreign financial investment business entity clearing member; and

3. The unique identification number assigned by the clearing member (seven-digit number)

(3) In cases where the Exchange registers the clearing account pursuant to paragraph (1), the Exchange shall notify the details to the relevant clearing member by entering the details into the member OTC derivative settlement terminal.

(4) The Exchange shall record and manage the cleared transactions of the clearing account from the next business day of the day on which the clearing account is opened.

§23. Method of Opening a Member's Account for Client

Pursuant to [§46(3)] of the Regulation, a clearing member may assign the same unique identification number of a clearing account pursuant to [§22(2)3] of the Enforcement Rules to a client clearing account.

Section 2. Assumption of Obligation

§24.Trade Confirmation System

(1) "Trade confirmation system specified in the Enforcement Rules" in [§47(4)] of the Regulation refers to any of the followings:

1. A trade confirmation system developed and managed by the Exchange (hereinafter referred to as "the Exchange Trade Confirmation System"); and

2. A trade confirmation system designated by the Exchange other than the Exchange Trade Confirmation System (hereinafter referred to as "External Trade Confirmation System").

(2) [Deleted on January 22, 2021].

(3) Matters that are necessary for the designation, management, operation, and usage of the trade confirmation system referred to in paragraph (1) shall be separately determined by the Exchange.

§25. Method of Requesting the Assumption of Obligation, etc.

(1) Pursuant to [§47(5)] of the Regulation, a clearing member shall request the assumption of obligation via the Member OTC derivatives settlement system, the Member OTC derivatives settlement terminal or the external trade confirmation system terminal.

(2) In cases where a clearing member changes the installation place of the Member OTC derivatives settlement terminal, the clearing member shall report the change to the Exchange without delay.

(3) In cases where a clearing member wants to install the Member OTC derivatives settlement terminal in an additional place, the clearing member shall report the purpose of the usage and the installation place and receive approval from the Exchange before installing. (Amended on October 23, 2015)

§25-2. Refusal of Registering Assumption of Obligation

Pursuant to [§50(5)] of the Regulation, the Exchange may withhold or refuse the registration of the assumption of obligation in cases where the date for requesting the registration of assumption of obligation for KRW OIS transaction falls between the last date of interest calculation period and the date of interest payment for the relevant transaction.

[October 23, 2025]

§26. Matters to Be Notified Concerning Registration of Assumption of Obligations, etc.

(1) Pursuant to [§50(6)] of the Regulation, the Exchange shall notify each of the following subparagraphs to the clearing members at the time of registration of the assumption of obligation or refusal of registration: (Amended on December 16, 2016)

1. The date and time of registration of assumption of obligation or refusal of registration;

2. The registration number in case of the registration of the assumption of obligation;

3. The trade confirmation number;

4. The clearing member number;

5. The client number in case of clearing entrustment or the number of head office, etc. in case of the head office, etc. of a foreign financial investment business entity clearing member;

6. The clearing account number;

7. The reason for refusal of the registration in case of refusal of the registration; and

8. Other matters that the Exchange deems necessary.

(2) Pursuant to [§50(6)] of the Regulation, the Exchange shall make the notification in accordance with paragraph (1) by entering it into the member OTC derivatives settlement system or the member OTC derivatives settlement terminals via the Exchange OTC derivatives settlement system.

(Wholly amended on October 23, 2015)

§26-2. Offsetting Requirements for Cleared Transactions, etc.

(1) "Cases where two cleared transactions satisfy the requirements specified in the Enforcement Rules" in [§50-2(1)] of the Regulation shall refer to the cases where all of the requirements specified in each of the following subparagraphs are met: (Amended on December 16, 2016)

1. The payment and receipt directions of fixed interest amount shall be opposite; and
2. The requirement stipulated in [§6(1) or 6(2)] of the Regulation shall be the same.

(2) Pursuant to [§50-2(3)] of the Regulation, a clearing member who wishes to request the offsetting of cleared transaction (hereinafter in this article referred to as the "offsetting requested clearing member") shall make the request by entering the matters specified in each of the following subparagraphs into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminals. In such cases, the prior agreement of the counterparty clearing member (hereinafter in this article referred to as "offsetting agreed clearing member") related to the cleared transaction that is subject to offsetting shall be made: (Amended on December 16, 2016)

1. The registration number;
2. The clearing account number;
3. The clearing member number;
4. The client number in case of clearing entrustment or the number of head office, etc. in case of the head office, etc. of a foreign financial investment business entity clearing member; and
5. Other matters that the Exchange deems necessary.

(3) The time period for the request for offsetting is from 9:00 to 17:00.

(4) The Exchange shall accept the request in case where the requirements of paragraph (1) are met and notify it to the offsetting requested clearing member and the offsetting agreed clearing member.

(5) The Exchange shall register (hereinafter referred to as "offsetting registration") (hereinafter referred to as "netting registration") the details of offsetting request pursuant to paragraph (4) with the Exchange OTC derivatives settlement system at the reference time for calculation of member net exposure margin stipulated in [§49/*m*] of this Enforcement Rules.

(6) The offsetting is effective from the time of the offsetting registration.

(7) The Exchange shall make the notification pursuant to paragraph (4) by entering each of the following subparagraphs into the member OTC derivatives settlement terminals via the Exchange OTC derivatives settlement system. In such cases, the clearing member shall notify the client of the matters notified by the Exchange.

1. Offsetting date and offsetting amount;
2. Matters in subparagraphs 1 through 3 of paragraph (2); and
3. Other matters that the Exchange deems necessary.

(8) In the case of intending to cancel the offsetting request that was accepted by the Exchange, the offsetting requested clearing member shall make the request for the cancellation of the offsetting request before the offsetting registration. In such cases, a prior consent of the offsetting agreed clearing member is required.

(9) When it is deemed necessary for the reliable and efficient clearing operation, the Exchange may change the requirements stated in paragraph (1), the time to request noted in paragraph (3) and the time of offsetting registration noted in paragraph (5).

[October 23, 2015]

§27. Registration Period for the Assumption of Obligation

(1) The period during which a clearing member is obligated to complete the registration of assumption of obligations for each clearing eligible transaction pursuant to [§51] of the Regulation (hereinafter referred to as "registration period for assumption of obligation") shall be as follows: (Amended on December 16, 2016; September 26, 2023)

1. For the clearing eligible transactions subject to provisions of Article 166-3 of the Financial Investment Services and Capital Markets Act (hereinafter referred to as the "Capital Market Act"): For two (2) business days from the trade execution day; and

2. For the clearing eligible transactions other than those noted in subparagraph 1: From the trade execution day to the business day immediately preceding the contract maturity date. (Amended on October 23, 2025)

(2) In cases where it deems necessary for a reliable and efficient clearing operation, the Exchange may change the registration period for assumption of obligation. (Amended on December 16, 2016)

§27-2. Application of ISDA Definition to Cleared Transactions, etc.

(1) Pursuant to [§53(1)] of the Regulation, cleared transactions shall be subject to the ISDA Definitions (excluding those that the Exchange defined through its notices; hereinafter the same in

this Article) in each of the following subparagraphs. In such cases, in cases where the details of the ISDA Definitions are different from those stipulated in the Regulation or the Enforcement Rules, the Regulation and the Enforcement Rules shall apply first:

1. Cleared transactions corresponding to the clearing eligible transactions executed pursuant to [§2/5(a)]: 2000 ISDA Definitions (referring to the latest version published by ISDA);

2. Cleared transactions corresponding to the clearing eligible transactions executed pursuant to [§2/5(b)]: 2006 ISDA Definitions (referring to the latest version published by ISDA); and

3. Cleared transactions corresponding to the clearing eligible transactions executed pursuant to [§2/5(c)]: 2021 ISDA Interest Rate Derivatives Definitions (referring to the latest amendment published by ISDA).

(2) In the case of applying the ISDA Definitions pursuant to paragraph (1), a “Swap Transaction” or a “Transaction” in the ISDA Definitions shall be construed as a “cleared transaction”, and a “Calculation Agent” shall be construed as the “Exchange” regarding business including the determination of variable interest rates, the calculation of interest amounts, etc.

[September 30, 2021]

CHAPTER V. CLIENT CLEARING

§28. Written Pledge

“The form specified in the Enforcement Rules” in [§54(3)] of the Regulation refers to [Annex: Form No. 7].

§29. Matters Related to a Client of a Clearing Member, etc.

(1) “Matters stipulated in the Enforcement Rules” in [§54(5)] of the Regulation refers to each of the following: (Amended on October 23, 2015)

1. ID number confirming the real name of a client such as the corporation name and corporate registration number or the foreigner investment registration number;

2. Office addresses and telephone number;

3. Password of a client account;

4. Classification of investors;

5. In the case of foreign investors, nationality or country of permanent residence, whether or not there is residence in Korea;

6. If an account of a client is open for stocks, bonds, or other securities that are used as substitute securities, its account number and password;

7. Whether the requirements stated in [§104] are met or not; and

8. Other matters that a general clearing member deems necessary.

(2) A clearing member shall receive from a client a written consent on each of the following:

1. When a general clearing member requests the Exchange the assumption of obligation for client's clearing eligible transaction, Submission to the Exchange of the client's basic personal information, transaction information and information on the client's deposit, client margin, etc. and the possession and use of the information by the Exchange for the purposes of managing the settlement default risk;

2. Submission of transaction information of a client to the Financial Service Commission by the Exchange pursuant to Article 323-16(2) of the Act and Article 318-9(3) of the Enforcement Decree of the Act.

§30. Submission via Electronic Communication Method

Pursuant to [§60(2)] of the Regulation, in case where a general clearing member is submitted with the assumption of obligation via an electronic communication method, it shall be by using the member OTC derivatives settlement terminal or a member OTC derivatives settlement system that meets each of the following subparagraphs:

1.General clearing member shall be able to verify if a person who connects to the member OTC derivatives settlement system in order to submit the request for assumption of obligation is legitimate;

2. Regarding a client's request for assumption of obligation to a general clearing member, it shall be able to record and maintain the details on the acceptance or rejection by the general clearing member, the details on the registration or rejection of registration of the assumption of obligation of clearing eligible transaction by the Exchange and other details processed via the OTC derivatives settlement system.

§31. Details of Request for Assumption of Obligation

"Details of the request for assumption of obligations specified in the Enforcement Rules" in [§61] of the Regulation refers to each of the following subparagraphs:

1. Client account number;
2. Product name;
3. Contract amount;
4. Fixed interest rate;
5. Floating interest rate;
6. Interest calculation cycle and payment cycle; (Amended on October 23, 2025)
7. Effective date;
8. Maturity date;
9. Day count fraction for interest calculation;

10. Business day convention for contract maturity date and the last date of the interest calculation period; (Amended on October 23, 2025)
11. Differentiation of fixed rate payer and floating rate payer;
12. Whether or not compound interest rate is applied;
13. Reference region for business day determination;
14. Time and date of request for assumption of obligation; and
15. Other matters that a general clearing member deems necessary;

§32. Task Delegation Agreement

(1) “Forms specified in the Enforcement Rules” in [§63(2)] of the Regulation shall be separately determined by the Exchange and general clearing members.

(2) The Exchange may request the necessary expenses and remuneration to the general clearing members concerning the delegation of task.

(3) In cases where the Exchange carries out the task delegated without intentional or gross negligence, a clearing member and its client shall not claim damages from the Exchange.

(4) When intending to terminate the task delegation agreement, a party shall notify such fact to the other party at least thirty (30) business days in advance. Provided that this is not the case in the case of the task delegation agreement under [§103(1)] of the Regulation. (Amended on December 5, 2022)

CHAPTER VI. SETTLEMENT OF CLEARED TRANSACTIONS

Section 1. Settlement between a Clearing Member and the Exchange

§33. Rate based Maturity

“Maturities specified in the Enforcement Rules” in [§64(2)] of the Regulation shall refer to the maturities specified in each of the following subparagraphs (hereinafter referred to as the “rate based maturity”): (Amended on August 9, 2016; December 16, 2016; December 18, 2017l June 26, 2023)

1. For KRW IRS cleared transactions: one (1) day, three (3) months, six (6) months, nine (9) months, one (1) year, eighteen (18) months, two (2) years through ten (10) years by the increment of one (1) year, twelve (12) years, fifteen (15) years, and twenty (20) years;

1-2. For KRW OIS cleared transactions: one (1) day, one (1) week, two (2) weeks, three (3) weeks, one (1) month, two (2) months, three (3) months, six (6) months, nine (9) months, one (1) year, eighteen (18) months, two (2) years through ten (12) years by the increment of one (1) year, fifteen (15) years, and twenty (20) years; and [October 23, 2025]

2. For USD cleared transactions: one (1) day, one (1) month through twelve (12) months by the increment of one (1) month, eighteen (18) months, two (2) years through ten (10) years by the

increment of one (1) year, twelve (12) years, fifteen (15) years, twenty (20) years, twenty five (25) years, thirty (30) years, and forty (40) years.

§34. Determination and Publication of Settlement Rate

(1) Pursuant to [§64(4)] of the Regulation, settlement rates shall be calculated on every business day in accordance with [Annex 1-2]. (Amended on August 9, 2016)

1. [Deleted on December 16, 2016]
2. [Deleted on December 16, 2016]
3. [Deleted on December 16, 2016]

(2) [Deleted on December 16, 2016]

(3) Notwithstanding paragraphs (1), in cases where the settlement rates fail to reflect the market situation or it is deemed necessary for the management of the market; the Exchange may change the settlement rates. (Amended on December 16, 2016)

(4) Pursuant to [§64(4)] of the Regulation, the Exchange shall enter settlement rates into the member OTC derivatives settlement system or the member OTC derivatives settlement terminal via the Exchange OTC derivatives settlement system or publish the settlement rates according to other methods determined by the Exchange.

§35. Calculation of Net Present Value

(1) Pursuant to [§64(4)] of the Regulation, net present value shall be calculated on every business day in accordance with [Annex 2]. (Amended on December 16, 2016)

(2) [Deleted on December 16, 2016]

(3) [Deleted on December 16, 2016]

(4) [Deleted on December 16, 2016]

(5) [Deleted on December 16, 2016]

(6) Notwithstanding paragraphs (1), in cases where the calculated net present value fails to reflect the fair market value of the relevant cleared transaction or it is deemed necessary for market management, the Exchange can change the net present value. (Amended on December 16, 2016)

(7) Pursuant to [§64(4)] of the Regulation, the Exchange shall enter the net present value into the member OTC derivatives settlement system or the member OTC derivatives settlement terminal via the Exchange OTC derivatives settlement system or notify the net present value to the clearing member according to the method determined by the Exchange.

§36. Calculation of Daily Net Settlement Amounts, etc.

Pursuant to [§65(2)] of the Regulation, the Exchange shall calculate the amounts referred to in each subparagraph of [§65(1)] of the Regulation after the Exchange finalizes the cleared transactions of the day after 17:00 of each business day. In such cases, the adjustments of the relevant amounts shall be made according to each of the followings: (Amended on December 16, 2016)

1. For KRW cleared transactions: The amount below KRW 1 shall be rounded down; and
2. For USD cleared transactions: The amount shall be rounded off at the third decimal place.

§37. Exception in Calculation of Net Settlement Amount of Previous Day

Pursuant to [§98] of the Regulation, in cases where the renewed net settlement amount noted in [§65(1)2] of the Regulation is calculated for the cleared transaction of which a partial contract amount has been early terminated on the relevant day, net present value of the previous business day shall be adjusted by multiplying the adjustment factor (a value calculated by dividing the contract amount of the cleared transaction after the occurrence of the early termination of a partial contract amount by the contract amount of the cleared transaction before the occurrence of the relevant early termination). (Amended on October 23, 2015)

§38. Calculation of Price Alignment Interests

Pursuant to [§65(2)] of the Regulation, the price alignment interests shall be the amount noted in each of following subparagraphs: (Amended on June 26, 2023)

1. For KRW-cleared transactions: The amount calculated by multiplying the net present value of the previous day of the cleared transaction by minus one (-1), then the KOFR specified in [Annex: 1-2], and the value calculated by dividing the number of days counting from the relevant day to the next business day (counting the first day of the period and not counting the last day of the period) by 365; and (Amended on October 23, 2025)

2. For USD-cleared transactions: The amount calculated by multiplying the net present value of the previous business day by minus one (-1), then the Secured Overnight Financing Rate (SOFR) specified in [Annex: 1-2], and the value calculated by dividing the number of days counting from the relevant day to the next business day by 360.

(Wholly amended on December 16, 2016)

§39. Calculation and Delivery and Receipt of Coupons

(1) Pursuant to [§65(2)] of the Regulation, coupons are calculated by subtracting the amount of subparagraph 1 from the amount of subparagraph 2 when a party of the cleared transaction is the fixed interest payer and by subtracting the amount of subparagraph 2 from the amount of subparagraph 1 when a party of the cleared transaction is the floating interest payer.

1. Fixed interest amount; and
2. Floating interest amount

(2) The provisions of [Annex 2] shall apply *mutatis mutandis* to the calculation of the amounts of fixed interests and floating interests referred to in paragraph (1). (Amended on December 16, 2016)

(3) When the interest payment date of foreign currency-cleared transactions falls on a market holiday, the Exchange and the clearing member shall deliver and receive the coupons on the business day

following the relevant holiday, and if the coupons cannot be calculated before the coupon payment day due to reasons such as market holiday, etc., the Exchange and the clearing member shall deliver and receive the coupons on the business day following the nearest business day on which the relevant coupon amount can be calculated. (Amended on December 16, 2016; June 26, 2023)

§39-2. Calculation of Unrealized Interest

Pursuant to [§65(2)] of the Regulation, unrealized interest shall, when calculating unrealized interest, be calculated as the amount as specified in the following subparagraphs for each KRW OIS cleared transaction:

1. For cases where the interest payment date is the second business day from the date of calculation of the net cash settlement amount: Coupon noted in [§65(1)4] of the Regulation; or

2. For cases other than subparagraph 1: KRW 0.

[October 23, 2025]

Section 2.Net Settlement and Settlement Deadline

§40. Calculation Method of the Net Cash Settlement Amount

Pursuant to [§66(5)] of the Regulation, the net cash settlement amount to be paid and received between the Exchange and a clearing member shall be calculated by producing the net cash settlement amount for each cleared transaction by distinguishing the settlement currency and floating interest rate for each clearing account noted in [§45] of the Regulation and then adding them up by settlement currency. (Amended on December 16, 2016; October 23, 2025)

§41. Limit in Payment Request for Net Cash Settlement Amount

"Amount specified in the Enforcement Rules" in [§69(2)] of the Regulation refers to the cash deposit noted in [§84(1)] of the Regulation. (Amended on December 16, 2016)

§42. Payment Request Method for Net Cash Settlement Amount

Pursuant to [§69(3)] of the Regulation, in case where a clearing member requests the payment of the net cash settlement amount, the clearing member shall enter the details into the Exchange OTC derivatives settlement system via the Member OTC derivatives settlement terminal or submit the application form as stipulated in [Annex: Form No. 8] to the Exchange.

§43. Designation and Termination of Settlement Bank, etc.

(1) Pursuant to [§71(3)] of the Regulation, the Exchange shall designate the settlement bank among banks that meet each of the following requirements: (Amended on June 13, 2014; October 23, 2015; December 16, 2016)

1. Common equity tier 1 capital ratio, tier 1 capital ratio and total capital adequacy ratio under each Item of Article 26(1)1 of the Regulations on Supervision of Banking Business shall be at least 1.2 times the minimum capital ratios;

2. Liquidity coverage ratio under Article 26(1)2 of the Regulations on Supervision of Banking Business shall be 110/100 or higher;

3. The lowest credit rating evaluated by the qualified external credit rating agencies designated by the Financial Supervisory Service shall be 'AA' or higher; and

4. It shall be registered as a foreign exchange agency pursuant to Article 8 of the Foreign Exchange Transactions Act (limited to the case of the settlement bank for foreign currency cleared transactions).

(2) The Exchange shall terminate the designation of settlement bank within 7 business days from the day when the Exchange is aware of the fact that a settlement bank falls under any of the following subparagraphs: (Amended on June 13, 2014; October 23, 2015; December 16, 2016)

1. Where the settlement bank fails to meet the minimum capital ratios prescribed in Article 26(1)1 of the Regulations on Supervision of Banking Business or the liquidity coverage ratio prescribed in Article 26(1)2 of the same Regulations or the requirement for credit ratings under paragraph (1)3;

2. Where the settlement bank is imposed of the measures of management improvement recommendation, management improvement requirement, or management improvement order by the Financial Services Commission pursuant to Articles 34 through 36 of the Regulations on Supervision of Banking Business;

3. Where the settlement bank is imposed of the emergency measures by the Financial Services Commission pursuant to Article 38 of the Regulations on Supervision of Banking Business;

4. Where the settlement bank refuses to submit the documentation referred to in paragraph (3); and

5. Where the status of the settlement bank as a foreign exchange agency is lost or suspended (limited to the case of the settlement bank for foreign currency cleared transactions).

(3) Pursuant to [§71(3)] of the Regulation, the Exchange shall monitor the risk of default by the settlement bank via the OTC derivatives risk management system, and if the Exchange deems necessary, the Exchange may request the settlement bank to submit the related documentations and make necessary amendments applying [§38(1)] of the Regulation *mutatis mutandis*.

(4) Pursuant to [§71(3)] of the Regulation, matters necessary for the designation, selection, management and measures for the settlement bank shall be separately determined by the Exchange.

Section 3. Analysis and Management of Settlement Risk and Provision of Liquidity

§44. Clearing Member's Notification on Fulfillment of the Settlement Obligation, etc.

Pursuant to [§72(3)] of the Regulation, in case where it is expected to be difficult for a clearing member to fulfill the settlement obligation, the Exchange may request the clearing member to notify the Exchange on each of the following subparagraphs:

1. Status of the net cash settlement amount expected to be in default and reasons thereof;
2. Status of a member margin expected not to be deposited and reasons thereof; and
3. Other matters deemed necessary by the Exchange for a reliable and efficient settlement.

§45. Analysis and Management of Clearing Member's Settlement Risk

(1) Pursuant to [§72(3)] of the Regulation, in order to analyze the settlement risk of a clearing member, the Exchange may request the clearing member to verify the matters (hereinafter referred to as "inquiry of matters") that are either referred to in [§7] of the KOSPI Market Disclosure Regulation or the equivalent matters (including rumors and news) that may have a material influence on the financial conditions or the credit risks of the clearing member (hereinafter in this article referred to as "inquiry matters"). Provided that, in cases where the clearing member voluntarily reports the inquiry matters (hereinafter referred to as "voluntary report"), the Exchange may accept the voluntary report as the substitute for the inquiry of matters.

(2) Pursuant to [§72(3)] of the Regulation, the Exchange shall operate and manage the OTC derivatives risk management system in order to identify and manage the settlement risk of clearing members. (Amended on October 23, 2015)

(3) The clearing member that has been requested to verify the matters shall submit the answers by the time noted in each of the following subparagraphs:

1. In cases where the request for inquiry of matters was made in the morning, the response shall be submitted by the time determined by the Exchange in the afternoon of the day; and

2. In cases where the request for inquiry of matters was made in the afternoon, the response shall be submitted by the time determined by the Exchange in the morning of the next business day.

(4) Request for inquiry of matters referred to in paragraph (1) and the response to the request for inquiry of matters referred to in paragraph (3) shall be made over the telephone or via facsimile. In cases where the request for inquiry of matters or the answers to the request for inquiry of matters is made over telephone, the details of the request or the answers shall be documented and the document shall be sent via facsimile without delay.

(5) The Exchange may designate the clearing member that did not answer the request by the time specified in each of the subparagraphs under paragraph (3) and by methods specified in paragraph (4) as a closely monitored member.

(6) The operation and management of the OTC derivatives risk management system noted in paragraph (2) shall be separately determined by the Exchange. (Amended on October 23, 2015)

§46. Type of Financial Resources for Liquidity Provision, etc.

(1) “Financial resources specified in the Enforcement Rules” in [§73(1)] of the Regulation shall refer to each of the following subparagraphs: (Amended on September 20, 2019)

1. Settlement reserve under [§54(3)2] of the “Articles of Incorporation”;

2. Credit lines or foreign currency swaps established by the Exchange with securities finance companies or financial institutions engaged in banking business;

3. OTC derivatives JCF; and

4. Other financial resources that the Exchange deems necessary.

(2) Pursuant to [§73(3)] of the Regulation, usage of financial resources shall be separately determined by the Exchange considering the liquidity, speed of cashability of the resources, time of settlement and other necessary matters.

(3) In cases where a clearing member pays the net cash settlement amount to the Exchange after the delivery deadline before the Exchange provides the liquidity pursuant to [§73(1)] of the Regulation, it shall be deemed that the liquidity is provided with the financial resources noted in paragraph (1).

§47. Calculation of Loss caused by Settlement Delay, etc.

(1) The loss caused by settlement delay under [§74(1)] of the Regulation shall be an amount calculated in each of the following subparagraphs by dividing the financial resources provided as liquidity into the financial resources under [§46(1)2] and other financial resources: (Amended on December 16, 2016; September 20, 2019)

1. For the KRW cleared transactions: The larger amount between KRW 10,000 and the sum (the amount less than KRW 10 to be discarded) of the amounts calculated by multiplying each financial resource provided as liquidity by the loss ratio and the ratio of each clearing member’s delayed settlement amount (the net cash settlement amount that has not been paid by the settlement deadline; the same hereinafter).

2. For the foreign currency cleared transactions: The larger amount between USD 10 and the sum (the 3rddecimal place and below to be discarded) of the amounts calculated by multiplying each financial resource provided as liquidity by the loss ratio and the ratio of each clearing member’s delayed settlement amount.

(2) The loss ratio referred to in paragraph (1) shall be the rates noted in each of the following subparagraphs. Provided that, if the delayed settlement amount is delivered within fifteen (15) minutes of the settlement deadline, 50/100 of the relevant loss ratio shall apply. (Amended on September 20, 2019)

1. Where the liquidity was provided using the financial resources other than those under [§46(1)2]: 2/10,000

2. Where the liquidity was provided using the financial resources under [§46(1)2]: The larger rate between 2/10,000 and the ratio of cost (to round up at the 9th decimal place) for the financial resources under [§46(1)2] used for liquidity provision.

(3) The Exchange shall notify without delay the calculated loss caused by settlement delay to the clearing member that delayed the settlement.

(4) A clearing member shall deliver the loss caused by settlement delay determined pursuant to paragraph (1) to the account of the Exchange that is notified in advance by the 3rd day counting from the day the settlement payment was delayed (hereinafter in this article referred to as “payment deadline”).

(5) In cases where a clearing member fails to deliver the loss caused by settlement delay by the payment deadline, the clearing member shall add to the loss caused by settlement delay the amount calculated by multiplying the loss caused by settlement delay determined pursuant to paragraph (1) by the rate specified in each of the following subparagraphs counting from the next day of the last day of the payment deadline. In such cases, for Korean won, the amount less than KRW 10 shall be discarded and for foreign currencies, the amount below the third decimal place shall be rounded down. (Amended on December 16, 2016)

1. Where a clearing member delivers the loss caused by settlement delay by the 30th business day counting from the next day (when the next day falls on a non-business day, it shall be deferred to the next business day: hereinafter in this article the same) of the last day of the payment deadline: 6/10,000

2. Where a clearing member delivers the loss caused by settlement delay after the 30th business day counting from the next day of the last day of the payment deadline: 8/10,000

Section 4. Settlement between Clearing Member and Client

§48. Limit in Payment Request for Client's Net Cash Settlement Amount

“Amount specified in the Enforcement Rules” in [§78(3)] and [§79(4)] of the Regulation shall refer to the cash deposit noted in [§90(1)] of the Regulation. (Amended on December 16, 2016)

CHAPTER VII. MARGINS

Section 1. Deposit of Member Margin

§49. Reference Time for Calculation of Member Net Exposure Margins

“Time specified in the Enforcement Rules” in [§81(1)] of the Regulation shall be 17:00. Provided that, in cases where the cleared transactions are transferred pursuant to [§100] or [§100(2)] on the relevant day, the reference time for calculation of member net exposure margin for the clearing members related to the relevant transfer shall be 17:20. (Wholly amended on October 23, 2015)

§50. Member Net Exposure Margin Amount

(1) Pursuant to [§81(5)] of the Regulation, the member net exposure margin amount shall be calculated by adding up the amounts by settlement currency that are calculated in accordance with [Annex 5] for each cleared transaction with the same settlement currency and floating interest rate for each clearing account, considering the interest rate risks. Provided that, in the case of a closely monitored clearing member, it shall be the amount calculated by adding the liquidity risk margin amount, which is calculated pursuant to [Annex 6] in consideration of the liquidity risk resulting from the close-out, etc. of cleared transactions. (Amended on August 9, 2016; December 16, 2016; October 23, 2025)

(2) The Exchange shall calculate the rate of liquidity risk margin with respect to the calculation of member net exposure margin amount referred to in the proviso to paragraph (1) in accordance with [Annex 4] and notify the rates to clearing members via the Exchange OTC derivatives settlement system. (Amended on August 9, 2016; December 16, 2016)

(3) Notwithstanding paragraphs (1) and (2), in case where the Exchange imposes an extra margin to the member net exposure margin pursuant to [§31] or [§119] of the Regulation, the sum of the amount calculated in accordance with paragraph (1) and the amount calculated by multiplying the amount calculated in accordance with paragraph (1) by the extra margin multiplier shall be deemed to be the member net exposure margin. In cases where there are more than two reasons for the imposition of extra margin on the member net exposure margin, the extra margin multiplier to apply to the amount calculated in accordance with paragraph (1) shall be the sum of each extra margin multiplier determined per each reason for the imposition of extra margin. (Amended on October 23, 2015)

(4) Notwithstanding paragraphs (1) and (2), in case where it deems necessary for a reliable and efficient clearing operation, the Exchange may change the rate of liquidity risk margin referred to in [Annex 4] and the supposition and the factor referred to in [Annex 5], etc. In such cases, the Exchange shall notify the details to clearing members via the Exchange OTC derivatives settlement system without delay. (Amended on August 9, 2016)

§50-2. Review of Margin Calculation Methodologies, etc.

(1) The Exchange shall have an independent and capable external institution review the propriety of the member margin calculation methodologies, etc. when the Exchange changes an important part of the calculation methodologies of member margin pursuant to [§81(5)] of the Regulation or when deems necessary for market management purposes.

(2) When the Exchange has the review pursuant to paragraph (1), it shall report the results to the Risk Management Committee.

[November 13, 2014]

§51. Deposit of Member Risk Margin Amount

(1) "Sum of the amount specified in the Enforcement Rules and the amount equivalent to the member net exposure margin amount" in [§81(1)] of the Regulation shall be the sum (in cases where the clearing account is the client clearing account, subparagraphs 2 and 3 shall be excluded from the sum; hereinafter referred to as the "member risk margin amount") of amounts noted in each of the following subparagraphs calculated by each settlement currency for each clearing account for the

cleared transactions at the reference time for the calculation of member net exposure margin on every business day. (Amended on June 13, 2014; October 23, 2015; December 16, 2016; December 18, 2017; October 23, 2025)

1. The member net exposure margin amount stipulated in [§50].
2. The net cash settlement amount stipulated in [§40].
3. [Deleted on December 18, 2017]

(2) Notwithstanding paragraph (1), in cases where the Exchange is obligated to pay the net cash settlement amount to a clearing member, the member risk margin shall be the amount obtained by subtracting the net cash settlement amount to be paid by the Exchange from the sum of the amounts noted in subparagraphs 1 and 3 of paragraph (1). [December 16, 2016]

§52. [Deleted on October 23, 2015]

§53. Advanced Deposit of Margin for Registration of Assumption of Obligation

(1) Pursuant to [§81(3)] of the Regulation, in case where the Exchange registers the assumption of obligation of a clearing eligible transaction, the clearing member shall deposit in advance, as member margin, the amount that is no less than the sum (hereinafter referred to as "margin amount for registration of assumption of obligation") of the amounts noted in each of the following subparagraphs calculated by each settlement currency for each clearing account: (Amended on June 13, 2014; October 23, 2015; December 16, 2016; September 26, 2023; October 23, 2025)

1. Member risk margin amount (Excluding net cash settlement amount stated in [§66(1)] of the Regulation after the settlement deadline stated in [§66(2)] of the Regulation)

2. Cumulative outstanding margin amount (Amount equivalent to the absolute value in case where, for the clearing eligible transaction for which the request for the assumption of obligation was made after the day following the trade execution day, the net present value calculated as of the immediately preceding business day using the settlement rate of the previous business day of the date of requesting the assumption of obligation is negative)

3. Total value variation margin amount (Amount calculated pursuant to [Annex 7] of the clearing eligible transaction that requested the assumption of obligation)

4. Negotiated settlement amount. In such cases, if a client receives the relevant amount from the Exchange on the next business day, it shall be zero (0).

(2) [Deleted on October 23, 2015]

(3) [Deleted on October 23, 2015]

(4) The Exchange shall calculate the total value variation margin rate relating to the calculation of the total value variation margin amount noted in paragraph (1)3 in accordance with [Annex 4] and notify the rate to clearing members via the Exchange OTC derivatives settlement system. (Amended on October 23, 2015; December 16, 2016)

(5), In cases where it deems necessary for a reliable and efficient clearing operation, the Exchange may change the total value variation margin rate referred to in paragraph (4). In such cases, the Exchange shall notify the details to clearing members via the Exchange OTC derivatives settlement system without delay. (Amended on October 23, 2015)

§54. Deposit of Intraday Member Margin

(1) "Time specified in the Enforcement Rules" in [§82(1)] of the Regulation shall be 12:00.

(2) "Intraday net settlement loss, etc. specified in the Enforcement Rules" in [§82(1)] of the Regulation shall be, in cases where the sum of intraday net settlement amounts which is calculated by the Exchange for each settlement currency at 12:00 every business day is negative, the amount equivalent to the absolute value (hereinafter referred to as "intraday net settlement loss, etc.") of the sum. (Amended on December 16, 2016; September 26, 2023; October 23, 2025)

(3) The intraday net settlement amount noted in paragraph (2) shall be calculated by subtracting the net present value of the preceding business day from the net present value calculated as of the preceding business day using the interest rate at the time specified in each of the following subparagraphs. Provided that, if the interest rate at the time specified in subparagraphs 1 and 2 is not available, the fallback rate noted in [§3-2] shall be used, and if the interest rate specified in subparagraph 3 is not available, the settlement interest rate for the preceding business day shall be used: [October 23, 2025]

1. CD rate: Time specified in [§3(1)] of the preceding business day; [October 23, 2025]

2. KOFR: Time specified in [§3(2)] of the preceding business day; and [October 23, 2025]

3. For cases other than subparagraphs 1 and 2: 11:30 on the day. [October 23, 2025]

(4) The cases where the assessed value of the deposited asset is less than the clearing amount of the member maintenance margin stipulated in [§82(1)] of the Regulation shall be classified as follows: (Amended on December 16, 2016; December 18, 2017)

1. For clearing members: In cases where the sum of the amounts calculated according to items (a) and (b), respectively and converted into KRW is in negative value. In such cases, each of the items of [§56(1)1] shall apply *mutatis mutandis* to the conversion of the amount calculated according to item (b) into KRW.

   (a) The amount obtained by subtracting the clearing amount of the member maintenance margin for KRW cleared transactions from the amount produced by subtracting the sum of the net cash settlement amount, the cumulative outstanding margin amount, the total value variation margin amount for KRW cleared transactions and the negotiated settlement amount, from the amount of deposited asset of the clearing member denominated in a foreign currency other than USD and converted into KRW; and

   (b) The amount obtained by subtracting the clearing amount of the member maintenance margin for USD cleared transactions from the amount produced by subtracting the net cash settlement amount, the cumulative outstanding margin amount and the total value variation margin amount for USD cleared transactions and the negotiated settlement amount, from the assessed value of the deposited asset of the clearing member denominated in USD.

2. For clients (including the head office, etc., of a foreign financial investment business entity clearing member; the same hereinafter in the Article): In cases where the sum of the amounts calculated according to items(a) and (b), respectively and converted into KRW is in negative value. In such cases, each of the items of [§56(1)1] shall apply *mutatis mutandis* to the conversion of the amount calculated according to item (b) into KRW.

(a) The amount obtained by subtracting the clearing amount of the member maintenance margin for KRW cleared transactions from the amount produced by subtracting the cumulative outstanding margin amount and the total value variation margin amount for KRW cleared transactions and the negotiated settlement amount from the amount of the deposited asset that was deposited to the clearing member by clients as client clearing margins in a foreign currency other than USD and converted into KRW; and

(b)The amount obtained by subtracting the clearing amount of the member maintenance margin for USD cleared transactions from the amount produced by subtracting the cumulative outstanding margin amount, and the total value variation margin amount for USD cleared transactions and the negotiated settlement amount, from the assessed value of the deposited asset that was deposited to the clearing member by clients as client clearing margins in USD.

(5) The clearing member maintenance margin amount referred to in [§82(1)] of the Regulation shall be the amount falling under any of the following subparagraphs: (Amended on December 16, 2016)

1. In the case of clearing members: The amount calculated by multiplying the sum of the intraday net settlement loss, etc. and member net exposure margin calculated by each settlement currency for each clearing account by 2/3 (for Korean won, the amount less than KRW 1 shall be discarded and for US dollars, the amount below the third decimal place shall be discarded); and (Amended on October 23, 2025)

2. In the case of clients: The amount calculated by multiplying the sum of the intraday net settlement loss, etc. and the member net exposure margin calculated by each settlement currency for each client clearing account by 2/3 (for Korean won, the amount less than KRW 1 shall be discarded and for US dollars, the amount below the third decimal place shall be discarded). (Amended on October 23, 2025)

(6) The intraday member margin amount noted in [§82(1)] of the Regulation shall be the sum of the member risk margin amount and intraday net settlement loss, etc.

(7) Pursuant to [§82(3)] of the Regulation, [§53(1)] shall apply *mutatis mutandis* to the member margin which a member is required to deposit in advance in cases where the clearing member falls under [§82(1)] when the clearing member registers the assumption of obligation. In such cases, “the member risk margin amount” shall be deemed to be “the intraday member margin amount”.

(Wholly amended on October 23, 2015)

Section 2. Deposit, Withdrawal and Method of Management and Investment of Member

Margin

§55. Deposit Limit of Substitute Securities, etc.

(1) "Limit specified in the Enforcement Rules" in [§83(2)] of the Regulation shall be the total amount of member margins.

(2) Notwithstanding paragraph (1), in cases where it deems necessary for a reliable clearing operation, the Exchange may change the deposit limit of the deposited assets classified in each of the following subparagraphs: (Amended on December 16, 2016)

1. For KRW cleared transactions: Substitute securities, foreign currencies or foreign securities; and

2. For USD cleared transactions: Substitute securities, Korean won, foreign currencies (excluding USD) or foreign securities.

§56. Return and Appropriation of Member Margins

(1) Pursuant to [§84(2)] of the Regulation, the amount of payment and appropriation noted in paragraph (1) of the same Article is calculated in the order of each of the following subparagraphs:

1. To calculate the amount obtained by subtracting the margin amount for registration of assumption of obligation [if a clearing member receives a net cash settlement amount from the Exchange, the net cash settlement amount shall be zero (0)] calculated in a settlement currency for cleared transactions from the assessed value of the deposited asset denominated in the same currency as the relevant settlement currency of the cleared transactions. In such cases, unless the relevant amount is denominated in KRW, it shall be converted into KRW according to each of the following items:

   (a) In cases where the relevant amount is in a negative value: The amount shall be converted into KRW by applying [§16-2] *mutatis mutandis*; and

   (b) In cases where the relevant amount is in a positive value: The amount shall be converted into KRW by multiplying it by the base market prices noted in [§66(3)] and 95/100.

2. To calculate the assessed value in KRW of the deposited asset denominated in a currency other than the settlement currency of cleared transactions.

3. To calculate the sum of the amount calculated according to subparagraph 1 and the assessed value calculated according to subparagraph 2.

(2) In cases where a clearing member requests the payment of deposited cash, the Exchange shall pay an amount within the amount smaller between the amount obtained by subtracting the net cash settlement amount that the clearing member is obligated to pay on the relevant day from the deposited cash, and the amount calculated according to paragraph (1)3.

(3) Pursuant to [§84(2)], even if the proprietary asset among the deposited assets of a clearing member exceeds the amount of clearing margins in the proprietary clearing account, when the

deposited asset of a client (including the head office, etc., of a foreign financial investment business entity clearing member) falls short of the amount of the clearing margin in the client clearing account, the Exchange shall not pay the amount noted in paragraph (1)3 of the clearing member itself within the total amount of the shortfall.

(Wholly amended on December 16, 2016)

§57. Method of Deposit and Withdrawal of Member Margins

Pursuant to [§85(2)] of the Regulation, in case where a clearing member deposits or withdraws the member margin, the clearing member shall enter the information into the Exchange OTC derivatives settlement system via the member OTC derivative settlement terminal or submit the application forms in [Annex: Form No. 9 through 12] to the Exchange.

§58. Management and Investment of Member Margins

(1) "Methods stipulated in the Enforcement Rules" in [§86(4)] of the Regulation shall refer to the method falling under any of subparagraphs of [§15(1)].

(2) When managing the member margins deposited in Korean won or foreign currencies by depositing in securities finance companies or banks as stipulated in paragraph (1), the Exchange shall limit the amount deposited in a single securities finance company or bank in accordance with the guidelines which are separately determined by the Exchange. [November 13, 2014] (Amended on December 16, 2016)

(3) In cases where the profits from the member margins is credited to the member margin pursuant to [§86(6)], the profit to be credited for each clearing member (excluding taxes, operating expenses and depository expenses from the proceeds from the investment mentioned in paragraph (1)) shall be calculated separately as determined by the Exchange, and the relevant amount shall be credited to the member margins. (Amended on September 30, 2021; March 26, 2025)

(4) Pursuant to [§86(6)] of the Regulation, in cases where the Exchange operates the member margin deposited in cash or foreign currencies, it shall operate it in the manner of general operation and special operation by currency according to the standards separately determined by itself. [March 26, 2025]

(5) In addition to paragraphs (1) through (4), the Exchange shall separately determine matters necessary for managing cash or foreign currencies deposited as member margin.

Section 3. Deposit of Client Margins

§59. Client Net Exposure Margin Amount

(1) Pursuant to [§87(5)] of the Regulation, the client net exposure margin by each client clearing account shall be the amount that the general clearing member chooses among the amounts noted in each of the following subparagraphs. Provided that, in cases where the clearing member signed a task delegation agreement pursuant to [§63] of the Regulation, the client net exposure margin shall

be the amount noted in subparagraph 1. (Amended on October, 23, 2015; August 9, 2016; December 16, 2016)

1. The amount calculated by multiplying the member net exposure margin for each client clearing account which the Exchange calculates and notifies to the clearing members by the rate determined by the general clearing members, with the minimum rate of 100% (in cases where the clearing member signed a task delegation agreement pursuant to [§63] of the Regulation, the rate shall be in increments of 10%).

2. The amount calculated applying [§50] *mutatis mutandis*. In such cases, the rate of liquidity risk margin referred to in [Annex 4] and the supposition referred to in [Annex 5] may be set by general clearing members with the minimum value set by the Exchange.

(2) [Deleted on August 9, 2016]

(3) When a general clearing member changes the rate of liquidity risk margin and the supposition, which were set pursuant to the later part of subparagraph 2 of paragraph (1), the general clearing member shall notify the details of such change to the client and the Exchange without delay. (Amended on August 9, 2016; December 16, 2016)

§60. Deposit of Client Risk Margins

"Amount stipulated in the Enforcement Rules" in [§87(1)] of the Regulation shall be the sum of amounts noted in each of the following subparagraphs (hereinafter referred to as "client risk margin") calculated for the cleared transactions at the reference time for the calculation of member net exposure margin by the settlement currency for each client clearing account on every business day: (Amended on June 13, 2014; December 16, 2016)

1. Client net exposure margin amount referred to in [§59]; and
2. Client's net cash settlement amount referred to in [§78(1)] of the Regulation.

§61. [Deleted on October 23, 2015]

§62. Advanced Deposit of Client Margin for Registration of Assumption of Obligations

(1) Pursuant to [§87(3)] of the Regulation, in cases where the Exchange registers the assumption of obligation for the clearing eligible transaction of a client, the general clearing member shall receive in advance the amount, as client margin, that is no less than the sum (hereinafter referred to as "client margin amount for registration of assumption of obligation") of the amounts noted in each of the following subparagraphs calculated by the settlement currency of client clearing transactions for each client clearing account: (Amended on June 13, 2014; October 23, 2015; December 16, 2016; July 14, 2023; September 26, 2023)

1. The client risk margin amount (after the deadline for the receipt and delivery noted in [§78(4)] of the Regulation, the client's net cash settlement amount noted in paragraph (1) in the same Article is excluded)

2. The cumulative outstanding client margin amount (the amount equivalent to the absolute value in cases where, for the clearing eligible transaction for which the request for the assumption of obligation was made after the trade execution day, the net present value as of the immediately preceding business day calculated by using the settlement interest rate of the immediately preceding business day of the date of requesting the assumption of obligation is negative);

3. The client total value variation margin amount; and

4. The negotiated settlement amount. In such cases, if the client receives the relevant amount from the clearing member on the next business day, the negotiated settlement amount shall be zero (0).

(2) [Deleted on October 23, 2015]

(3) The client total value variation margin rate noted in paragraph (1)3 shall be calculated by multiplying the rate determined by the general clearing member while setting 100% as the minimum rate to amount that the Exchange calculates for the clearing eligible transaction entrusted by a general clearing member applying [Annex 7]. In such cases, if the clearing member signed a task delegation agreement pursuant to [§63] of the Regulation, the rate shall be determined in increments of 10%. (Amended on July 14, 2023)

(4) In cases where a general clearing member changes the rate determined in accordance with the former part of paragraph (3), the clearing member shall notify the details to the client and the Exchange without delay.

(5) In cases where a client of a clearing member is required to deposit the intraday client margin pursuant to [§88(1)] of the Regulation, client margin for registration of assumption of obligation shall be calculated pursuant to paragraph (1), provided that the “client risk margin amount” shall be deemed to be the “intraday client margin”.

§62-2. Deposit Limit of Substitute Securities, etc.

“Limit specified in the Enforcement Rules” in the proviso to [§89(1)] of the Regulation shall refer to the amount that are set by the general clearing members within the deposit limit stipulated in [§55(1)]. [December 16, 2016]

Section 4. Payment and Appropriation of Client Margins

§63. Return and Appropriation of Client Margins

Pursuant to [§90(2)] of the Regulation, the amount of payment and appropriation noted in paragraph (1) of the same Article is calculated in the order of each of the following subparagraphs:

1. To calculate the amount obtained by subtracting the margin amount for registration of assumption of obligation (If a client receives a net cash settlement amount of client from the general clearing member, the net cash settlement amount of client shall be zero (0)) calculated in a settlement currency for client cleared transactions from the assessed value of the deposited asset denominated in the same currency as the relevant settlement currency of the client cleared

transactions. In such cases, unless the relevant amount is denominated in KRW, it shall be converted into KRW according to each of the following items:

(a) In cases where the relevant amount is in a negative value: The amount shall be converted into KRW by applying [§16-2] *mutatis mutandis*; and

(b) In cases where the relevant amount is in a positive value: The amount shall be converted into KRW by multiplying it by the base market prices noted in [§66(3)] and 95/100.

2. To calculate the assessed value in KRW of the deposited asset denominated in a currency other than the settlement currency of client cleared transactions.

3. To calculate the sum of the amount calculated according to subparagraph 1 and the assessed value calculated according to subparagraph 2.

(2) In cases where a client requests the payment of deposited cash, the general clearing member shall pay an amount within the amount smaller between the amount obtained by subtracting the net cash settlement amount of client that the client is obligated to pay on the relevant day from the deposited cash, and the amount calculated according to paragraph (1)3.

(Wholly amended on December 16, 2016)

§64. Return and Appropriation of Client Margin by the Exchange

Pursuant to [§91(5)] of the Regulation, the Exchange shall apply [§63] *mutatis mutandis* to the criteria and method for calculation of return and appropriation of the client margin. In such cases, the "clearing member" shall be deemed to be the "Exchange".

Section 5. Types and Valuation of Substitute Securities, Foreign Currencies and Foreign Securities

§65. Substitute Securities

(1) Pursuant to [§95(6)] of the Regulation, during the period from the announcement of the closing price of the listed stocks, collective investment securities of ETFs and DRs of foreign stocks of the day until the Exchange publishes the substitute price pursuant to [§58] of the Enforcement Rules of Securities Market Clearing and Settlement Business Regulation, the Exchange and a general clearing member may apply the substitute price obtained by applying the base market price in each of the following subparagraphs; (Amended on October 23, 2015; March 26, 2025)

1. In cases where the member margin, etc. are calculated before the reference time for calculation of member net exposure margin noted in the main sentence of [§49], the base market price on the calculation day (hereinafter referred to as "base market price") determined pursuant to [§20(1)] of the KOSPI Market Business Regulation or [§14(1)] of the KOSDAQ Market Business Regulation including the closing price on the previous day of the calculation day. It is provided that in case where the calculation day falls on a day with the issues undergoing ex-dividends, etc., the Exchange and the general clearing member may determine the price considering the base market prices of the listed stocks, DRs of foreign stocks and collective investment securities of ETFs;

2. In cases where the member margin, etc. are calculated after the reference time for calculation of member net exposure margin noted in the main sentence of [§49], the base market price on the next business day of the calculation day including the closing price on the calculation day. It is provided that in case where the next business day of the calculation day falls on a day with the issues undergoing ex-dividends, etc., the Exchange and the general clearing member may determine the price considering the base market prices of the listed stocks, DRs of foreign stocks and collective investment securities of ETFs.

(2) “Ratio specified in the Enforcement Rules” in [§95(2)2] of the Regulation shall be 10 percent of the same listed stocks issued by the listed company.

(3) “Criteria set by the Enforcement Rules” in [§95(1)1&2] of the Regulation shall mean the criterion in each of the following subparagraphs. Provided that any security (excluding financial bonds) eligible for the securities transaction noted in Article 4 of the “Regulation on Open Market Operation” of the Bank of Korea shall be deemed to have satisfied all of the criteria. (Amended on December 5, 2018; September 20, 2019; October 23, 2025)

1. The high liquidity criteria in each of the following items shall be satisfied:

(a) It shall be listed on a market with ample liquidity so that it can be quickly disposed of even in times of crisis. In such cases, the “market with ample liquidity” refers to the KOSPI Market and the KOSDAQ Market established by the Exchange.

(b) For a substitute security classified into the Stock Group pursuant to [§47] of the Enforcement Rules of Securities Market Clearing and Settlement Business Regulation, the securitization period calculated in accordance with [§45] and [Annex 2] of the Enforcement Rules of Securities Market Clearing and Settlement Business Regulation shall be within one (1) day. (Amended on Mary 26, 2025)

2. The credit risk criteria in each of the following items shall be satisfied:

(a)The risk weight referred to in Section 3 of Chapter 2 of [Table 3] of the Detailed Regulations on Supervision of Banking Business shall be zero (0) percent.

(b)In the case of an asset falling under 20 percent of risk weight referred to in Section 3 of Chapter 2 of [Table 3] of the Detailed Regulations on Supervision of Banking Business, a credit enhancement scheme that is deemed appropriate by the Exchange shall be in place.

3. In addition, it shall fall under an asset, the market risk of which is recognized by the Exchange to be low.

(4) Notwithstanding paragraphs (1) and (3), each general clearing member may adjust the base market price of the substitute securities that can be deposited by the client as client margin or adjust and apply the assessment rate or substitute price of the substitute securities within the assessment rate or substitute price adjusted pursuant to paragraph (3).

(5) In cases where it deems necessary for a reliable clearing of OTC derivatives, the Exchange may adjust and apply the base market prices, assessment rates and substitute prices of the substitute

securities. In such cases, the Exchange shall notify the matters adjusted to all clearing members without delay. (Amended on December 5, 2018)

§66. Types and Valuation of Foreign Currencies, etc.

(1) "Foreign currencies specified in the Enforcement Rules" in [§96(1)] of the Regulation shall be the foreign currencies falling under any of the followings. Provided that the types of foreign currencies that a client can deposit as client margins shall be determined by the general clearing members from among foreign currencies that fall under any of the following subparagraphs:

1. US Dollar;
2. Japanese Yen;
3. European Union Euro;
4. British Pound;
5. Hong Kong Dollar;
6. Australian Dollar;
7. Singapore Dollar;
8. Swiss Franc; and
9. Canadian Dollar.

(2) Pursuant to [§96(2)] of the Regulation, the Exchange shall calculate the revaluated price of foreign currency on each business day by multiplying the base market price of the foreign currency by the assessment rate. In such cases, the amount less than KRW 1 shall be discarded. Provided that the revaluated price of the foreign currency deposited by the client as client margin shall be calculated by the general clearing member. (Amended on December 16, 2016)

(3) The base market price of a foreign currency under paragraph (2) shall be the basic exchange rate (referring to the basic rate of the day determined and published pursuant to the Foreign Exchange Transaction Regulation; however, it shall be the basic rate of the previous day, if no basic rate of the day is available) noted in each of the following subparagraphs, and the assessment rates of a foreign currency under paragraph (1) shall be calculated at the end of each quarter applying *mutatis mutandis* subparagraph 1a of [Annex 19-4] of the Enforcement Rules of Derivatives Market Business Regulation based on the yield of the basic rate of each foreign currency and applied for the quarter following the date of calculation: (Amended on December 18, 2017)

1. In cases where the member margin is calculated before the reference time for calculation of member net exposure margin noted in the main sentence of [§49], the basic exchange rate noted in each of the following items:

   (a) For US Dollar, the basic rate determined and published on the calculation day; and

   (b) For currencies other than US Dollar, the adjusted basic rate determined and published on the previous day of the calculation day.

2. In cases where the member margin is calculated after the reference time for calculation of member net exposure margin noted in the main sentence of [§49], the basic exchange rate noted in each of the following items:

(a)For US Dollar, the basic rate determined and published on the next day of the calculation day; and

(b) For currencies other than US Dollar, the adjusted basic rate determined and published on the calculation day.

(4) Notwithstanding the main sentences of paragraphs (1) and (2) and paragraph (3), in cases where the collateral value of a foreign currency changes, a restriction is placed on the cashability of foreign currency or it is deemed necessary for a reliable clearing operation, the Exchange may change the base market price and assessment rate, or the revaluation method for the foreign currency.

(5) Notwithstanding paragraphs (3) and (4), in case where the exchange rate of a foreign currency fluctuates suddenly or there is worry about such sudden change of an exchange rate, the general clearing member may change the base market price of foreign securities which can be deposited by the client as client margin or apply the assessment rates of foreign currencies after adjusting it within the assessment rates under paragraphs (3) and (4).

(6) The Exchange shall, after having calculated the revaluated price of a foreign currency pursuant to paragraphs (2) and (4), make public such price per currency type through the electronic information delivery medium operated by the Exchange.

(7) In cases where a revaluated price of a foreign currency has been calculated pursuant to the proviso to paragraph (2) and paragraph (5), the general clearing member shall make public such price per foreign securities using such medium as the electronic information delivery device operated by the general clearing member. It is provided that in case where the base market price and assessment rate of the foreign currency pursuant to paragraph (5) have not been applied, the announcement made by the Exchange pursuant to paragraph (6) shall be used instead.

(8) In cases where it deems necessary for a reliable clearing of OTC derivatives, the Exchange may change the base market prices, assessment rates and revaluation methods of foreign currencies for each clearing member. In such case, the Exchange shall notify the adjusted details to the relevant clearing member.

§67. Types and Valuation of Foreign Securities, etc.

(1) “Foreign securities specified in the Enforcement Rules” in [§97(1)] of the Regulation shall be the foreign securities falling under any of the following subparagraphs. Provided that the types of foreign securities that a client can deposit as client margins shall be determined by the general clearing members from among foreign securities that fall under to any of the following subparagraphs:

1. US Treasury Bills;
2. US Treasury Notes;
3. US Treasury Bonds; and
4. Other foreign securities that the Exchange accepts.

(2) Pursuant to [§97(2)] of the Regulation, the Exchange shall calculate the revaluated price of foreign securities on each business day by multiplying the base market price of the foreign securities by the assessment rate. In such cases, the amount below the third decimal place shall be discarded.

Provided that the revaluated price of the foreign currency deposited by the client as client margin shall be calculated by the general clearing member. (Amended on December 16, 2016)

(3) The base market price of the foreign securities pursuant to paragraph (2) shall be the average (to round off at the 5th decimal place) of the market prices for each issue that a global information and communication service vendor provided to the Exchange consecutively in the recent five (5) business days. Provided that, in cases where the market prices per issue was provided for less than five (5) business days, it shall be the average of the market prices provided consecutively.

(4) [Deleted on December 16, 2016]

(5) The foreign securities referred to in paragraph 1 shall be categorized into the government bond group under subparagraph 2a of [§47] of the Enforcement Rules of Securities Market Clearing and Settlement Business Regulation, and the assessment rates of a foreign security shall be calculated every trading day based on the terms to maturity of the relevant foreign security and the assessment rates of the foreign currency (referring to the currency in which the relevant foreign security is denominated), etc. under subparagraph 2a of [Annex 19-4] of the Enforcement Rules of Derivatives Market Business Regulation and applied on the following trading day.(Amended on December 18, 2017)

(6) Notwithstanding the main sentences of paragraphs (1) and (2), paragraph (3) and paragraph (5), in cases where it is deemed necessary, in the respect of possible change in collateral value and restrictions on cashability, or for a reliable clearing operation, the Exchange may restrict the type of foreign securities, or may change the base market prices and assessment rates of foreign securities, and the revaluation methods of foreign securities. (Amended on December 16, 2016; March 26, 2025)

(7) Notwithstanding the proviso to paragraph (2), paragraphs (3) and paragraph (5), in case where the collateral value of foreign securities fluctuates suddenly or there is worry about such sudden change of collateral value or the cashability of foreign securities is restricted, the general clearing member may change the base market price of foreign securities or apply to the client the assessment rate of a foreign security after adjusting it within the assessment rate under paragraph (5). (Amended on December 16, 2016)

(8) In cases where a general clearing member has calculated a revaluated price of foreign securities pursuant to the proviso to paragraph (2) and paragraph (7), it shall make public such price per foreign securities using such medium as the electronic information delivery device operated by the general clearing member. It is provided that in case where no change has occurred pursuant to paragraph (7), the announcement made by the Exchange pursuant to paragraph (9) shall be used instead.

(9) In cases where the Exchange has calculated the revaluated price of foreign securities pursuant to paragraphs (2) and (6), it shall make public such price per foreign securities using such medium as the electronic information delivery device operated by the Exchange.

(10) In cases where it deems necessary for a reliable clearing of OTC derivatives, the Exchange may change the base market prices and assessment rates of foreign securities, and the revaluation methods of foreign securities. In such case, the Exchange shall notify the details of such adjustments to the relevant clearing member.

§67-2. Compression Request, etc.

(1) The Exchange shall determine the date to execute a compression of cleared transactions (hereinafter referred to as the "execution date") and the schedule for each step of a compression run considering the volume of cleared transactions and the demands of clearing members pursuant to [§98(4)] of the Regulation.

(2) The Exchange shall notify its clearing member of necessary matters regarding compression such as the execution date, etc. determined pursuant to paragraph (1) no later than ten (10) days before the execution date by entering into the member OTC derivatives settlement system or the member OTC derivatives settlement terminal via the Exchange OTC derivatives settlement system or by other methods determined by the Exchange. In such cases, the clearing member shall notify the client of the matters notified by the Exchange.

(3) A clearing member who wishes to participate in compression shall request to participate in compression (hereinafter referred to as the "compression request") by entering into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal or by other methods determined by the Exchange. Provided that, the Exchange may restrict a clearing member from making the compression request in case where it deems necessary for a reliable and efficient clearing operation.

(4) The Exchange shall accept the request in case where a clearing member has made the compression request and notify it to the relevant clearing member. In such cases, the clearing member shall notify the client of the matters notified by the Exchange.

(5) A clearing member who made the compression request pursuant to paragraph (3) (hereinafter referred to as the "compression requested clearing member") shall notify the Exchange of the details in each of the following subparagraphs by entering into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal or by other methods determined by the Exchange.

1. Trade data such as the registration number, the contract amount, etc. of the cleared transaction that is subject to compression (hereinafter referred to as "compression eligible transaction");
2. The tolerable limit of risk variability, etc. in the compression eligible transactions as an outcome of compression (hereinafter referred to as the "risk tolerance");
3. Other matters that the Exchange deems necessary.

(6) The Exchange shall prepare a proposal regarding the reduction in the size of the compression eligible transactions including the details in each of the following subparagraphs(hereinafter referred to as the "compression proposal") and notify the relevant compression requested clearing members of the proposal by 12:00 on the execution day, and the clearing member shall notify the client that made the compression request(hereinafter referred to as the "compression requested client") of the matters notified by the Exchange. Provided that, in cases where it deems necessary for a reliable and efficient compression run, the Exchange may change the notification deadline for the compression proposal.

1. Existing registration number of assumption of obligation;
2. Trade data such as the contract amount before and after compression, etc.;
3. Risk tolerance set by the compression requested clearing member;

4. Negotiated settlement amount; and
5. Other matters that the Exchange deems necessary.

(7) In cases where it deems necessary for efficient preparation of a compression proposal, the Exchange may prepare a proposal regarding compression and undertake a preliminary procedure to confirm with compression requested clearing members before preparing the compression proposal pursuant to paragraph (6).

(8) The compression requested clearing member that is notified of the compression proposal pursuant to paragraph (6) shall confirm without delay the content of the compression proposal, and shall notify the Exchange of whether or not there is any flaw in the content by entering into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal or by other methods determined by the Exchange. In such cases, compression requested client shall notify the clearing member of whether or not there is any flaw in the compression proposal, and the clearing member shall notify the Exchange of the matters that was notified.

(9) In cases where the Exchange was notified by a compression requested clearing member of any flaw in the content of the compression proposal pursuant to paragraph (8), the Exchange shall take necessary measures such as re-preparing a compression proposal and re-notifying it to compression requested clearing members, etc.

(10) In cases where the confirmation of the content in the compression proposal has been completed pursuant to paragraph (8) and paragraph (9), a compression requested clearing member shall deposit the margin for registration of assumption of obligation calculated pursuant to [§53(1)] of the Regulation by 17:00 of the execution day, and a clearing member shall have the compression requested client deposit the amount that is more than the amount of client margin calculated pursuant to [§62(1)] of the Regulation by the time set by the clearing member within 17:00 of the execution day. In such cases, the total value variation margin amount out of the margin amount for registration of assumption of obligation and the client total value variation margin amount out of the client margin amount for registration of assumption of obligation shall be the amount calculated pursuant to the proviso to [Annex 7]. Provided that, notwithstanding [§53(1)4] and [§62(1)4], the negotiated settlement amount for the compression eligible transactions included in the compression proposal among the margin amount for registration of assumption of obligation and the client margin amount for registration of assumption of obligation shall be the amount obtained by subtracting the total receipt amount from the total payment amount of the negotiated settlement amount (if it is less than zero, it shall be zero). (Amended on July 14, 2023)

(11) In cases where all the compression requested clearing members have deposited the margin for registration of assumption of obligation pursuant to paragraph (10), the Exchange shall register the termination of contracts and changes in contract amount, etc. on the Exchange OTC derivatives settlement system (hereinafter referred to as the “compression registration”).

(12) The relevant transaction becomes valid as stipulated in each of the following subparagraphs at the time of compression registration pursuant to paragraph (11).

1. The trade that terminates all or a part of the contract amount of a cleared transaction according to the details of the compression proposal of the relevant cleared transaction between the compression requested clearing member and the Exchange; and

2. The trade that terminates all or a part of the contract amount of a transaction taking place pursuant to the former part of [§52(3)], according to the details of the compression proposal of such transaction between the clearing member and the compression requested client.

(13) In cases where the Exchange registers compression pursuant to paragraph (11), it shall notify the details of each of the following subparagraphs to the compression requested clearing members who are the parties to the compression. In such cases, the clearing member shall notify the compression requested client of the matters notified by the Exchange.

1. Execution date;
2. Existing registration number of assumption of obligation;
3. The contract amount before and after compression;
4. Negotiated settlement amount; and
5. Other matters that the Exchange deems necessary.

(Wholly amended on June 7, 2022)

§67-3. Withdrawal of Compression Request and Suspension of Compression, etc.

(1) A compression requested clearing member may withdraw its compression request no later than two (2) business days before the execution date by entering into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal or by other methods determined by the Exchange. In such cases, the compression requested client shall notify the clearing member of the withdrawal of compression request, and the clearing member shall notify the Exchange of the matters that was notified.

(2) In cases where a compression requested clearing member has not submitted the details of each of the following subparagraphs in Article 67-2(5) necessary for compression, it shall be deemed that the relevant compression requested clearing member has withdrawn the compression request.

(3) In cases where any of the following subparagraphs becomes relevant, the Exchange may suspend a compression run.

1. In cases where natural disaster, warfare/disturbance, fire and other force majeure event equivalent to such circumstances occurs;
2. In cases where the execution of compression becomes or may become contrary to law or government regulation;
3. In cases where the contract between the Exchange and the compression service provider (it refers to a third party that entered into a service contract with the Exchange regarding compression: hereinafter the same) becomes suspended or terminated;
4. In cases where a notification by a compression requested clearing member pursuant to Article 67-2(5) is either non-existent or deficient;
5. In cases where the preparation of a compression proposal pursuant to Article 67-2(6) is either difficult or impossible;
6. In cases where measures such as re-preparation of compression proposal pursuant to Article 67-2(9) is difficult;

7. In cases where a compression run cannot be processed in the normal manner due to a failure in the Exchange OTC derivatives settlement system (including the system of the compression service provider) or communication facilities, etc.;
8. In cases where a compression run becomes suspended due to the reasons in each of the following subparagraphs in paragraph (3), the Exchange shall notify compression requested clearing members of such fact via the Exchange OTC derivatives settlement system. In such cases, the clearing member shall notify the relevant client of the matters regarding the suspension of the compression run.

(4) The Exchange shall not be liable for any financial loss due to either the suspension of compression or the outcome of compression to either a compression requested clearing member and a compression requested client.

(Wholly amended on June 7, 2022)

CHAPTER VIII. EARLY TERMINATION, CHANGE OF PARTY AND TRANSFER OF CLEARED TRANSACTION

Section 1. Early Termination and Change of Party of Cleared Transaction

§68. Request for Early Termination and Change of Party, etc.

(1) Pursuant to [§98(4)] of the Regulation, a clearing member shall make the request for early termination and change of party by entering it into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or member OTC derivatives settlement terminal as specified in each of the following subparagraphs: (Amended on January 22, 2021; June 7, 2022)

1. In the case of early termination: A clearing member who intends to request for an early termination of the cleared transaction (herein after in this Article referred to as “the early termination requested clearing member”) shall make the request by entering matters specified in each of the following items: In such cases, the agreement of the clearing member who is the other party of the cleared transaction subject to the early termination (hereinafter in this Article referred to as “the early termination agreed clearing member) shall be obtained in advance, and remaining contracts as a result of the early termination shall comply with the contract amount requirements under [§3(5)1(d) (including cases falling under subparagraph 2(a) of the same paragraph)] or [§8(4)] of the Regulation. (Amended on October 23, 2025)

   (a) The registration number of the assumption of obligation for the cleared transaction to be terminated early;

   (b) The number of contracts to be terminated early; and

   (c) Other matters that the Exchange deems necessary.

2. In the case of a change of party: A clearing member who intends to transfer the cleared transaction (herein after in this Article referred to as “the assignor clearing member”) shall request the change of party by entering the matters specified in each of the following items. In such cases, the clearing member who intends to receive (herein after in this Article referred to

as “the assignee clearing member”) and the clearing member who is the other party of the clearing eligible transaction related to the cleared transaction to be transferred shall agree in advance on the change of party.

(a) Registration number of assumption of obligation for the change of party of the cleared transaction;

(b) Clearing account number of the assignee clearing member; and

(c) Other matters that the Exchange deems necessary.

(2) Pursuant to [§98(4)] of the Regulation, the Exchange shall register the request for early termination and change of party and notify the fact to the relevant clearing member in cases where a clearing member deposits the margin amount for registration of assumption of obligation calculated pursuant to [§53(1)] of the Regulation. (Amended on June 7, 2022; July 14, 2023)

(3) In the case of accepting early termination or change of party of a client clearing transaction, the clearing member shall have the relevant client deposit the amount that is more than the amount of client margin amount for registration of assumption of obligation calculated pursuant to [§62(1)] of the Regulation in advance. (Amended on June 7, 2022; July 14, 2023)

(4) In the case of a cancellation of a request for early termination or change of party that is accepted by the Exchange, the early termination requested clearing member or assignor clearing member shall request the cancellation of the request for early termination or change of party before the registration of contract change referred to in paragraph (5).In such cases, the early termination agreed clearing member or the assignee clearing member shall agree on the cancellation in advance. (Amended on June 7, 2022)

(5) The Exchange shall register the details of the request for early termination or change of party with the Exchange OTC derivatives settlement system at the reference time for calculation of member net exposure margin referred to in the main sentence of [§49]. (Amended on June 7, 2022)

(6) The relevant transaction becomes valid as stipulated in each of the following subparagraphs at the time of registration of early termination or change of party pursuant to paragraph (5). (Amended on December 16, 2016; June 7, 2022)

1. In the case of early termination:

(a) The trade that terminates all or a part of the contract amount of a cleared transaction according to the details of the request for early termination of the relevant cleared transaction between the early termination requested clearing member and the Exchange, and between the early termination agreed clearing member and the Exchange; and

(b) The trade that terminates all or a part of the contract amount of a transaction taking place pursuant to the former part of [§52(3)], according to the details of the request for early termination of such transaction between the early terminations requested clearing member and its client, and between the early terminations agreed clearing member and its client.

2. In the case of change of party: The trade that an assignee clearing member acquires the position of assignor clearing member of the cleared transaction subject to the change of party and the position of assignor clearing member of the transaction taking place pursuant to the former part of [§52(3)].

(7) In cases where the Exchange registers early termination or change of party pursuant to paragraph (5), it shall notify the details of each of the following subparagraphs to the clearing members who are the parties to the early termination or the change of party. In such cases, the clearing member shall notify its relevant client of the matters notified by the Exchange. (Amended on June 7, 2022)

1. Matters in each of following items in the case of early termination:

   (a) Date of early termination;

   (b) Existing registration number of assumption of obligation;

   (c) Contract amount before and after the early termination; and

   (d) Negotiated settlement amount; and

   (e) Other matters that the Exchange deems necessary.

2. Matters in each of following items in the case of change of party:

   (a) Date of change of party;

   (b) Existing registration number of assumption of obligation;

   (c) Notification matters noted in [§26] for the cleared transaction that concluded the change of party; and

   (d) Negotiated settlement amount; and

   (e) Other matters that the Exchange deems necessary.

(8) Pursuant to [§98(4)] of the Regulation, in case where the request of change of party is registered in the Exchange OTC derivatives settlement system, it shall be deemed as the change of party by a certificate with a certified fixed date.

(9) In cases where it deems necessary for a reliable and efficient clearing operation, the Exchange may change the time of the request referred to in [§98(3)] of the Regulation and the time for registration of change of contract noted in paragraph (5).

(10) Notwithstanding paragraph (2), the Exchange may refuse to accept the request for early termination or change of party in the case of falling under any of the following subparagraphs: [October 23, 2025]

1. If the date of the request for early termination or change of party in a KRW OIS transaction falls between the last date of the interest calculation period for the transaction and the date of interest payment. Or [October 23, 2025]

2. In other cases where the Exchange deems it necessary for stable and smooth clearing business operations. [October 23, 2025]

(Wholly amended on October 23, 2015)

§69. Receipt and Delivery of Negotiated Settlement Amount for Contract Change

(1) Pursuant to the [§99(2)] of the Regulation, a clearing member shall receive from and deliver to the Exchange the negotiated settlement amount for the contract change after adding the amount to the net cash settlement amount referred to in [§66(1)] of the Regulation. (Amended on October 23, 2015; June 7, 2022)

(2) In the case of a client clearing transaction, the negotiated settlement amount for contract change shall be delivered and received in the way where the client receives from and delivers to the clearing member, and the relevant clearing member receives from and delivers to the Exchange. Provided that the client of the clearing member who has entered a task delegation agreement with the Exchange shall receive from and deliver to the Exchange directly. (Amended on December 16, 2016)

Section 2. Transfer of Cleared Transactions

§70. Request for Transfer of Client Clearing Transactions between Clearing Members, etc.

(1) Pursuant to [§100(4)] of the Regulation, in case of requesting the transfer of the client clearing transaction, the transferor clearing member noted in [§100(2)] of the Regulation (hereinafter referred to as the “transferor clearing member”) shall enter the matters specified in each of the following subparagraphs into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal. In such cases, the transferee clearing member noted in [§100(2)] of the Regulation (herein after referred to as the “transferee clearing member”) shall agree on the transfer of the client clearing transaction in advance.

1. The name of transferee clearing member;

2. The registration number of the assumption of obligation for the client clearing transaction to be transferred; and

3. Other matters that the Exchange deems necessary.

(2) In cases where a client clearing agreement between a transferee clearing member and a client is concluded, the Exchange shall receive the transfer request of the cleared transaction pursuant to paragraph (1) and then notify such fact to the transferor clearing member and transferee clearing member. The transferor clearing member or transferee clearing member of the relevant transfer request may not cancel the relevant transfer request after accepting the transfer request. Provided that, if the Exchange deems it necessary for stable and smooth clearing business operations, it may refuse to accept the transfer request. (Amended on October 23, 2025)

(3) The Exchange shall register the details of the transfer request noted in paragraph (1) in the Exchange OTC derivatives settlement system at the end of the period for requesting the transfer.

(4) The trade of each of the followings becomes valid at the time of registration of transfer request pursuant to paragraph (3): (Amended on December 16, 2016)

1. The trade by which the transferee clearing member acquires the position of the transferor clearing member of the cleared transaction transferred, and

2. The trade by which the transferee clearing member acquires the position of the transferor clearing member of the transaction taking place pursuant to the former part of [§52(3)] of the Regulation.

(5) The Exchange shall notify the matters specified in each of the following subparagraphs to the transferor clearing member and transferee clearing member after the registration of transfer request was made pursuant to in paragraph (3). In such cases, the transferee clearing member shall notify the client of the matters notified by the Exchange.

1. The date of transfer;
2. The registration number of the assumption of obligation;
3. The transferor clearing member and transferee clearing member; and
4. Other matters that the Exchange deems necessary.

(6) The Exchange may change the period for requesting the transfer noted in [§100(3)] of the Regulation, the requirement noted in paragraph (2) and the registration time referred to in paragraph (3) in case where it deems necessary for a reliable and efficient clearing operation.
(Wholly amended on October 23, 2015)

§71.Transfer Price of Cleared Transaction

Pursuant to [§100(4)] of the Regulation, the price of the transferred cleared transaction shall be the net present value of the previous business day. (Amended on October 23, 2015)

§72. Exceptions in Transfer of Client Clearing Transaction between Clearing Members

Notwithstanding the provision of [§70], when a transferor clearing member falls under [§101] of the Regulation, a transferee clearing member may request the Exchange for the transfer of the property of a client in writing which includes the consent of the client, at the request of a client. In such case, the Exchange may transfer the property of the client to the transferee clearing member according to the procedures in each of the following subparagraphs: (Amended on December 16, 2016; January 22, 2021)

1. Pursuant to [§101(5)] of the Regulation, the Exchange may dispatch its staff member to the transferor clearing member or convene the transferor clearing member, the transferee clearing member and the client;

2. The property of the client shall be transferred to the transferee clearing member according to each of the following items in the presence of the staff member of the Exchange:

   (a) Substitute securities deposited by the client: The Exchange terminates the right of sub-pledge, the transferor clearing member terminates the right of pledge, the transferee clearing member acquires the right of pledge, and the Exchange acquires the right of sub-pledge;

(b)Korean won or foreign currency deposited by the client: It shall be deemed to be deposited with the Exchange for the relevant client by the transferee clearing member; and
(c) Foreign securities deposited by the client: It shall be deemed to be deposited with the Exchange for the relevant client by the transferee clearing member.

(Wholly amended on October 23, 2015)

§73.Transfer Request of Cleared Transaction between Clearing Accounts

(1) Pursuant to [§100-2(4)] of the Regulation, a clearing member shall make the request for transfer by entering the matters specified in each of the following subparagraphs into the Exchange OTC derivatives settlement system via the member OTC derivatives settlement system or the member OTC derivatives settlement terminal:

1. The account that transfers (hereinafter referred to as “transferor clearing account") and the account that receives the transfer (hereinafter referred to as “transferee clearing account”);

2. The registration number of the assumption of obligation for cleared transaction to be transferred; and

3. Other matters that the Exchange deems necessary.

(2) The Exchange shall register details of the transfer request pursuant to paragraph (1) in the Exchange OTC derivatives settlement system at the end of the period for transfer request and the clearing member cannot cancel the transfer request after the request is registered. Provided that, if the Exchange deems it necessary for stable and smooth clearing business operations, it may refuse to register the relevant transfer request. (Amended on October 23, 2025)

(3) The Exchange shall notify the matters in each of the following subparagraphs to the clearing member after the registration of transfer request pursuant to paragraph (2). In the case of transfer between client clearing accounts, clearing members shall notify clients of the matters notified by the Exchange: (Amended on December 16, 2016)

1. The date of transfer;
2. The registration number of the assumption of obligation;
3. The transferor clearing account and transferee clearing account; and
4. Other matters that the Exchange deems necessary.

(4) The Exchange may change the period for requesting the transfer noted in [§100-2(3)] of the Regulation and the registration time noted in paragraph (2) in case where it deems necessary for a reliable and efficient clearing operation.

(Wholly amended on October 23, 2015)

CHAPTER IX. DEFAULT MANAGEMENT PROCESS

Section 1. Measures for the Default Clearing Member

§74. Settlement Support by Dispatched Employee from the Exchange

(1) Pursuant to [§101(5)] of the Regulation, the dispatched employee of the Exchange who supports the settlement tasks of a default clearing member shall show the certificate of settlement support order to the relevant clearing member

(2) The dispatched employee of the Exchange shall support the business related to default management with diligent and fair attitude and strictly keep secret the confidential information obtained in the process of conducting the business.

§75. Notification of Measures Pursuant to the Settlement Default, etc.

(1) Pursuant to [§101(6)] of the Regulation, the Exchange shall notify the matters specified in each of the following subparagraphs to the relevant clearing members:

1. Measures pursuant to [§101(1)] of the Regulation;
2. Termination of measures pursuant to [§104(2)] of the Regulation; and
3. [Deleted on October23, 2015]

(2) "Where it is likely to fail to fulfill the settlement obligations" in [§101(2)7] of the Regulation shall include the cases falling under any of the following subparagraphs: (Amended on December 16, 2016)

1. Where the application of rehabilitation procedures or the commencement of bankruptcy procedures regarding a clearing member was filed, and the application has not been resolved within 15 days counting from the filing day;
2. Where corporate restructuring or similar procedures regarding a clearing member is commenced;
3. Where dissolution order or dissolution judgment regarding a clearing member is confirmed by the court;
4. Where the Financial Services Commission cancels the authorization for the business of investment trading of OTC derivatives of a clearing member;
5. Where the membership of KOSPI market, KOSDAQ market, derivatives market operated by the Exchange is terminated or suspended or case where the settlement amount of the market or the margin to be paid to the Exchange is not deposited; and
6. Where a clearing member does not reserve the OTC derivatives JCF contribution amount to be paid to the Exchange.

§76. Protection of Client, etc.

(1) "Period specified in the Enforcement Rules" referred to in [§103(1)] of the Regulation shall refer to thirty (30) days counting from the date of occurrence of the clearing member's default. Provided

that the Exchange may extend or shorten the period if it deems necessary considering market conditions and advice from the Default Management Committee.

(2) Pursuant to [§103(4)], a clearing member and a client may not request compensation from the Exchange when intentional act or gross negligence does not exist as the Exchange acts on behalf of a clearing member subject to measures.

§77. Client Margin

(1) Pursuant to [§103(1)] of the Regulation, clients of a clearing member subject to measures shall pay the amount no less than the total amount of each of the following subparagraphs as client margins: (Amended on June 13, 2014; December 16, 2016)

1. The client risk margin under [§60]. Provided that the client net exposure margin amount in paragraph (1) of the same Article shall be the amount calculated by multiplying the member net exposure margin amount calculated by the Exchange in regard to the client clearing account of the relevant client by the ratio determined by the Exchange with a minimum rate of 150%; and

2. The intraday client margin under [§88] of the Regulation. Provided that it shall be the amount calculated by multiplying the intraday client margin calculated for the client clearing account of the relevant client pursuant to [§82] of the Regulation by the ratio set by the Exchange with a minimum rate of 100%.

(2) The cash proportion of client margin under paragraph (1) shall be set by the Exchange with a minimum rate of 0%.

Section 2. Risk Management in Case of Settlement Default

§78. Composition and Operation of Default Management Committee

The composition and operation of the Default Management Committee and other necessary matters shall be specified separately by the Exchange.

[Wholly amended on June 26, 2023]

§79. [Deleted on June 26, 2023]

§80. Conduct of Crisis Response Training

(1) Pursuant to [§106(2)] of the Regulation, a member of the Default Management Committee may conduct a training noted in each of the following subparagraphs in order to prepare for a settlement default of a clearing member in company with the Exchange (hereinafter referred to as “crisis response training”):

1. Conduct of hedging transaction;

2. Composing the auction units and the conduct of auction;

3. Conduct of close-out netting; and

4. Other matters that the Exchange and the Default Management Committee deem necessary.

(2) The Exchange shall conduct the crisis response training referred to in paragraph (1) at least once a year. In such cases, the Exchange shall notify the date and reason to the Default Management Committee members and the clearing member firms that employ the members within five (5) business days at the least. After the completion of training, the result shall be notified to the Risk Management Committee referred to in [§133] of the Regulation. (Amended on February 24, 2015; October 23, 2015)

§81. Method of Hedging Transaction

(1) Pursuant to [§107(2)] of the Regulation, the Exchange shall conduct hedging transaction in the name of the Exchange utilizing the clearing eligible transaction, etc. referred to in [§5] of the Regulation. In such case, the Exchange is regarded to have conducted the registration of assumption of obligations.

(2) The settlement of hedging transaction pursuant to paragraph (1) shall be conducted by the Exchange. Provided that it is compensated by the financial resources referred to in provisions from [§112] to [§115] of the Regulation.

(3) The expenses associated with the execution, trade confirmation, and clearing, etc. of a clearing eligible transaction under paragraph (1), and the loss and profit of the clearing eligible transaction shall be attributed the default clearing member.

§81-2. [Deleted on October 23, 2025]

[December 16, 2016]

§82. Composition of Auction Unit

(1) Pursuant to [§108(7)] of the Regulation, the Exchange shall compose an auction unit regarding the transactions subject to auction by asking advice from the Default Management Committee. (Amended on February 24, 2015)

(2) The Exchange may differently compose the auction unit of paragraph (1) in case where it deems necessary for the risk management of transactions subject to auction.

§82-2. Setting and Managing of Minimum Price

(1) Pursuant to [§108(7)] of the Regulation, the Exchange may set a minimum price for each auction unit noted in [§82] to use it as a criterion for determining the successful bidder and successful bidding price.

(2) The minimum price note in paragraph (1) shall be determined in consideration of market condition, the size of financial resources for settlement, etc.

(3) The Exchange may disclose the minimum price noted in paragraph (1) to auction participants in consideration of market condition, the size of financial resources for settlement, whether to re-auction, etc.

[December 5, 2022]

§83. Methods of Auction Participation

(1) “Party specified in the Enforcement Rules” in [§108(6)] of the Regulation shall refer to the person designated by the Exchange in consideration of the settlement reliability, etc. In such case, the person designated by the Exchange shall be regarded as a clearing member regarding the receipt and delivery of settlement amount.

(2) “Auction participants stipulated in the Enforcement Rules” in [§108(5)] of the Regulation shall be the preliminary successful bidders pursuant to [§84(1)]. (Amended on October 23, 2015)

(3) Pursuant to [§108(3)] of the Regulation, the method of auction participation shall be by inputting the quotation per auction unit into the Exchange OTC derivatives settlement system via the Member OTC derivatives settlement system or Member OTC derivatives settlement terminal at the auction time on the auction date determined by the Exchange. (Amended on October 23, 2015)

(4) The auction deposit noted in [§108(5)] of the Regulation (herein after referred to as “auction deposit”), shall be determined by the Exchange with the maximum amount calculated by applying the main sentence of [§50(1)] *mutatis mutandis*. (Amended on October 23, 2015)

(5) The auction deposit can be paid in Korean won, substitute securities, foreign currencies or foreign currency securities. In such cases, the provisions from [§95] to [§97] of the Regulation shall apply *mutatis mutandis* with respect to the type and appraisal of substitute securities, foreign currencies or foreign currency securities. (Amended on October 23, 2015; December 16, 2016)

(6) In cases where the minimum price is disclosed pursuant to [§82-2(3)], a quotation shall be entered at the minimum price or higher, and if a quotation lower than the minimum price is entered, the quotation shall be deemed not to have been submitted. [December 5, 2022]

§84. Successful Bidding of Auction Unit

(1) Pursuant to [§108(7)] of the Regulation, a clearing member who inputs the highest bid price regarding an auction unit (in the case of a positive amount, it refers to the amount that the clearing member is supposed to pay to the Exchange. In the case of a negative amount, it refers to the amount that the Exchange is supposed to pay to the clearing member: hereinafter the same) shall be regarded as the preliminary successful bidder (When the number of clearing members who inputted the highest bid price is more than two (2), the preliminary successful bidder is determined by lot) of the relevant auction unit. Provided that, if the highest bid price is less than the minimum price noted in [§82-2(1)], it shall be deemed that there is no preliminary successful bidder. (Amended on June 13, 2014; October 23, 2015; December 5, 2022)

(2) A clearing member who is notified by the Exchange as a preliminary successful bidder shall deposit the auction deposit within the time decided by the Exchange and in case where the auction deposit is not deposited until the deadline, the position of preliminary successful bidder is lost. (Amended on October 23, 2015)

(3) In cases where a preliminary successful bidder deposits the auction deposit, the preliminary successful bidder becomes the successful bidder of the relevant auction unit. (Amended on October 23, 2015)

(4) A successful bidder shall deposit the member margin calculated pursuant to [§81(1)] of the Regulation including the awarded auction unit by the deadline for member margin stipulated in [§81(2)] of the Regulation (hereinafter in this Article referred to as "deadline for member margin"), and in case where the member margin is not deposited until the deadline for member margin, the position of successful bidder is lost. (Amended on October 23, 2015)

(5) In cases where the position of successful bidder is lost pursuant to paragraph (4), the clearing member cannot ask for the return of the auction deposit. In such cases, if the amount deposited as an auction deposit (in case where the relevant clearing member deposited substitute securities, foreign currencies or foreign currency securities as an auction deposit, it is the amount disposed by the Exchange pursuant to [§123] of the Regulation subtracting the costs of disposal) by the relevant clearing member exceeds the auction deposit, the Exchange shall return the excess to the relevant clearing member. (Amended on October 23, 2015)

(6) Notwithstanding paragraphs (1) and (3), the Exchange may determine the preliminary successful bidding or successful bidding considering the advice of the Default Management Committee and the size of the financial resources for settlement performance, market condition, etc. (Amended on October 23, 2015; December 5, 2022)

§85. Settlement Method of a Successful Bid, etc.

(1) Pursuant to [§109(4)] of the Regulation, the Exchange shall receive from and deliver to the successful bidding clearing member the net cash settlement amount (calculated based on the zero (0) net present value of the previous day) calculated on the relevant day including the amount that is supposed to be paid to or to be paid from the Exchange (hereinafter referred to as the "auction price") on condition of the auction unit being awarded to the successful bidding clearing member by the settlement deadline on the settlement day referred to in [§66(2)]. (Amended on June 13, 2014: October 23, 2015)

(2) In cases where a client participates in auction pursuant to [§108(4)] of the Regulation, a clearing member shall receive from and deliver to client the client's net cash settlement amount deducted the auction price applying [§78] of the Regulation *mutatis mutandis.* (Amended on June 26, 2023)

(3) If a successful bidding clearing member is the counterparty of the clearing eligible transaction related to the cleared transaction noted in [§108(1)] of the Regulation, the auctioned transaction and the transaction taking place pursuant to the former part of [§52(3)] of the Regulation and the cleared transaction related to the relevant clearing eligible transaction (excluding the cleared transaction stipulated in [§108(1)]) shall be dissolved at the time of successful bid simultaneously. (Amended on October 23, 2015; December 16, 2016)

§86. Reason to Call a General Meeting of Clearing Members

"Cases specified in the Enforcement Rules" in [§110(1)2] of the Regulation shall refer to the case falling under any of the followings: (Amended on June 13, 2014; December 18, 2017)

1. [Deleted on June13, 2014]

2. Where the clearing operation has been suspended or halted pursuant to [§16(4)], and a non-defaulting clearing member requests the Exchange in writing to close out the clearing operation; and

3. Where the Exchange deems that it is not possible to continue the clearing operation due to natural disaster, warfare, disturbance and other similar circumstances.

§87. Measures in case of Rejection at the General Meeting of Clearing Members

Pursuant to [§110(3)] of the Regulation, in case where each subparagraph of [§110(1)] of the Regulation is rejected at the general meeting of clearing members, clearing members shall newly accumulate the OTC derivatives JCF at the Exchange applying [§28] of the Regulation *mutatis mutandis*. In such case, the Exchange may suspend the clearing operation until at the least 75% of the OTC derivatives JCF is newly accumulated, and if this suspension period exceeds thirty (30) business days, the Exchange may initiate the close-out netting process pursuant to [§88] by applying the settlement rate of the last day before the suspension.

§88. Close-out Netting Process

(1) In cases where the Exchange initiates the close-out netting pursuant to [§111(1)] of the Regulation, it shall be conducted pursuant to the process in each of the following subparagraphs: (Amended on June 13, 2014; December 16, 2016)

1. Pursuant to [§64] through [§66] of the Regulation, the net present value of cleared transaction of the relevant day shall be calculated and the net cash settlement amount shall be confirmed. In such case, the KRW IRS rates, the KRW OIS rates, and the USD SOFR OIS rates noted in [Annex 1-2] shall be the simple average interest rate excluding the 1/4 of the interest rates submitted in an ascending order and the 1/4 of interest rates submitted in a descending order among the interest rates submitted by all of the non-defaulting clearing members that hold cleared transactions; (Amended on October 23, 2025)

2. Foreign currency and securities deposited at the Exchange by a clearing member is transferred to the Exchange at the price determined by the Exchange in the order of foreign currency, foreign currency securities, and substitute securities up to the limit of the net obligations related to the cleared transactions of a clearing member;

3. The rights and obligations related to the cleared transactions between the Exchange and a clearing member shall be netted, and all of cleared transactions between the Exchange and a clearing member shall be dissolved. In such case, netting shall be conducted per clearing member and client; and

4. Simultaneously with the netting of paragraph (3), the clearing member shall net the rights and obligations related to the transaction taking place pursuant to the former part of [§52(3)] of the Regulation with the client. In such case, all the transactions taking place pursuant to the former part of [§52(3)] of the Regulation between the clearing member and the client shall be dissolved.

(2) Pursuant to paragraph (1)1, the net present value of the relevant day may be calculated by applying the settlement rate of the previous business day in case where all of non-default clearing members do not submit the interest rate for the calculation of net present value of the relevant day.

(3) In cases where the Exchange and a clearing member have remaining debt obligation after the netting pursuant to paragraph (1)3, the Exchange and the clearing member shall perform the obligation until 16:00 of the next business day of the notification date of the close-out netting details. In such case, the Exchange shall perform the obligation per clearing member and the client. (Amended on June 13, 2014)

(4) In cases where the clearing member and a client have remaining obligation after the netting pursuant to paragraph (1)4, it shall perform the obligation until 16:00 of the next business day of the notification date of the close-out netting details. (Amended on June 13, 2014)

(5) The Exchange shall notify the commencement, completion and the close-out netting details of paragraph (1). (Amended on June 13, 2014)

§88-2. Close-out Netting Commencement Method of Clearing Member, etc.

(1) Pursuant to [§111(3)] of the Regulation, a clearing member shall notify the intention and the date of the commencement of close-out netting to the Exchange in writing.

(2) It shall be deemed that on the date of the close-out netting in paragraph (1), the Exchange commences the close-out netting process pursuant to [§88]. (Added on June13, 2014)

Section 3. Default Waterfall

§89. Compensation of Losses using OTC Derivatives JCF, etc.

(1) The compensation of losses among the clearing members in a same category of sequence as referred to in [§113(3)] of the Regulation shall be made pursuant to each of the followings:

1. In the case of non-participating clearing members stipulated in [§113(3)1] of the Regulation (hereinafter referred to as the "non-participating clearing members"):

A non-participating clearing member bears the amount of the OTC derivatives JCF calculated in proportion to the ratio of the amount of the OTC derivatives JCF contributed by the relevant non-participating clearing member to the total sum of the OTC derivatives JCF contributed by all non-participating clearing members;

2. In the case of unsuccessful bidding clearing members stipulated in [§113(3)2] of the Regulation (hereinafter referred to as the "unsuccessful bidding clearing members"):

The compensation of losses shall be made according to the sequence noted in each of the following items with the amount specified in the relevant item:

(a) For the unsuccessful bidding clearing member who submitted ineffective quotations (in case where there are multiple auction units, it refers to the unsuccessful bidding clearing member who submitted ineffective quotations at any of the auction units):

The amount calculated in proportion to the ratio of the amount of the OTC derivatives JCF contributed by each of the relevant unsuccessful bidding clearing members to the total sum of the OTC derivatives JCF contributed by the relevant unsuccessful bidding clearing members.

(b) For the unsuccessful bidding clearing member who submitted effective quotations:

The amount calculated in proportion to the ratio of the amount of the OTC derivatives JCF contributed by each of the relevant unsuccessful bidding clearing members to the total sum of the OTC derivatives JCF contributed by the relevant unsuccessful bidding clearing members.

(2) "Ineffective quotation" in paragraph (1)2(a) shall refer to a quotation that is equal to or less than the amount obtained by subtracting the amount calculated by multiplying the member net exposure margin of the relevant auction unit by 150/100 from the auction price for each auction unit, and "effective quotation" in paragraph (1)2(b) shall refer to any quotation other than the ineffective quotations for each auction unit. (Amended on December 5, 2022)

(3) Pursuant to [§113(6)] of the Regulation, in cases where there are multiple auction units, the clearing member who has not submitted quotations at any of the auction units shall be construed as a non-participating clearing member and the clearing member who has submitted quotations at all of the auction units but was not successful or partially successful in the bidding shall be construed as an unsuccessful bidding clearing member.

(Wholly amended on July 14, 2016)

§90. Member Assessment Reserve

(1) Pursuant to [§114(6)] of the Regulation, a clearing member shall autonomously reserve an amount available for sharing the possible maximum additional contribution as payment reserve prepared for additional loss (hereinafter referred to as "member assessment reserve") in Korean won, substitute securities, foreign currency, or foreign currency securities separately from other assets.

(2) Regarding the type and appraisal of substitute securities, foreign currency or foreign currency securities referred to in paragraph (1), the provisions from [§95] to [§97] of the Regulation shall apply *mutatis mutandis*.

(3) Clearing member shall report the accumulation of member assessment reserve referred to in paragraph (1) to the Exchange within five (5) business days counting from the date of accumulation.

(4) The Exchange may examine the report of the clearing member to the Exchange pursuant to paragraph (3) quarterly or at the time determined by the Exchange.

§90-2. Currency for Payment of Member Assessment

The cash to be paid by clearing members as member assessment pursuant to [§114(4)] of the Regulation shall be in KRW. [December 16, 2016]

§91. Conversion of Member Assessment into the OTC Derivatives Joint Compensation Fund

Pursuant to [§114(6)] of the Regulation, in case where there remains an amount after compensating the loss of a default clearing member with member assessment, the remaining amount shall be deemed to be converted into the OTC derivatives JCF.

§92. Calculation of Collection of Variation Margin Gains Haircut

(1) "Period specified in the Enforcement Rules" in [§115(1)] of the Regulation shall refer to the period from the first day of the cap period until the date of confirmation [it refers to the day on which all of the cleared transactions (including the hedging transactions) of a default clearing member is resolved; hereinafter the same] of the default loss (it refers to all losses caused during and after the cap period regarding the cleared transaction of the clearing member that did not perform settlement during the cap period) that belongs to the cap period.

(2) "Variation margin gains haircut per clearing member, which is specified in the Enforcement Rules" in [§115(2)] of the Regulation shall refer to the amount of the remaining loss allotted to the net-gaining clearing members according to the ratio of net-gaining cash settlement amount during the period from the first day of the cap period to the business day following the date of confirmation referred to in paragraph (1).Provided that the variation margin gains haircut of each net-gaining clearing member shall not exceed the net-gaining cash settlement amount of each net-gaining clearing member. (Amended on December 18, 2017)

(3) Pursuant to [§115(2)] of the Regulation, a clearing member that is notified of the amount of variation margin gains haircut shall pay the relevant amount to the Exchange by 12:00 of the business day following the date of notification.

(4) In cases where a clearing member fails to pay the amount of variation margin gains haircut by the payment deadline referred to in paragraph (3), the Exchange may suspend or halt the clearing operation until the clearing member pays the amount.

§93. Cap Period of the OTC Derivatives Joint Compensation Fund, etc.

(1) "Period specified by the Enforcement Rules" in [§116] of the Regulation shall be thirty (30) days counting the occurrence date of a settlement default acknowledged by the Exchange.

(2) In cases where a settlement default occurs by other clearing members despite paragraph (1), the cap period shall be expanded to additional thirty (30) days counting the relevant occurrence date of the settlement default.

(3) [Deleted on June13, 2014]

(4) In cases where a cap period is initiated or expanded, the Exchange shall notify such fact to all clearing members and clients without delay.

§94. Recovery among Clearing Members in Same Sequence

Pursuant to [§117(3)] of the Regulation, the recovery of the member assessment and the OTC derivatives JCF among clearing members in a same sequence shall be made according to each of the follows:

1. For unsuccessful bidding clearing members, the recovery shall be made in a reverse order of the order noted in [§89(1)2] and the amount of recovery of an unsuccessful bidding clearing member shall be calculated in proportion to the ratio of the amount of member assessment or the OTC derivatives JCF of the relevant unsuccessful bidding clearing member to the total amount of member assessment or OTC derivatives JCF used for the compensation of losses.
2. For non-participating clearing members, the amount of recovery of a non-participating clearing member shall be calculated in proportion to the ratio of the amount of member assessment or the OTC derivatives JCF of the relevant non-participating clearing member to the total amount of member assessment or OTC derivatives JCF used for the compensation of losses.

(Wholly amended on July 14, 2016)

CHAPTER X. MANAGEMENT OF CLEARING OPERATION

§95. Criteria for Cleared Transaction Position Limits

(1) "Position limit ratio based on the contract amounts specified in the Enforcement Rules" in [§119(1)] of the Regulation shall be 20%.

(2) The "position limit ratio based on the member net exposure margin specified in the Enforcement Rules" in [§119(2)] of the Regulation shall be 20%.

(3) Pursuant to [§119(4)] of the Regulation, in cases where the contract amount is denominated in foreign currencies, the relevant contract amount shall be converted into Korean won by multiplying it by the base market price noted in [§66(3)], and in cases where the member net exposure margin amount is calculated in foreign currencies, such member net exposure margin amount shall be converted into Korea won by applying [§16-2] *mutatis mutandis*. [December 16, 2016]

§96. Measures against Violation of Cleared Transaction Position Limits

(1) Pursuant to [§119(3)] of the Regulation, the Exchange may increase the member net exposure margin of a clearing member that violates the position limit referred to in paragraph (1) or (2) of [§119] based on the cleared transactions confirmed per clearing member by the Exchange at the reference time for calculation of member net exposure margin noted in the main sentence of [§49] of the assumption of obligations on each business day pursuant to each of the following subparagraphs: (Amended on October 23, 2015; December 18, 2017; December 5, 2018)

1. In the case of a breach of the criteria under [§119(1)] of the Regulation, an additional 10 percent for each 1 percent range exceeding the criteria under [§119(1)] of the Regulation shall be imposed; and

2. In the case of a breach of the criteria under [§119(1) & (2)] of the Regulation at the same time, an additional 15 percent for each 1 percent range exceeding the criteria under [§119(1)] of the Regulation shall be imposed.

(2) The Exchange may take the measures of [§17(3)] against the clearing member who received the measures of paragraph (1).

§97. [Deleted on June13, 2014]
§98. [Deleted on June13, 2014]
§99. [Deleted on June13, 2014]

§100. Matters to be notified, etc.

(1) Pursuant to [§124] of the Regulation, the Exchange shall notify any of the each of the following subparagraphs to clearing members:

1. Formulation or abrogation of the Regulation, the Enforcement Rules, and other clearing related regulations regarding OTC derivatives;

2. Matters on the changes, measures, and notifications according to the Regulation and the Enforcement Rules;

3. Designation of a closely monitored member pursuant to [§36(2)] of the Regulation and termination of the designation according to resolution of the reasons for the designation;

4. Matters related to the changes of trade data; and [May 28, 2026]

5. Any other matters deems necessary by the Exchange.

(2) The notification pursuant to paragraph (1) shall be conducted by any of the following subparagraphs:

1. Notification via the member OTC derivatives settlement terminal;

2. Notification via electronic media operated by the Exchange such as e-mail or facsimile;

3. Notification in writing;

4. Trade confirmation system; or [May 28, 2026]

5. Member OTC derivatives settlement system. [May 28, 2026]

§101. Calculation of Late Payment Penalty

(1) Pursuant to [§128(2)] of the Regulation, the late payment penalty shall be the total amount of daily interests, as classified in each of the following subparagraphs, during the period from the next day of the payment due date to the payment date of the payment obligation. (Amended on June 13, 2014; December 16, 2016; June 23, 2023)

1. In the case of payment obligation in Korean won: The daily interests calculated by applying the KOFR noted in [Annex 1-2] (in the case of a holiday, the KOFR of the previous day); and (Amended on October 23, 2025)

2. In the case of payment obligation in USD: The daily interests calculated by applying SOFR noted in [Annex 1-2] (in the case of a holiday, SOFR of the previous day).

(2) The late payment penalty is shall not apply for the day in on which the clearing task is suspended.

§102. Public Announcement of Business Day

(1) Pursuant to [§129] of the Regulation, the announcement of business days shall be made in the manner of announcing the holidays calculated from every business day of the Exchange up to thirty (30) years for each reference region for determining a business day. (Amended on December 16, 2016; September 30, 2021)

(2) Notwithstanding paragraph (1), in cases where a holiday is newly registered or ended in the "Financial Calendar", which is provided by Swap Monitor Publications, Inc., it shall be deemed that the business day has been announced for each reference region for determining a business day under [§3(8)1(b)]. (Amended on September 30, 2021; October 23, 2025)

(3) In cases where a holiday for the reference region for determining a business day is changed, the Exchange shall adjust the last date of the interest calculation period, interest payment date, and the contract maturity date for each cleared transaction. Provided that, in case of "Unscheduled Holiday" pursuant to the ISDA Definitions, it may be applied differently. [September 30, 2021] (Amended on October 23, 2025)

(4) The Exchange shall notify the clearing members of the adjustment in paragraph (3) no later than five (5) business days before the date of application to the cleared transactions. Provided that, an exception may be made in cases where a change in holidays cannot be expected in advance due to a sudden change in economic conditions, etc. [September 30, 2021]

(5) The announcement of business day in paragraph (1) shall be conducted by inputting in the member OTC derivatives settlement system or the member OTC derivatives settlement terminal via the Exchange OTC derivatives settlement system or by other methods determined by the Exchange. (Moved from previous paragraph (3) on September 30, 2021)

§103. **[Deleted on October 23, 2025]**

§104. Special Cases concerning Registration, etc. of Foreign Supervisory Agencies
(Amended on September 20, 2019)

(1) Pursuant to [§135] of the Regulation, in the case of clearing entrustments related to the U.S. person stipulated in "Interpretive Guidance and Policy Statement Regarding Compliance With Certain Swap Regulation (78 Fed. Reg. 45,292, 45,316-17 Jul. 26, 2013)" (including amendments henceforth) of the U.S. Commodity Futures Trading Commission (CFTC) (hereinafter in this Article referred to as "U.S. person") or the futures commission merchant under [§1a(28)] of the Commodity Exchange Act (hereinafter in this Article referred to as "futures commission merchant"),

a general clearing member may make a clearing entrustment contract limited to any of the following subparagraphs. In such cases, the general clearing member shall confirm that the clearing entrustment falls under any of the following subparagraphs in advance: (Amended on December 16, 2016; September 20, 2019)

1. Where a general clearing member who is a U.S. person accepts a clearing entrustment of a related party as provided for in the definitions under Sec. 1.3 (proprietary account) of the CFTC Regulation;

2. Where a general clearing member who is not a U.S. person accepts a clearing entrustment of a related U.S. person as provided for in the definitions under Sec. 1.3 (proprietary account) of the CFTC Regulation; and

3. Where a general clearing member accepts a clearing entrustment of a related futures commission merchant as provided for in the definitions under Sec. 1.3 (proprietary account) of the CFTC Regulation.

(2) When a clearing member requests the Exchange for assumption of obligations for a clearing eligible transaction that was reported to the Swap Date Repository (SDR) which is registered with the U.S. Commodity Futures Trading Commission pursuant to Part 45 of the CFTC Regulation, the Exchange shall report to the relevant SDR the information on the cleared transactions established as a result of the obligation assumption. In such cases, the clearing member does not make the report under Part 45 of the CFTC Regulation for the cleared transactions that have been reported to the SDR by the Exchange. [September 20, 2019]

[October 23, 2015]

§105.Public Opinion Gathering

Public opinion gathering pursuant to [§136] of the Regulation shall be governed by the provisions of [§5] of the Internal Regulations Management Regulation and [§6] of the Regulations Management Regulation.

[May 6, 2020]

ADDENDA
(Regulation No. 955 / February 10, 2014)

§1. Effective Date

These Enforcement Rules shall become effective on February 10, 2014. Provided that the provisions from [§65(2)] to [§65(5)] and the provision of [§92] shall be put into effect on June 30, 2014 and the provisions of [§95] and [§96] shall be put into effect on January 1, 2016.

§2. Exception in Calculation of the Total Contribution Amount of the OTC Derivatives Joint Compensation Fund

Notwithstanding [Annex 1], $\overline{Y}$ shall be regarded as 0 until X reaches KRW 50 billion for the first time, and then the total contribution amount of the OTC derivatives JCF shall be regarded as KRW 50 billion until X reaches 100 billion KRW after reaching KRW 50 billion.

ADDENDUM
(Regulation No. 1029 / June 13, 2014)

These Enforcement Rules shall become effective from June 30, 2014. Provided that the amended provisions of [§7(2)] shall be effective from June 23, 2014.

ADDENDUM
(Regulation No. 1108 / November 13, 2014)

These Enforcement Rules shall become effective from November 17, 2014. Provided that the amended provisions of [Annex 4] shall be effective from April 1, 2015.

ADDENDUM
(Regulation No. 1147, February 24, 2015)

These Enforcement Rules shall become effective from February 26, 2015.

ADDENDA
(Regulation No. 1238 / October 23, 2015)

§1. Effective Date

These Enforcement Rules shall become effective from November 23, 2015.

§2. Effective Date of the OTC Derivatives Clearing and Settlement Business Regulation

The revised provisions shall be effective from November 23, 2015 by Addenda of the OTC Derivatives Clearing and Settlement Business Regulation (Regulation No. 1194, amended on May 27, 2015).

§3. Exception in Liquidity Coverage Ratio

The liquidity coverage ratio stipulated in the amended provisions of [§43] shall apply with the ratios under Article 3 of Addenda of the Regulations on Supervision of Banking Business (Notification No. 2014-43 of the Financial Services Commission) until the end of December 2018.

ADDENDUM
(Regulation No. 1350 /July14, 2016)

These Enforcement Rules shall become effective from July 25, 2016.

ADDENDUM
(Regulation No. 1354 /August 9, 2016)

These Enforcement Rules shall become effective from August 29, 2016.Provided that the amended provisions of [§34] shall be effective from August 16, 2016.

ADDENDA
(Regulation No. 1384 /December 16, 2016)

§1. Effective Date

These Enforcement Rules shall become effective from December 26, 2016.

§2. Effective Date of the OTC Derivatives Clearing and Settlement Business Regulation

The “date stipulated in the Enforcement Rules” in the Addendum of the OTC Derivatives Clearing and Settlement Business Regulation (Regulation No. 1381, amended on November 30, 2016) shall refer to December 26, 2016.

ADDENDUM
(Regulation No. 1434 /March 17, 2017)

These Enforcement Rules shall become effective from March 27, 2017.

ADDENDUM
(Regulation No. 1501, December 18, 2017)

These Enforcement Rules shall become effective from January 1, 2018.Provided that the amended provisions of [§51][§54][§66][§67]and [§92], and [Annex 1] shall become effective from the date separately set by the Exchange in consideration of the time required for the development of programs of the Exchange’s OTC derivatives clearing system, etc.

ADDENDA
(Regulation No. 1573 /July 16, 2018)

§1. Effective Date

These Enforcement Rules shall become effective from July 17, 2018.

§2. Exceptions concerning Thresholds for Occasional Adjustment of the OTC Derivatives Joint Compensation Fund

Notwithstanding the amended provisions of [§13(6)], from the effective date of this Enforcement Rules, the threshold under paragraph (3) of the same Article shall be 95% until the Exchange separately sets the ratios for calculation of the thresholds.

ADDENDA
(Regulation No. 1604 / December 5, 2018)

§1. Effective Date

These Enforcement Rules shall become effective from December 5, 2018.

§2. Effective Date of the OTC Derivatives Clearing and Settlement Business Regulation

The “date set by the Enforcement Rules” in the Addendum of the OTC Derivatives Clearing and Settlement Business Regulation (Regulation No. 1603, amended on December 5, 2018) shall refer to the date separately set by the Exchange in consideration of the time required for the development of programs of the Exchange’s OTC derivatives clearing system, etc.

ADDENDUM
(Regulation No. 1733 / September 20, 2019)

These Enforcement Rules shall become effective from September 23, 2019.

ADDENDUM
(Regulation No. 1816 / May 6, 2020)

These Enforcement Rules shall become effective from May 8, 2020.

ADDENDUM
(Regulation No. 1903 / January22, 2021)

These Enforcement Rules shall become effective from January25, 2021.

ADDENDUM
(Regulation No. 1942 / April 16, 2021)

These Enforcement Rules shall become effective from April 16, 2021.

ADDENDUM
(Regulation No. 1964 / June 3, 2021)

These Enforcement Rules shall become effective from June 4, 2021.

ADDENDA
(Regulation No. 1983 / September 30, 2021)

§1. Effective Date

These Enforcement Rules shall become effective from October 5, 2021. However, the amended provision of [§58] shall become effective from October 1, 2021.

§2. Effective Date of the OTC Derivatives Clearing and Settlement Business Regulation

The "date set by the Enforcement Rules" in the Addendum of the OTC Derivatives Clearing and Settlement Business Regulation (Regulation No. 1978, amended on August 25, 2021) shall refer to October 5, 2021.

§3. Repeal of Other Regulations

The Standards for Publication of Business Days, etc. shall be repealed.

ADDENDUM
(Regulation No. 2040 / June 7, 2022)

These Enforcement Rules shall become effective from June 13, 2022

ADDENDUM
(Regulation No. 2081 / December 5, 2022)

§1. Effective Date

These Enforcement Rules shall become effective from December 5, 2022.

§2. Exceptions concerning Minimum Price

Prior to the enforcement date under the proviso to Article 1 of the ADDENDUM, " the minimum price shall be the "highest price", "or higher" be "or lower", "lower than" be "higher than" and "the highest bidding price" be "the lowest bidding price" in the amended provisions of [§82-2(1) through (3)], [§83(6)], and the proviso to [§84(1)] related to the minimum price.

ADDENDUM
(Regulation No. 2133 / June 26, 2023)

These Enforcement Rules shall become effective from June 26, 2023. Provided that the amended provisions of [§85-2], and [Annex 1] shall become effective from the date separately set by the Exchange in consideration of the time required for the development of programs of the Exchange's OTC derivatives clearing system, etc.

ADDENDUM
(Regulation No. 2139 / July 14, 2023)

These Enforcement Rules shall become effective from July 17, 2023.

ADDENDUM
(Regulation No. 2179 / September 26, 2023)

These Enforcement Rules shall become effective from October 4, 2023.

ADDENDUM
(Regulation No. 2252 / September 26, 2024)

These Enforcement Rules shall become effective from October 14, 2024.

ADDENDUM
(Regulation No. 2314 / March 26, 2025)

These Enforcement Rules shall become effective from March 26, 2025.

ADDENDUM
(Regulation No. 2370 / October 23, 2025)

These Enforcement Rules shall become effective from October 27, 2025. Provided that the amended provisions of [§14(5)] and [§65(3)] shall become effective from November 3, 2025

ADDENDUM
(Regulation No. 2449 / May 28, 2026)

These Enforcement Rules shall become effective from June 1, 2026.

ANNEXES& FORMS

[Annex 1] Total Contribution Amount of OTC Derivatives Joint Compensation Fund 61

[Annex 1-2] Calculation of Settlement Rates 62

[Annex 2] Calculation of Net Present Value 64

[Annex 3] [Deleted on December 16, 2016] 73

[Annex 4] Liquidity Risk Margin Rates and Total Value Variation Margin Rates 74

[Annex 5] Calculation of Member Net Exposure Margins 77

[Annex 6] Calculation of Liquidity Risk Margin Amounts 79

[Annex 7] Calculation of Total Value Variation Margin Amounts 80

[Annex: Form No. 1] Application for Clearing Membership 81

[Annex: Form No. 2] Guarantee Letter 85

[Annex: Form No. 3] Commitment Letter 86

[Annex: Form No. 4] Application for Clearing Membership Withdrawal 87

[Annex: Form No. 5] Application for Conversion of Clearing Membership 88

[Annex: Form No. 6] Application for Opening of Clearing Account 89

[Annex: Form No. 7] Letter of Pledge 90

[Annex: Form No. 8] Request for Payment of Net Cash Settlement Amount 91

[Annex: Form No. 9] Cash Member Margin Deposit Report (Withdrawal Request) 92

[Annex: Form No. 10] [Deleted on December 16, 2016] 93

[Annex: Form No. 11] Substitute Securities Member Margin Deposit Report (Withdrawal Request) 94

[Annex: Form No. 12] Foreign Securities Member Margin Deposit Report (Withdrawal Request) 96

[Annex 1] Total Contribution Amount of OTC Derivatives Joint Compensation Fund

(Amended on December 16, 2016; December 18, 2017; June 3, 2021; September 26, 2024; October 23, 2025)

Total Contribution Amount of OTC Derivatives Joint Compensation Fund

(Pertaining to Article 13)

1. Total contribution amount of OTC derivatives joint compensation fund

The total contribution amount of OTC derivatives joint compensation fund (DF) shall be calculated according to the following calculation formula in consideration of the settlement reserve of the Exchange($\bar{Y}$), the buffer rate (β), etc., based on the maximum amount ($\bar{X}$) among sum (X) of total margin excessive risk equivalent amounts of two (2) clearing members with the biggest settlement risk (including clearing customers of a clearing member, and an affiliated company, which is a clearing member, of the clearing member and clearing customers of the affiliated company: hereinafter the same) calculated every day for the 60 business days immediately preceding the calculation reference date.

$$DF = max(\bar{X} - \bar{Y}, \bar{Z}) \times (1 + \beta)$$

Where,

DF: Total contribution amount of the OTC derivatives joint compensation fund (amount less than KRW 10 are rounded off)

X: The sum of total margin excessive risk equivalent amounts of two (2) clearing members with the biggest settlement risk calculated daily

$\bar{X}$: The maximum value of daily X calculated during the 60 business days immediately preceding the calculation reference date (amount less than KRW 1 are rounded down)

$\bar{Y}$: Settlement reserve of the Exchange

$\bar{Z}$: Total amount of the basic contribution of the OTC derivatives joint compensation fund of a clearing member

β: The buffer rate separately set by the Exchange in consideration of market conditions, etc.

2. Sum of total margin excessive risk equivalent amounts of two (2) clearing members with the biggest settlement risk

The sum (X) of total margin excessive risk equivalent amounts of two (2) clearing members with the biggest settlement risk shall be calculated according to the order and method of each of the following items through stress testing, etc. Provided that the Exchange may separately determine the following items according to the crisis analysis method in consideration of various crisis situations and risk variables. In this case, the highest value among the amounts in item C calculated according to each crisis analysis method shall be the sum(X) of total margin excessive risk equivalent amounts of the two (2) clearing members with the biggest settlement risk.

A. Calculation of risk exposure amount of clearing member

The risk exposure amount of a clearing member is calculated through crisis analysis, etc. reflecting historical fluctuations in daily settlement rates for the past 1,250 business days from the reference date (refers to each business day on which a crisis situation analysis is conducted; the same hereinafter in this subparagraph). In this case, the risk exposure amount of a clearing member and a clearing member who is an affiliate of the clearing member shall be calculated separately.

KS^{CD}_{T-t} : The amount of risk exposure as of (T) date calculated by reflecting the change in the settlement rate for the five (5) business days immediately before (T-t) day for the KRW IRS cleared transactions of the clearing member

KS^{KOFR}_{T-t} : The amount of risk exposure as of (T) date calculated by reflecting the change in the settlement rate for the five (5) business days immediately before (T-t) day for the KRW OIS cleared transactions of the clearing member

US^{LIBOR}_{T-t} : The amount of risk exposure as of (T) date calculated by reflecting the change in the settlement rate for the five (5) business days immediately before (T-t) day for the foreign currency cleared transactions of the clearing member

T: Reference date of the risk exposure amount

t: Number of business days, but$0 \leq t \leq 1{,}249$

T-t: The date (t) days prior to (T) date based on business days

B. Calculation of margin excessive risk equivalent amount and total margin excessive risk equivalent amount of clearing member

The margin excessive risk equivalent amount shall be calculated by subtracting the net exposure margin amount as of (T) date from the risk exposure amount of the clearing member, and the total margin excessive risk equivalent amount shall be the sum of the margin excessive risk equivalent amount of KRW cleared transactions and the margin excessive risk equivalent amount of foreign currency cleared transactions converted into Korean won. In this case, the margin excessive risk equivalent amounts and total margin excessive risk equivalent amounts of the clearing member and an affiliate, who is a clearing member, of the clearing member shall be calculated separately.

$$K_{T-t} = max\left(KS^{CD}_{T-t} - KM^{CD}_{T}, 0\right) + max\left(KS^{KOFR}_{T-t} - KM^{KOFR}_{T}, 0\right)$$

$$U_{T-t} = max\ (US^{LIBOR}_{T-t} - UM^{LIBOR}_{T}, 0)$$

$$x_{T-t} = K_{T-t} + U_{T-t} \times MAR \div HC$$

Where,

K_{T-t}: The margin excessive risk equivalent amount for KRW cleared transactions of the clearing member calculated by reflecting the changes in the settlement rate for the previous five (5) business days as of (T) date. In such cases, if the margin excessive risk equivalent amount for each type of KRW cleared transaction is a negative amount, it shall be deemed as “0”.

KM^{CD}_{T}: The member net exposure margin amount on (T) date for KRW IRS cleared transactions of the clearing member

KM^{KOFR}_{T} : The member net exposure margin amount on (T) date for KRW OIS cleared transactions of the clearing member

U_{T-t}:The margin excessive risk equivalent amount for foreign currency cleared transactions of the clearing member calculated by reflecting the changes in the settlement rate for the previous five (5) business days as of (T) date. In such cases, if the margin excessive risk equivalent amount is a negative amount, it shall be deemed as “0”.

UM^{LIBOR}_{T} : The member net exposure margin amount on (T) date for foreign currency cleared transactions of the clearing member

MAR: As of (T) date, the base market price of foreign currencies stipulated in [§66(3) and (4)]

HC: As of (T) date, assessment rates of foreign currencies stipulated in [§66(3) and (4)]

x_{T-t}:The total margin excessive risk equivalent amount of the clearing member calculated by reflecting the changes in the settlement rate for the previous five (5) business days as of (T) date

C. Calculation of sum of total margin excessive risk equivalent amounts of the largest two (2) clearing members

The sum of total margin excessive risk equivalent amounts (maximum risk exposure) shall be calculated by adding up the total margin excessive risk equivalent amounts of two (2) clearing members with the largest total margin excessive risk equivalent amount by clearing member. Provided that the sum of total margin excessive risk equivalent amounts shall be the highest value (X) of the sum amounts (X_{T-t}) calculated reflecting the change of settlement rate as of (T-t) date.

$$X_{T-t} = x^1_{T-t} + x^2_{T-t}$$

$$X = \max\{X_{T-t}: 0 \leq t \leq 1{,}249\}$$

Where,

X_{T-t}: The sum of the total margin excessive risk equivalent amounts of two (2) clearing members with the highest total margin excessive risk equivalent amount calculated by reflecting changed in the settlement rate for the previous five (5) business days as of (T-t) date

x^1_{T-t}: Total margin excessive risk equivalent amounts of the clearing member with the highest total margin excessive risk equivalent amount calculated by reflecting changed in the settlement rate for the previous five (5) business days as of (T-t) date

x^2_{T-t}: Total margin excessive risk equivalent amounts of the clearing member with the 2nd-highest total margin excessive risk equivalent amount calculated by reflecting changed in the settlement rate for the previous five (5) business days as of (T-t) date

X: The highest sum of the total margin excessive risk equivalent amounts of two (2) clearing members with the biggest settlement risk calculated daily

[Annex 1-2] Calculation of Settlement Rates

[December 16, 2016] (Amended on March 17, 2017; December 18, 2017; September 20, 2019; June 26, 2023; September 26, 2023; October 23, 2025; May 28, 2026)

Calculation of Settlement Rates

(Pertaining to [§34])

1. For KRW Cleared Transactions

A. KRW IRS cleared transactions: The settlement rate shall be calculated as follows according to each interest rate specified in the table below.

	Rate Based Maturities
Call Rates	1 day
CD Rates	3 months
KRW IRS Rates	6 months, 9 months, 1 year, 18 months, 2 years, 3 years, 4 years, 5 years, 6 years, 7 years, 8 years, 9 years, 10 years, 12 years, 15 years and 20 years

1) Call rates: The 1-day call rate as of 16:00 on the calculation date, which is calculated based on the call rates published by the Korea Money Brokerage Corporation. Provided that, if the relevant settlement rate cannot be calculated, the rate at the time pursuant to [§54(3)3] shall be used (if the relevant rate is unavailable, the settlement rate of the immediately preceding business day shall be used.)

2) CD rates: The CD rate of the calculation date as specified in [§2(1)18] of the Regulation and [§3(1)]. (Amended on October 23, 2025)

3) KRW IRS rates: Interest rate calculated as follows according to the number of interest rates (hereinafter referred to as the "median swap rate") obtained by dividing the sum of selling rates and buying rates as of 16:00, submitted by the persons who, among the entities who obtained the authorization for fund brokerage companies pursuant to Article 355 of the Act or for foreign exchange brokerage pursuant to Article 9 of the Foreign Exchange Transactions Act, have obtained investment brokerage business license for OTC derivatives trading pursuant to Article 12 of the Act (hereinafter referred to as the "agreed brokerage companies") and have entered into agreements on submission of interest rates with the Exchange. Provided that, in cases where it is not possible to calculate the settlement rate for a specific rate based maturity, the interest rate (if it is not possible to use the relevant interest rate, the settlement rate of the immediately preceding business day shall be used) at the time of the day specified in [§54(3)3] shall be set as the settlement rate of the day, but, in cases where the Exchange deems it necessary, the value calculated by the linear interpolation of the settlement rates of the rate based maturity nearest to the relevant rate based maturity may be set as the settlement rate of the relevant rate based maturity:

(i) Cases where more than half of the agreed brokerage companies submit a median swap rate (limited to cases where the number of such median swap rates exceeds three); The simple average of the median swap rates remaining after excluding (if there are multiple median swap rates in between the highest or the lowest, only one of them shall be excluded; the same hereinafter in this subparagraph) the highest and the lowest rate from median swap rates submitted by the agreed brokerage companies; and

(ii) Cases other than item (i): The simple average of the remaining median swap rates, including the median swap rates as of 16:00 that the clearing members have submitted by the interest rate submission deadline (30 minutes after the request for submission of interest rates has been received) in accordance with [§64(3)] of the Regulation, after excluding 25% of the top and bottom of the median swap rates. In this case, the Exchange may calculate the settlement rate based on the median swap rates submitted by at least one-third of clearing members by the interest rate submission deadline.

B. KRW OIS cleared transactions: The settlement interest rate shall be calculated as follows according to the interest rate specified in the table below. [October 23, 2025]

Category	Rate Based Maturities
KOFR	1 day
KRW OIS Rates	1 week, 2 weeks, 3 weeks, 1 month, 2 months, 3 months, 6 months, 9 months, 1 year, 18 months, 2 years to 12 years with increments of one (1) year, 15 years, 20 years

1) KOFR: The KOFR of the calculation date as specified in [§2(1)19] of the Regulation and [§3(2)].

2) KRW OIS Rate: The interest rate calculated as follows based on the number of median swap rates submitted by agreed brokerage companies to the Exchange. Provided that, in cases where it is not possible to calculate the settlement rate for a specific rate based maturity, the interest rate (if it is not possible to use the relevant interest rate, the settlement rate of the immediately preceding business day shall be used) at the time of the day specified in [§54(3)3] shall be set as the settlement rate of the day, but, in cases where the Exchange deems it necessary, the value calculated by the linear interpolation of the settlement rates of the rate based maturity nearest to the relevant rate based maturity may be set as the settlement rate of the relevant rate based maturity:

(i) Cases where there are five or more median swap rates submitted by the agreed brokerage companies: The simple average of the median swap rates excluding the highest and lowest among the median swap rates; and

(ii) Cases where there are two (2) or more but fewer than five (5) median swap rates submitted by the agreed brokerage companies: The simple average of the relevant median swap rates.

2. For USD Cleared Transactions

	Rate Based Maturities
SOFE	1 day
USD SOFR OIS Rates	1 month through 12 months with increment of one month, 18 months, 21 months, 2 years through 10 years with increment of one (1) year, 12 years, 15 years, 20 years, 25 years, 30 years and 40 years

1) SOFR (Secured Overnight Financing Rate): SOFR as at 16:00 on the calculation date, which is the overnight interest rate collateralized by Treasure securities and published by the Federal Reserve Bank of New York. (Amended on September 20, 2019; June 26, 2023)

2) USD SOFR OIS (Overnight Index Swap) rates: In cases where the number of median swap rates of the selling rates and buying rates as at 16:00 on the calculation date, provided to the Exchange through the global information and communication service vendors by international brokerage business entities who engage in the business equivalent to the investment brokerage business for the trading of OTC derivatives designated by the Exchange, is two (2) or more, the simple average of the relevant median swap rates. (Amended on September 20, 2019; June 26, 2023)

3) [Deleted on June 26, 2023]

4) In cases where it is not possible to calculate the settlement rate for a specific rate based maturity, the Exchange shall set the interest rate specified in [§54(3)3] of the Enforcement Rules (if it is not possible to use the relevant interest rate, the settlement rate of the immediately preceding business day shall be used) as the settlement rate of the day. Provided that, in cases where the Exchange deems it necessary, the value calculated by the linear interpolation of the settlement rates of the rate based maturity nearest to the relevant rate based maturity may be set as the settlement rate of the relevant rate based maturity.

[Annex 2] Calculation of Net Present Value

(Amended on December 16, 2016; June 26, 2023)

Calculation of Net Present Value

(Pertaining to Article 35)

1. Calculation of net present value

The net present value of a cleared transaction shall be calculated as the difference between the total amount of the present value of the fixed rate interest amount ('a') and the total amount of the present value of the floating rate interest amount ('b') exchanged from the second business day following the calculation date to the contract maturity date. If the party to the cleared transaction is a fixed rate payer, the net present value shall be calculated by subtracting the amount of 'a' from the amount of 'b' and, if the party to the cleared transaction is a floating rate payer, the net present value shall be calculated by subtracting the amount of 'b' from the amount of 'a'.

Total Amount of Present Value of Fixed Rate Interest Amounts

$$FxLeg = \sum_{i=1}^{n} N \times r \times \frac{D(T+t_{i-1},\ T+t_i)}{y} \times DF_{T,\ T+t_i}$$

Where,

$FxLeg$: Total amount of the present value of the fixed rate interest amount,

n: Number of interest payments during the period from the second business day after the calculation date to the contract maturity date,

t_i: Number of days from the business day after the calculation date to the ith interest payment date (applicable to the period from the second business day after the calculation date to the contract maturity date),

N: Contract amount of the cleared transaction,

r: Fixed interest rate of the cleared transaction,

$D(T+t_{i-1},\ T+t_i)$: Number of days of the interest calculation period calculated according to the day count convention after the business day convention is applied (including the first day but excluding the last day). In this case, $D(T+t_0, T+t_1)$ refers to the interest calculation period for the interest payment date that arrives first from the second business day after the calculation date.

y: Number of days of a year according to the day count convention (360, 365 or 366), and

$DF_{T,T+ti}$: Discount factor for the period from the next business day of the calculation date (T) to ($T+t_i$) day.

Total Amount of Present Value of Floating Rate Interest Amounts

$$FlLeg = \sum_{i=1}^{m} N \times F_{T+t_{i-1},\ T+t_i} \times \frac{D(T+t_{i-1},\ T+t_i)}{y} \times DF_{T,\ T+t_i}$$

Where,

$FlLeg$: Total amount of the present value of the floating rate interest amount,

m: Number of the interest payments during the period from the second business day after the calculation date to the contract maturity date,

t_i: Number of days from the business day after the calculation date to the ith interest payment date (refers to the interest payment date that is applicable to the period from the second business day after the calculation date to the contract maturity date),

N: Contract amount of the cleared transaction,

$F(T+t_{i-1},\ T+t_i)$: Floating interest rate on the floating interest rate fixing date of the cleared transaction, applicable to the interest calculation period (of the cleared transaction) from ($T+t_{i-1}$)day to ($T+t_i$)day (a forward rate incases other than the first interest payment date after the second business day after the calculation date).

$D(T+t_{i-1}, T+t_i)$: Number of days of the interest calculation period calculated according to the day count convention after the business day convention is applied, (including the first day but excluding the last day). In this case, $D(T+t_0, T+t_1)$ refers to the interest calculation period for the interest payment date that arrives first after the second business day from the calculation date.

y: Number of days of a year according to the day count convention (360, 365 or 366), and

$DF_{T,T+ti}$: Discount factor for the period from the next business day of the calculation date (T) to ($T+t_i$)day

2. Calculation of forward rates

(a) For KRW-cleared transactions

The forward rate applied to the calculation period of floating rate interest amounts shall be calculated by multiplying the value calculated by subtracting 1 from the value calculated after dividing the discount factor of the first day into the discount factor of the last day of the calculation period of floating rate interest amount by the value calculated by dividing 365 into the number of the day (including the first day and excluding the last day) of the relevant calculation period of floating rate interest amount.

$$F_{A,B} = \left(\frac{DF_A}{DF_B} - 1\right) \times \frac{365}{D(A,B)}$$

Where,

$F_{A,B}$: Forward rate applicable to the calculation period for floating rate amount from day A to day B,

DF_A:Discount factor of the first day (A) of calculation period of floatingrate interest amount,

DF_B:Discount factor as of the last day (B) of calcu
lation period of floating rate interest amount and

$D(A, B)$:Number of days from dayA to day B of calculation period of floating rate interest amount(including the first day and excluding the last day)

(b) For USD-cleared transactions

The forward rate applied to the calculation period of floating rate interest amounts shall be calculated by adding the spread to the value produced by multiplying the value obtained by subtracting 1 from the value calculated after dividing the discount factor of the first day into the discount factor of the last day of the relevant calculation period of floating rate interest amount by the value obtained by dividing 360 into the number of days (including the first day and excluding the last day) of the relevant calculation period of floating rate interest amount.

$$F_{A,B} = \left(\frac{DF_A}{DF_B} - 1\right) \times \frac{360}{D(A,B)} + Spread$$

Where,

$F_{A,B}$: Forward rate applicable to the calculation period for floating rate amount from day A to day B,

DF_A:Discount factor of the first day (A) of calculation period of floating rate interest amount,

DF_B:Discount factor as of the last day (B) of calculation period of floating rate interest amount and

$D(A, B)$:Number of days from dayA to day B of calculation period of floating rate interest amount(including the first day and excluding the last day)

Spread: Historical spread adjustment values used in calculating alternative rate (SOFR) published by ISDA (3M: 0.26161%, 6M: 0.42826%)

3. Calculation of discount factors

(a) For KRW-cleared transactions

Discount factors shall be calculated in the following order; however, "End of Month" shall apply to the interest payment date at the end of month; "Modified Following" shall apply to the business day convention regarding contract maturity dates and interest payment dates; and "Actual/365 (Fixed)" shall apply to the day count convention of the calculation period for interest amount.

(i)The 3-month settlement rates are calculated by the linear interpolation of the settlement rate for each rate based maturity.

(ii) Discount factors are calculated by the Bootstrapping of the 3-month settlement rates, based on the settlement date (the following business day of the calculation date (T)) of a hypothetical swap with maturity of 3-month business days.

Calculation of Discount Factors (DF) by Bootstrapping

①If n=1,

$$DF_{T+3M} = \frac{1}{1 + r_{CD} \times \frac{D(T, T+3M)}{365}}$$

②If n≥2,

$$DF_{T+3nM} = \frac{1 - r_{3nM} \times \sum_{i=2}^{n} \left[\frac{DF_{T+3(i-1)M} \times D(T+3(i-2)M, T+3(i-1)M)}{365}\right]}{1 + r_{3nM} \times \frac{D(T+3(n-1)M, T+3nM)}{365}}$$

Where,

DF_{T+3nM}: Discount factor for the period of $3n$ months from the T-day,

r_{3nM}:$3n$ month settlement rate (*provided*, 3-month settlement rate,$r_{CD}$is the base CD rate of the previous business day of the settlement day),and

$D(T_1, T_2)$: Number of days between T_1 and T_2 (including the date on which the period commences but excluding the date on which the period ends).

(iii) The 3-month zero coupon rates are calculated by converting the 3-month discount factors using the conversion formula.

(iv) The zero coupon rate of each date from T day to the longest rate based maturity is calculated by the linear interpolation of the 3-month zero coupon rates, and the zero coupon rate after the longest rate based maturity is the zero coupon rate of the date of the longest rate based maturity.

(v) Discount factors of all of days are calculated by converting the zero coupon interest rates of all of the days using the conversion formula.

Formula for Conversion between Discount Factors and Zero Coupon Rates

①Conversion of a discount factor into a zero coupon rate shall be made by the following formula:

$$Z_{T,T+t} = \text{-In}\left(DF_{T,T+t}\right) \times \frac{365}{D(T,T+t)}$$

②Conversion of a zero coupon rate into a discount factor shall be made by the following formula:

$$DF_{T,T+t} = e^{-Z_{T,T+t} \times \frac{D(T,T+t)}{365}}$$

Where,

$Z_{T,T+t}$:Zero coupon rate applicable to the period from T-day to (T+t) day,

$DF_{T,T+t}$:Discount factor applicable to the period from T-day to (T+t) day, and

$\mathrm{D}(T,T+t)$:Number of days between T-day and (T+t) day (including the first day, but excluding the last day)

(b) For USD-cleared transactions

The discount factors applied to USD cleared transactions shall be calculated in the following order. In such cases, the "Modified Following" shall apply to the business day convention for contract maturity dates and interest payment dates, and the "Actual/360" shall apply to the day count convention of the interest calculation period.

(i) The1-year settlement rates for the USD SOFR OIS with a maturity over one (1) year shall be calculated by the linear interpolation of the settlement rates for each rate based maturity of USD OIS rates.

(ii) The discount factors based on the calculation date (T) of USD SOFR OIS with a maturity of one (1) year or less shall be calculated, respectively, by using the settlement rates of the USD SOFR OIS with a maturity of one (1) year or less and the Bootstrapping method.

(iii) The discount factors based on the calculation date (T) of USD SOFR OIS with a maturity of eighteen (18) months shall be calculated by using the discount factors of the USD SOFR OIS with a maturity of six (6) months among the discount factors calculated according to (ii), the settlement rates of the USD SOFR OIS with a maturity of eighteen (18) months, and the Bootstrapping method.

(iv) The discount factors of USD SOFR OIS with a maturity of two (2) years or more shall be calculated, respectively, by using the one (1) year settlement rates calculated according to (i), the discount factor based on the calculation date (T) of a hypothetical USD SOFR OIS with a maturity of one (1) year business days, and the Bootstrapping method.

Calculation of Discount Factors (DF) by Bootstrapping

① Discount factor after 1 business day (overnight) based on the calculation date (T):

$$DF_{T+1D}=\frac{1}{1+SOFR\times\frac{D(T,T+1D)}{360}}$$

Where,

DF_{T+1D}: Discount factor for the period of 1 day (overnight) from T-day,

SOFR: Secured Overnight Financing Rate, and

$D(T1,T2)$:Number of days between T_1-day and T_2-day (including the first day and excluding the last day)

② Discount factor for the effective date based on the calculation date (T):

$$DF_{T+2D}=\frac{DF_{T+1D}}{1+SOFR\times\frac{D(T+1D,T+2D)}{360}}$$

Where,

DF_{T+2D}: Discount factor for the period from T-day to the effective date

③ Discount factor for the USD SOFR OIS with a maturity of one (1) year or less:

$$DF_{T+i}=\frac{DF_{T+2D}}{1+USD\ SOFR\ OIS_i\times\frac{D(T+2D,T+i)}{360}}$$

Where,

DF_{T+i}: Discount factor for period commencing on T-day,

$USD\ SOFR\ OIS_i$: Settlement rate of the USD SOFR OIS with a maturity of one (1) year or less, and

$i = (nM,\ 1\leq n\leq 12,\ n$: natural number)

④ Discount factor for USD SOFR OIS with a maturity of eighteen (18) months:

$$DF_{T+i}=\frac{DF_{T+2D}-USD\ SOFR\ OIS_i\times\frac{D(T+2D,T+j)}{360}\times DF_{T+j}}{1+USD\ SOFR\ OIS_i\times\frac{D(T+j,T+i)}{360}}$$

Where,

i: 18M, j: 6M,

$USD\ SOFR\ OIS_i$: Settlement rate of the USD SOFR OIS with a maturity of eighteen (18) months:

⑤ Discount factor for the USD SOFR OIS with a maturity of two (2) years or more:

$$DF_{T+iY}=\frac{DF_{T+2D}-\sum_{j=1}^{i-1}USD\ SOFR\ OIS_{iY}\times\frac{D(T+(j-1)Y,T+jY)}{360}\times DF_{T+jY}}{1+USD\ SOFR\ OIS_{iY}\times\frac{D(T+(i-1)Y,T+iY)}{360}}$$

Where,

i = {n | 2≤n≤50, n: natural number}

(v)Zero coupon rates for each maturity are calculated from the discount factors for each maturity calculated in (1) through (4) by using the converting formula.

(vi)The zero coupon rate on each date for the period from the business day following the calculation day (T) to the longest rate based maturity is calculated by the linear interpolation of the zero coupon rates calculated in (5).

(vii)The discount factor on each date is calculated by converting the zero coupon rate on each date.

Formula for Conversion between Discount Factors and Zero Coupon Rates

①Conversion of a discount factor into a zero coupon rate shall be made in accordance with the following formula:

$$Z_{T+t} = -\ln(DF_{T+t}) \times \frac{365}{D(T,\, T+t)}$$

②Conversion of a zero coupon rate into a discount factor shall be made in accordance with the following formula:

$$DF_{T+t} = e^{-Z_{T+t} \times \frac{D(T,\, T+t)}{365}}$$

Where,

Z_{T+i}: Zero coupon rate applicable to the period from T-day to ($T+t$) day,

DF_{T+i}: Discount factor applicable to the period from T-day to ($T+t$) day, and

$\mathrm{D}(T, T+t)$: Number of days between T-day and ($T+t$) day (including the first day and excluding the last day)

[Annex 3] [Deleted on December 16, 2016]

[Annex 4] Liquidity Risk Margin Rates and Total Value Variation Margin Rates

(Amended on August 9, 2016; December 16, 2016; October 23, 2025)

Liquidity Risk Margin Rates and Total Value Variation Margin Rates

(Pertaining to Articles 50 and 62 and Annex 7)

The classification of margin based maturity (it refers to the remaining maturity bucket of cleared transactions applying the same margin rates; the same hereinafter) shall be as follows; each margin rate per margin based maturity by the classification below is calculated and applied according to the standard determined separately by the Exchange considering the risk of interest rate fluctuation and procyclicality per margin based maturity. Provided that, if the number of remaining maturity days of a cleared transaction exceeds the remaining-day bucket of the margin-based maturity due to the application of the holiday and business day convention, the margin rate of the existing margin-based maturity bucket shall be applied.

1. For KRW Cleared Transactions

i	Margin based maturity	Number of days to Maturity	KRW IRS cleared transactions		KRW OIS cleared transactions	
			Total Value Variation Margin Rates (r_i^c)	Liquidity Risk Margin Rates (r_i^l)	Total Value Variation Margin Rates (r_i^c)	Liquidity Risk Margin Rates (r_i^l)
1	3M	1 ~ 91				
2	6M	92 ~ 183				
3	9M	184 ~ 274				
4	1Y	275 ~ 365				
5	1.5Y	366 ~ 547				
6	2Y	548 ~ 730				
7	3Y	731 ~ 1,095				
8	4Y	1,096 ~ 1461				
9	5Y	1,462 ~1,826				
10	6Y	1,827 ~ 2,191				
11	7Y	2,192 ~ 2,556				
12	8Y	2,557 ~ 2,922				
13	9Y	2,923 ~ 3,287				
14	10Y	3,288 ~ 3,652				
15	11Y	3,653 ~ 4,017				
16	12Y	4,018 ~ 4,383				
17	13Y	4,384 ~ 4,748				
18	14Y	4,749 ~ 5,113				
19	15Y	5,114 ~ 5,478				
20	16Y	5,479 ~ 5,844				

21	17Y	5,845 ~ 6,209				
22	18Y	6,210 ~ 6,574				
23	19Y	6,575 ~ 6,939				
24	20Y	6,940 ~ 7,330				

M: Month, Y: Year (the same hereinafter)

2. For USD Cleared Transactions

i	Margin based maturity	3-month LIBOR USD Cleared Transactions			6-month LIBOR USD Cleared Transactions		
		Number of days to Maturity	Total Value Variation Margin Rates ($\boldsymbol{r_i^c}$)	Liquidity Risk Margin Rates ($\boldsymbol{r_i^l}$)	Number of days to Maturity	Total Value Variation Margin Rates ($\boldsymbol{r_i^c}$)	Liquidity Risk Margin Rates ($\boldsymbol{r_i^l}$)
1	3M	1 ~ 91					
2	6M	92 ~ 183			1 ~ 183		
3	9M	184 ~ 274					
4	1Y	275 ~ 365			184 ~ 365		
5	1.5Y	366 ~ 547					
6	2Y	548 ~ 730			366 ~ 730		
7	3Y	731 ~ 1,095			731 ~ 1,095		
8	4Y	1,096 ~ 1461			1,096 ~ 1461		
9	5Y	1,462 ~1,826			1,462 ~1,826		
10	6Y	1,827 ~ 2,191			1,827 ~ 2,191		
11	7Y	2,192 ~ 2,556			2,192 ~ 2,556		
12	8Y	2,557 ~ 2,922			2,557 ~ 2,922		
13	9Y	2,923 ~ 3,287			2,923 ~ 3,287		
14	10Y	3,288 ~ 3,652			3,288 ~ 3,652		
15	11Y	3,653 ~ 4,017			3,653 ~ 4,017		
16	12Y	4,018 ~ 4,383			4,018 ~ 4,383		
17	13Y	4,384 ~ 4,748			4,384 ~ 4,748		
18	14Y	4,749 ~ 5,113			4,749 ~ 5,113		
19	15Y	5,114 ~ 5,478			5,114 ~ 5,478		
20	16Y	5,479 ~ 5,844			5,479 ~ 5,844		
21	17Y	5,845 ~ 6,209			5,845 ~ 6,209		
22	18Y	6,210 ~ 6,574			6,210 ~ 6,574		
23	19Y	6,575 ~ 6,939			6,575 ~ 6,939		
24	20Y	6,940 ~ 7,305			6,940 ~ 7,305		
25	21Y	7,306 ~ 7,670			7,306 ~ 7,670		
26	22Y	7,671 ~ 8,035			7,671 ~ 8,035		
27	23Y	8,036 ~ 8,400			8,036 ~ 8,400		

28	24Y	8,401 ~ 8,766			8,401 ~ 8,766		
29	25Y	8,767 ~ 9,131			8,767 ~ 9,131		
30	26Y	9,132 ~ 9,496			9,132 ~ 9,496		
31	27Y	9,497 ~ 9,861			9,497 ~ 9,861		
32	28Y	9,862 ~ 10,227			9,862 ~ 10,227		
33	29Y	10,228 ~10,592			10,228 ~10,592		
34	30Y	10,593 ~ 10,980			10,593 ~ 10,980		

[Annex 5] Calculation of Member Net Exposure Margins

(Amended on December 16, 2016; September 26, 2024; October 23, 2025)

Calculation of Member Net Exposure Margins

(Pertaining to Article 50)

The member net exposure margin is the risk exposure equivalent of the cleared transactions within a particular clearing account and shall be calculated in the following order. In this case, changes to the assumptions and coefficients for calculating the member net exposure margin are subject to standards separately determined by the Exchange.

1. Calculate the yield curve for the past 1,256 business days prior to the date of calculation, using the settlement rate.

2. For each rate based maturity, calculate the spread between the rate of each business day and that of five business days prior to that day.

$$\Delta r_{i,T-j} = r_{i,T-j} - r_{i,T-j-5}$$

Where,

T: Date of calculation,

i: Rate based maturity among the rate based maturities specified in [§33],

j: Number of business days, with $0 \le j \le 1250$, and

$\Delta r_{i,T-j}$: Rate spread between $T-j$day and $T-j-5$day for rate based maturity *i*

3. Estimate the volatility of each rate based maturity for each day, using the EWMA (Exponentially Weighted Moving Average) recursive formula.

The initial value for each rate based maturity shall be:

$$\sigma_{i,T-1250} = \sqrt{\frac{\sum_{k=1}^{1250} \Delta r^2_{i,T-1249-k}}{1250}}$$

The other values for each rate based maturity shall be:

$$\sigma_{i,T-j} = \sqrt{(1-\lambda)\Delta r^2_{i,T-j} + \lambda \sigma^2_{i,T-j-1}}$$

Where,

i: Number of business days, with $0 \le j \le 1249$, and

λ: Decay factor specified by the Exchange

4. Divide the rate spread calculated in step 2 by the volatility estimated in step 3 to calculate a new rate spread.

$$\varepsilon_{i,T-j} = \Delta r_{i,T-j} / \sigma_{i,T-j}$$

Where,

j: Number of business days, with $0 \le j \le 1249$, and

$\varepsilon_{i,T-j}$: Standardized rate spread *j* of rate based maturity *i*

5. Multiply the volatility on the day of margin calculation by the standardized rate spread for each of the past days calculated in step 4. To generate a new yield curve scenario, this value should then be added to the settlement rate of each rate based maturity for the day of margin calculation. In the event that volatility on the margin calculation day is less than the minimum volatility specified by the Exchange, the minimum volatility shall be used in place of the volatility of the day.

$$r'_{i,j+1} = r_{i,T} + \max(\sigma_{i,T}, \sigma_i^{floor}) \times \varepsilon_{i,T-j}$$

Where,

j: Number of business days, with $0 \leq j \leq 1249$,

$r'_{i,j}$: New rate *j* of rate based maturity *i*,

$r_{i,T}$: Settlement rate of rate based maturity *I* for the day of margin calculation,

$\sigma_{i,T}$: Volatility of rate based maturity *I* for the day of margin calculation, and

σ_i^{floor}: Long-term volatility of rate-based maturity *i*, calculated by the Exchange based on the interest rate data of the market crisis period (from August 8, 2007 to August 11, 2009 (500 business days) and applies only to KRW cleared transactions) and the period determined separately by the Exchange.

6. Calculate the net present value for each new yield curve scenario generated in step 5, for the cleared transactions within each clearing account for the day of margin calculation. The net present value of the day shall then be deducted from the calculated net present value of each new yield curve scenario, in order to calculate the balance amount of net present value.

$$D_j = NPV_j - NPV_T$$

Where,

j: Number of scenario, with $1 \leq j \leq 1250$,

T: Date of calculation,

D_j: Balance of net present value calculated by deducting the net present value of the day of margin calculation from the net present value of the new scenario *j*,

NPV_j: Net present value calculated based on the new yield curve scenario *j, and*

NPV_T: Net present value calculated based on the yield curve of the day of calculation

7. The member net exposure margin shall be the absolute value that corresponds to a confidence level separately determined by the Exchange from the maximum value of the set of net present value balances calculated in subparagraph 6. Provided that, in the event that the relevant value is greater than zero, the member net exposure margin shall be KRW 0.

[Annex 6] Calculation of Liquidity Risk Margin Amounts

(Amended on December 16, 2016)

Calculation of Liquidity Risk Margin Amounts

(Pertaining to Article 50)

Liquidity risk margin amount is the risk exposure equivalent necessary for hedging transaction, unwinding, etc. of a cleared transaction, which is the sum of each contract amount multiplied by liquidity risk margin rate by reference maturity.

Liquidity risk margin amount = $\sum_{i}[(A_i + B_i) \times r_i^l]$

Where,

A_i: Contract amount of pay-fixed cleared transaction for margin reference maturity i,

B_i: Contract amount of receive-fixed cleared transaction for margin reference maturity i, and

r_i^l: Liquidity risk margin rate for margin reference maturity i under [Annex 4]

[Annex 7] Calculation of Total Value Variation Margin Amounts

(Amended on December 16, 2016)

Calculation of Total Value Variation Margin Amounts

(Pertaining to Articles 53 and 60)

The total value variation margin amount shall be calculated separately according to each category of the following subparagraphs as an advance margin to manage risks resulting from changes (early termination, change of party, and compression) in the clearing agreement transaction position, such as new debt burden registration and contract changes.

1. Assumption of Obligation, Early Termination, or Change of Party

Total value variation margin amount ;shall be the sum of the total variation margin amount per margin based maturity calculated by multiplying the fixed rate net paying contract amount or the fixed rate net receiving contract amount per margin based maturity to the total value variation margin rate. Provided that, in the case of early termination, it is calculated on the assumption that the clearing eligible transaction in an opposite direction in payment and receipt of the contract amount of the cleared transaction to be terminated is deemed to be required to assume the obligation and in the case of change of party, it is calculated on the assumption that the assignor clearing member requires the clearing eligible transaction in an opposite direction in payment and receipt of the contract amount of the cleared transaction in the request for change of party or the assignee clearing member requires the clearing eligible transaction to have the same direction in payment and receipt of the contract amount of the cleared transaction in the request for change of party.

Total value variation margin amount =

$$\sum_{\boldsymbol{i}}(|\boldsymbol{A_i} - \boldsymbol{B_i}| \times \boldsymbol{r_i^c})$$

Where,

A_i: Contract amount of pay-fixed cleared transaction for margin reference maturity I,

B_i:Contract amount of receive-fixed cleared transaction for margin reference maturity *i, and*

r_i^c: Total value variation margin rate for margin reference maturity *i* under [Annex 4]

2. Compression

The total value variation margin amount shall be calculated by multiplying the amount calculated in accordance with [Annex 5] on the business day prior to the compression date for compression eligible transactions included in the compression proposal by the rate determined by the Exchange. In this case, clearing eligible transactions with payment/receipt directions opposite to the contract amount of compressed cleared transactions shall be considered to request the assumption of obligation.

[Annex 8] Emergency Plan in Case of Suspension of Base CD Rate Calculation

[September 26, 2023]

Emergency Plan in Case of Suspension of Base CD Rate Calculation

(Pertaining to Articles 3(7))

Pursuant to Article 9(2) of the Act on the Management of Financial Transaction Indicators and Article 12(2) of the Enforcement Rules of the same Act, the Exchange shall prepare an emergency plan as follows in case the calculation of the base CD rate is suspended.

1. Criteria for selecting alternative financial transaction indicators

Financial transaction indicators (hereinafter referred to as the "alternative financial transaction indicators") that can be used in place of the base CD rate shall be calculated based on interest rates that meet all of the following criteria:

a. An interest rate that shows a similar trend to the base CD rate; and

b. An interest rate that is produced by an institution with expertise in evaluating financial investment instruments.

2. Selection of alternative financial transaction indicators

The Exchange shall use the average interest rate of the mark-to-market base yields of 3-month CD (AAA rating) published by bond rating companies under Article 263 of the Capital Market Act, which is an interest rate that meet the criteria in subparagraph 1, as an alternative financial transaction indicator. Provided that, the mark-to-market base yield of 3-month CD (AAA rating) published by a bond rating company that has not entered into an agreement with the Exchange to provide interest rates shall be excluded when calculating the average interest rate.

3. Procedure and schedule for conversion to alternative financial transaction indicators

The Exchange shall prepare to replace the base CD rate with an alternative financial transaction indicator from the date on which the Korea Financial Investment Association makes public the suspension of the calculation of the base CD rate pursuant to Article 19(3) of the CD Yield Calculation Business Regulations and carry out its clearing business by sequentially applying the alternative financial transaction indicators to clearing transactions for which the floating rate fixing date arrives after the date of suspending the calculation of base CD rate.

4. Announcement of suspension of base CD rate calculation

The Exchange shall inform clearing members of the suspension of the calculation of the base CD rate and the replacement with alternative financial transaction indicators from the date of suspension of the calculation of the base CD rate through the Exchange OTC Derivatives Clearing System within ten (10) business days from the date on which the Korea Financial Investment Association makes public the suspension of the calculation of the base CD rate pursuant to Article 19(3) of the CD Yield Calculation Business Regulations.

[Annex: Form No. 1] Application for Clearing Membership
(Amended on October 23, 2025)

<table>
<tr><td>

<u>Application for Clearing Membership</u>

1. Trade name and nationality:
2.Address of head office:
3.Name of representative/ executive officer:
4.Equity capital:
5.Type of membership application:

☐ General clearing member ( )

☐ Proprietary clearing member ( )

6.Intended date for commencement of clearing participation business regarding OTC derivatives transactions:
7. Trade confirmation system to be used:

☐ KRX Trade Confirmation System ( )

☐ MarkitWire ( )

☐ Combined use of KRX Trade Confirmation System and MarkitWire ( )

8.Whether or not to succeed withdrawing member's status:
</td></tr>
<tr><td>

We, _____ ("Company") fully understand and agree to the OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX") beforehand, and hereby apply for a clearing membership of KRX based on the provision of Article 4 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation ("Enforcement Rules") of the KRX.

[Date]

Company Name:
Representative Director: (seal)

Attn: Chairman of Korea Exchange
</td></tr>
<tr><td>

* Attachments:
1.Articles of incorporation;
2.[Deleted on February 24, 2015]
3.Documents evidencing authorization for an investment trading business (including preliminary authorization) for OTC derivatives or documents evidencing the application for such authorization (limited to a person who applied for authorization without obtaining preliminary authorization);
4.Documents on equity capital as of the application date as specified in [§11(1)1(a)] and [§11(1)2(a)] of the Regulation;
5.Documents on the current status of capital adequacy ratio as of the application date as specified in [§11(1)1(b)] and [§11(1)2(b)] of the Regulation;
6.Documents on financial condition pursuant to [§18] of the Enforcement Rules;
7. [Deleted]
8.Documents on the current status of IT facilities;
9.Documents on the current status of managerial organizations necessary for the business performance including the clearing participation of OTC derivatives transactions, etc.;
10.Document showing the current business space secured such as the offices necessary for carrying out the task of clearing participation;
11. Document stating the current status of human resources with expertise;
12.[Deleted]
13.For those who seek the eased financial requirements pursuant to [§11(1)2(b)] of the Regulation to apply
</td></tr>
</table>

among those applying for a proprietary clearing membership, the guarantee letter according to [Annex: Form No. 2], or the commitment letter and its guarantee letter according to [Annex: Form No. 3], or the documents pertaining to the settlement of accounts pursuant to Article 3-67 of the Regulations on Financial Investment Business regarding the person who submits the guarantee letter or the commitment letter (if the submitter is a foreign financial invest company, the documents comparable to those in Subparagraphs 1 and 2 of Article 3-67(1) of the Regulations on Financial Investment Business);

14. Document proving that the measures in [§7(1)] of the Enforcement Rules of do not exist, and that the procedures regarding such measures are not in process as of the application date;
15. Document proving that procedures such as a merger, dissolution, revocation of the business or a transfer of the business in [§7(2)] of the Enforcement Rules do not exist and that such procedures are not in progress or are not expected to be in progress as of the application date;
16. Document showing the agreement on the provision of transaction information of the clearing member to the Financial Services Commission, etc. pursuant to Article 323-16(2) of the Act and Article 318-19(3) of the Enforcement Decree of the Act; and
17. Other documents determined by KRX as necessary for the deliberation for membership admission.

[Annex: Form No. 1-2] Clearing Participation Letter
[December 16, 2016]

Clearing Participation Letter

[Date]

Korea Exchange
Chairperson_______

_____ ("Company") fully understands the OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX"), and hereby submits this Clearing Participation Letter("Letter") pursuant to Article 7-2 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation ("Enforcement Rules"). The terms used herein shall have the meaning ascribed under the Regulation, unless otherwise specified herein.

1. Pursuant to Article 7-2(4) of the Regulation, company who intends to request for a clearing participation is listed below.

<table>
<tr><td rowspan="5">(1)</td><td>Name of Company</td><td></td></tr>
<tr><td>Office address</td><td>(Contact number :)</td></tr>
<tr><td>Representative name</td><td></td></tr>
<tr><td>Initial date of clearing participation</td><td></td></tr>
<tr><td>BIC code</td><td></td></tr>
<tr><td rowspan="6">(2)</td><td>Name of branch</td><td></td></tr>
<tr><td>Office address</td><td>(Contact number :)</td></tr>
<tr><td>Relationship with Company</td><td></td></tr>
<tr><td>Representative name of branch</td><td></td></tr>
<tr><td>Initial date of clearing participation</td><td></td></tr>
<tr><td>BIC code</td><td></td></tr>
<tr><td rowspan="6">(3)</td><td>Name of branch</td><td></td></tr>
<tr><td>Office address</td><td>(Contact number :)</td></tr>
<tr><td>Relationship with Company</td><td></td></tr>
<tr><td>Representative name of branch</td><td></td></tr>
<tr><td>Initial date of clearing participation</td><td></td></tr>
<tr><td>BIC code</td><td></td></tr>
</table>

2. The company hereby acknowledges the following to the KRX.

a. The Company is the head office of _____ (“Seoul Branch”), which is a clearing member of KRX.

b. The Company shall be jointly and severally liable for the performance of any and all obligations(including any and all obligations, whether presently existing or owed in the future, to be borne by Seoul Branch in respect of clearing OTC derivatives transactions for listed entities in the chart of paragraph 1), whether presently existing or owed in the future, borne by the Seoul Branch to KRX, as a clearing member of the KRX, in connection with the clearing of OTC derivatives transactions.

c. In respect to the performance of obligations borne by the Seoul Branch to KRX, if there is, or is likely to be, a lack of liquidity (it shall refer to the case where it is deemed that the net cash settlement amount and a member margin are difficult to be paid by the deadline as specified in the Regulation), the Company shall provide its liquidity without delay.

d. The Company shall cooperate with KRX’s request to the Seoul Branch (or the Business Office) for submission of materials on it pursuant to Article 37 of the Regulation (in case of any amendment to such Article following an amendment to the Regulation, such amended Article).

e. In the event of any change of its policy, etc. relating to the liquidity provision to the Seoul Branch (or the Business Office), the Company shall promptly notify thereof to KRX.

f. This Letter shall be governed and construed by and in accordance with Korean laws.

g. The competent court for lawsuit arising from this Letter shall be the Seoul Central District Court.

Address:
Trade Name:
Representative Director: (seal)

* Attachments:
1. Documents on financial condition pursuant to Article 7-2(3) of the Regulation.
2. Documents evidencing authorization for an investment trading business (or any business equivalent to financial investment business) operated in a foreign country under the laws of foreign country pursuant to Article 12(2)1(b) of the Financial Investment Services and Capital Markets Act.

[Annex: Form No. 2] Guarantee Letter

Guarantee Letter

[Date]

Korea Exchange
Chairperson _____

_____ ("the Company (or I)") fully understands the OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX"), and hereby submits this Guarantee Letter to KRX in accordance with Article 8 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation. The terms used herein shall have the meaning ascribed under the Regulation, unless otherwise specified herein.

The Company (or I) hereby guarantees the following to KRX:

1. The Company (or I) is the parent company (or the largest shareholder) of _____.

2. The Company (or I) shall jointly guarantee for the performance of any and all obligations, whether presently existing or owed in the future, borne by _____ to KRX, as a clearing member of KRX, in connection with the clearing of OTC derivatives transactions.

3. In respect to the performance of obligations borne by _____ to KRX, if there is, or is likely to be, a lack of liquidity (it shall refer to the case where it is deemed that the net cash settlement amount and a member margin are difficult to be paid by the deadline as specified in the Regulation), the Company (or I) shall provide liquidity without delay.

4. The Company (or I) shall cooperate with KRX's request to _____ for its submission of materials on the Company (or me) pursuant to Article 37 of the Regulation (in case of any amendment to such Article following an amendment to the Regulation, such amended Article).

5. In the event of any change of the Company's (or my) policy, etc. relating to the liquidity provision to _____, the Company (or I) shall promptly notify thereof to the KRX.

6. This Guarantee Letter shall be governed and construed by and in accordance with Korean laws.

7. The competent court for lawsuit arising from this Guarantee Letter shall be the Seoul Central District Court.

Address:
Trade Name:
Representative Director: (seal)

[Annex: Form No. 3] Commitment Letter

<u>Commitment Letter</u>

[Date]

Korea Exchange
Chairperson _____

_____ ("Company") fully understands the OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX"), and hereby submits this Commitment Letter pursuant to Article 8 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation ("Enforcement Rules"). The terms used herein shall have the meaning ascribed under the Regulation, unless otherwise specified herein.

The Company hereby acknowledges the following to the KRX:

1.The Company is the head office of _____ ("Branch (or Business Office)").

2.The Company jointly guarantees for the performance of any and all obligations, whether presently existing or owed in the future, borne by the Branch (or the Business Office) to KRX, as a clearing member of the KRX, in connection with the clearing of OTC derivatives transactions.

3.In respect to the performance of obligations borne by the Branch (or the Business Office) to KRX, if there is, or is likely to be, a lack of liquidity (it shall refer to the case where it is deemed that the net cash settlement amount and a member margin are difficult to be paid by the deadline as specified in the Regulation), the Company shall provide its liquidity without delay.

4. The Company shall cooperate with KRX's request to the Branch (or the Business Office) for submission of materials on it pursuant to Article 37 of the Regulation (in case of any amendment to such Article following an amendment to the Regulation, such amended Article).

5.In the event of any change of its policy, etc. relating to the liquidity provision to the Branch (or the Business Office), the Company shall promptly notify thereof to KRX.

6. This Commitment Letter shall be governed and construed by and in accordance with Korean laws.

7.The competent court for lawsuit arising from this Commitment Letter shall be the Seoul Central District Court.

Address:
Trade Name:
Representative Director: (seal)

[Annex: Form No. 4] Application for Clearing Membership Withdrawal

Application for Clearing Membership Withdrawal 1. Name of Clearing Member: 2. Reason for membership withdrawal: 3.Date planned for withdrawal from clearing membership: 4. Plan for resolution of Cleared Transactions:
_____ ("Company") fully understands and agrees to OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX") beforehand, and hereby apply for membership withdrawal from general (proprietary) clearing membership to KRX pursuant to Article 9 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation of the KRX ("Enforcement Rules"). *[Date]* Company Name: Representative Director: (seal) Attn: Chairman of Korea Exchange
(Attachments) 1. Documents on reason for withdrawal; 2. Business plan in regard to the resolution of Cleared Transactions; 3. Plan for resolving businesses with clients under a Client Clearing Agreement; and 4. Other documents necessary for the review of withdrawal from membership as determined by KRX.

[Annex: Form No. 5] Application for Conversion of Clearing Membership

<u>Application for Conversion of Clearing Membership</u> 1. Name of Clearing Member: 2. Address of head office: 3.Name, resident registration number and address of representative/ executive officer: 4. Equity capital: 5.Classification of membership conversion: ☐ Before conversion: ☐ After conversion: 6. Reason for membership conversion:
_____ ("Company") fully understands and agrees to OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX") beforehand, and hereby applies for membership conversion pursuant to Article 12 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation of the KRX ("Enforcement Rules"). *[Date]* Company Name: Representative Director: (seal) Attn: Chairman of Korea Exchange
(Attachments) 1. Documents on reason for membership conversion; 2. Documents on the capital ratio as of the application date as specified in [§11(1)1a] and [§11(1)2a] of the Regulation; 3. Documents on financial condition under [§18] of the Enforcement Rules; 4. Documents on current status of IT facilities; 5. Documents on current status of human resources with expertise; 6. Documents on the execution or termination of Client Clearing Agreement; and 7.Other documents necessary for the review of membership conversion as determined by KRX.

[Annex: Form No. 6] Application for Opening of Clearing Account
(Amended on December 16, 2016)

Receipt	Entry	Confirmation
※	※	※

Confirmation of Account Opening/Closure	※

Application for Opening of Clearing Account

Attn: Korea Exchange

We hereby apply for the opening of a clearing account pursuant to Article 22 of the Enforcement Rules of the OTC Derivatives Clearing and Settlement Business Regulation.

[Date]
Representative Director ______________(seal)
(Person in charge: Tel:)

1. Basic Information of Applicant

Trade Name	(in Korean) (in English)	Nationality	
Business Registration No.		Representative Director	
Address	(Tel:)		

2. Type and Other Information of Account

Account Types	☐ Proprietary Clearing Account ☐Multiple (number:)
	☐ Client Clearing Account ☐Multiple (number:)
	☐ Client Clearing Account (Head office, etc.)☐Multiple (number:)
Account No.	1. ☐☐☐-☐☐-☐☐☐☐☐☐☐ 2. ☐☐☐-☐☐-☐☐☐☐☐☐☐ 3. ☐☐☐-☐☐-☐☐☐☐☐☐☐ * First three-digit number: Clearing member ID * Middle two-digit number: Classification of proprietary or client clearing account (01:proprietary clearing account, 02: client clearing account) * Last seven-digit number: Number designated to the clearing member

3. Basic Information of Client

Trade Name	(in Korean) (in English)	Nationality	
Business Registration No.		Representative Director	
Address	(Tel:)		
Relation with the Client*			

*Please fill out the above table to check whether the clearing entrustment is subject to [§104(1)] of the Enforcement Rules.

4. Basic Information of Head Office, etc. of the Applicant

Trade Name		Relation with the Applicant	
Address	(Tel:)		
Representative Director			
BIC Code			

[Annex: Form No. 7] Letter of Pledge

Letter of Pledge

[Date]

Korea Exchange
Chairperson _____

_______ ("Company") fully understands the OTC Derivatives Clearing and Settlement Business Regulation ("Regulation") established by Korea Exchange ("KRX") beforehand, and hereby submits this written pledge (including the attachments) to KRX through the clearing member pursuant to Article 28 of the Enforcement Rules of the Regulation. The terms used herein shall have the meaning ascribed under the Regulation, unless otherwise specified herein.

The Company agrees to the followings:

1.The Company shall comply with the Regulation (including subsequent amendments) in connection with the OTC derivatives clearing operation in which the KRX engages, clearing submission by the clearing member, and other matters as specified by the Regulation, and

2.In the case of any amendment to the Regulation, this document shall be deemed to have been amended according to such amendment to the Regulation without any separate amendment.

Address:
Trade Name:
Representative Director: (seal)

(Attachments)
1. Document evidencing authorization(including preliminary authorization) for an investment trading business (including any business equivalent to financial investment business operated in a foreign country under the laws of the foreign country) for OTC derivatives or documents evidencing the application for such authorization (limited to a person who applied for authorization without obtaining preliminary authorization);
2. Documents on current status of IT facilities;
3. Documents on current status of human resources with expertise; and
4. Consent to each matters specified in Article 29(2)

[Annex: Form No. 8] Request for Payment of Net Cash Settlement Amount

Receipt	Entry	Confirmation
※	※	※

Confirmation of Account Opening/ Closure	※

Request for Payment of Net Cash Settlement Amount

Attn: Korea Exchange

We hereby apply for payment of the following amount pursuant to Article 54 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation:

[Date]
Representative Director of __________: (seal)
(Responsible Person: Tel:)

Proprietary/Client		Amount of Payment	Name of Bank and Account No.
Proprietary Assets (of Clearing Member)			
Client Asset	( )		
	( )		
	( )		
	Sub-total		
Total			

Notes:

1. Please do not fill out ※.
2. Please affix a seal reported and registered by a clearing member with KRX for "Representative Director of __________: (seal)".
3. Please indicate the relevant currency and the amount for "Amount of Payment".
4. Please prescribe the bank account number in the name of the clearing member for "Account No."
5. Please prescribe the name of the client or the head office, etc. for "Client Asset ( )".

[Annex: Form No. 9] Cash Member Margin Deposit Report (Withdrawal Request)
(Amended on December 16, 2016)

Receipt	Entry	Confirmation
※	※	※

Confirmation of Account Opening/ Closure	※

Cash Member Margin Deposit Report (Withdrawal Request)

Attn: Korea Exchange

We hereby request for deposit (or withdrawal) of the following amount pursuant to Article 57 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation:

[Date]
Representative Director of __________: (seal)
(Responsible Person: Tel:)

Proprietary/Client		Deposit (Withdrawal) Amount	Name of Bank and Account No.
Proprietary Asset (of Clearing Member)			
Client Asset	( )		
	( )		
	( )		
	Sub-total		
Total			

Notes:
1. Please do not fill out ※.
2. Please affix a seal reported and registered by a clearing member with KRX for “Representative Director of __________: (seal)”.
3. Please indicate the relevant currency and the amount for “Deposit (Withdrawal) Amount”.
4. Please prescribe the bank account number in the name of KRX in case of a report of deposit and the bank account number in the name of the clearing member in case of an application for withdrawal.
5. Please prescribe the name of the client for “Client Asset ( )”.

[Annex: Form No. 10] [Deleted on December 16, 2016]

[Annex: Form No. 11] Substitute Securities Member Margin Deposit Report (Withdrawal Request)

(Amended on December 16, 2016)

Receipt	Entry	Confirmation
※	※	※

Confirmation of Account Opening/ Closure	※

<u>Substitute Securities Member Margin Deposit Report (Withdrawal Request)</u>

Attn: Korea Exchange

We hereby request for deposit (or withdrawal) of the following securities pursuant to Article 57 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation:

[Date]

Representative Director of ___________: (seal)

(Responsible Person: Tel:)

Name of Issue		Code No.	Quantity	Substitute Price (KRW)	Amount (KRW)
Proprietary Asset of Clearing Member					
Client Asset	( )				
	( )				
	(Sub-total)				
Stocks listed on KOSPI Market (Sub-total)		Proprietary Asset (of Clearing Member)			
		Client Asset ( )			
Bonds listed on KOSPI Market (Sub-total)		Proprietary Asset (of Clearing Member)			
		Client Asset ( )			
Stocks listed on KOSDAQ Market (Sub-total)		Proprietary Asset (of Clearing Member)			
		Client Asset ( )			
Others (Sub-total)		Proprietary Asset (of Clearing Member)			
		Client Asset ( )			
Total					

Notes:

1. Please do not fill out ※. ("-" means "not applicable.")

2. Please affix a seal reported and registered by the clearing member with KRX for "Representative Director of __________: (seal)".
3. Please describe the name of issues in order of shares listed on KOSPI market, bonds listed on KOSPI market, and shares listed on KOSDAQ market, which are classified into proprietary asset and client asset, and in order of code numbers given by KRX or Korea Financial Investment Association.
4. "Beneficiary certificates" refers to beneficiary certificates similar to debt securities listed at KRX.
5. Please prescribe the name of the client or the head office, etc. for "Client Asset (   )".
6. Assets of investment dealers, investment brokers or collective investment business entities that are not clearing members shall be included in client asset.
7. Please prescribe the substitute price as of the application date for deposit (withdrawal) for "Substitute Price".
8. Units used for "Volume" shall be share(s) for shares, KRW10,000 for bonds, securities for foreign depository receipts, unit(s) for beneficiary certificates and share(s) (or unit(s)) for listed ETFs, etc.

[Annex: Form No. 12] Foreign Securities Member Margin Deposit Report (Withdrawal Request)

(Amended on December 16, 2016)

Receipt	Entry	Confirmation
※	※	※

Confirmation of Account Opening/ Closure	※

<u>Foreign Securities Member Margin Deposit Report (Withdrawal Request)</u>

Attn: Korea Exchange

We hereby request for deposit (or withdrawal) of the following securities pursuant to Article 57 of the Enforcement Rules of OTC Derivatives Clearing and Settlement Business Regulation:

[Date]

Representative Director of ___________: (seal)

(Responsible Person: Tel:)

Classification		Amount of Deposit (Withdrawal)			Account No.
		Code of Issue	Name of Issue	Quantity of Securities	
Proprietary Asset of Clearing Member					-
Client Asset	( )				
	( )				
	( )				

Notes:

1. Please do not fill out ※.
2. Please affix a seal reported and registered by the clearing member with KRX for "Representative Director of ___________: (seal)".
3. Please prescribe the code of issue and the name of issue given when the client deposits in a consolidated account of Korea Securities Depository for "Code of Issue" and "Name of Issue".
4. Foreign securities subject to deposit include US Treasury Bill, US Treasury Note, US Treasury Bond, etc. and please prescribe the volume to deposit or withdrawal for "Volume of Securities".
5. Please prescribe the bank account in the name of KRX with Korea Securities Depository in case of report of deposit and the bank account number in the name of the clearing member in case of application for withdrawal.
6. Please prescribe the name of the client or the head office, etc. for "Client Asset ( )".